

Global Logistics**Supply Chain Pulse Check: High rates, unshaken demand**

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Recent months have seen freight rates continue to rise, with ocean freight rates now more than 100% above pre-conflict levels, driven by the conflict, capacity constraints and spiking demand into quarter end. Air freight rates are also up 40-50% versus pre-conflict levels, with capacity tightness from gulf carriers, and fuel surcharges. Volumes have remained resilient, with April ocean container volumes up 4%, in line with the upper end of Maersk's 2-4% full-year growth guidance, while air freight volumes have recently been running at 0-5% growth. Consumer demand appears to be holding up despite inflationary pressures and oil prices remaining above pre-conflict levels, though easing. At the same time, ongoing supply chain complexity continues to support freight forwarders. All in, this creates a favorable near-term earnings environment.

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Data wrap-up. Ocean volumes were +4% in April. Versus pre-conflict levels, the SCFI is currently +134% and the WCI +109%. Chargeable weight, was broadly slightly positive in May and June, while air freight rates spiked by around 40-50% following the conflict. As a result, overall revenues grew by approximately 40% in May/June. April PMIs remained expansionary: the U.S. at 54.0 (+1.3), China at 51.8 (-0.4), and Europe at 51.6 (-0.6).

Airfreight rates remain elevated. Airfreight capacity tightened at the start of the conflict but recovered through April, May and June, becoming broadly stable YoY. Meanwhile, freight rates remain 40-50% above pre-conflict levels and have so far held at these elevated levels. Both DHL and IATA expect demand to grow by 2-3% in 2026, supported by AI, semiconductor and high-value electronics shipments. Tighter capacity, robust demand, and fuel surcharges are all placing upward pressure on pricing.

Ocean: demand strong though H1. Spot rates spiked following the start of the conflict on higher fuel prices, and have risen again over the past month amid a demand spike, with a rush of cargo ahead of quarter end and coming higher surcharges. The WCI and SCFI are now both more than 100% above pre-conflict levels. We see upside risk to guidance for Maersk at Q2. While this is a near-term positive for the industry, we remain cautious given the significant supply wave still looming on the horizon and potential demand deterioration in H2.

Spot TL rate ex. fuel YoY growth continues to surge mostly on supply-side tightness, some glimmers of hope on the demand side. Spot TL rate ex. fuel is +48% YoY so far this month, up from +34% YoY growth seen in May and ~ +20-25% YoY in prior 3 months. While this has mostly been a supply story, there have been recent signs of demand uplift, e.g. multiple consecutive months of positive ISM manufacturing readings, better shipper sentiment around manufacturing activity (likely bolstered by industrial activity like data center builds), and YTD total domestic intermodal volume turning to positive YoY growth (YTD ~ +1% YoY in May) for the first time this year. Still supply has driven the sizable rate growth, with enforcing existing regulations (language, domicile, operating domain, hours of service, training) and higher fuel all factors at play. Issues are structural and bullish for U.S. surface transport rates.

BERNSTEIN TICKER TABLE

Ticker	Rating	23 Jun 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
DHL.GR (DHL)	M	EUR	50.94	44.00	11.7%	EUR	2.94	3.19	3.48	17.3	16.0	14.6
DSV.DC (DSV)	O	DKK	1,550.50	2,100.00	(17.0)%	DKK	54.56	68.84	90.81	28.4	22.5	17.1
KNIN.SW (Kuehne+Nagel)	M	CHF	190.40	190.00	(10.6)%	CHF	8.57	8.37	9.07	22.2	22.8	21.0
MAERSKB.DC (Maersk)	U	DKK	16,060	10,700	18.4%	USD	151.58	(15.68)	(136.57)	16.1	(155.6)	(17.9)
FDX (FedEx)	O	USD	316.83	397.00	50.6%	USD	0.00	20.81	22.82		15.2	13.9
UPS (United Parcel)	O	USD	106.14	130.00	(15.3)%	USD	7.16	7.56	8.70	14.8	14.0	12.2
CSX (CSX)	M	USD	46.06	39.00	21.0%	USD	1.61	1.84	1.99	28.6	25.0	23.1
NSC (Norfolk Southern)	O	USD	303.82	378.00	(2.8)%	USD	12.50	12.41	13.82	24.3	24.5	22.0
UNP (Union Pacific)	O	USD	259.96	330.00	(6.7)%	USD	11.68	12.65	14.21	22.3	20.6	18.3
CNR.CN (Canadian Natl Railway)	M	CAD	163.27	163.00	(3.1)%	CAD	7.63	7.74	8.87	21.4	21.1	18.4
CNI (Canadian Natl Railway)	M	USD	115.91	117.36	(7.3)%	USD	5.46	5.58	6.39	21.2	20.8	18.1
CP.CN (Canadian Pac. Kansas City)	M	CAD	121.27	125.00	(9.7)%	CAD	4.61	5.22	5.97	26.3	23.2	20.3
CP (Canadian Pac. Kansas City)	M	USD	84.78	90.00	(13.8)%	USD	3.30	3.76	4.30	25.7	22.6	19.7
JBHT (JB Hunt)	M	USD	269.06	192.00	66.8%	USD	6.14	7.07	8.17	43.8	38.0	32.9
CHRW (CH Robinson)	M	USD	177.28	153.00	67.3%	USD	4.60	4.95	5.65	38.5	35.8	31.4
EDME			1,578.05									
SPX			7,358.22									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

FDX base year is 2026; CHRW base year is 2024;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

In **Europe**, we rate DSV Outperform, DHL and Kuehne+Nagel Market-Perform, and Maersk Underperform. In **North America**, we rate UNP Outperform, NSC Outperform, CSX Market-Perform, CNI/CNR.CN Market-Perform, CP/CP.CN Market-Perform, CHRW Market-Perform, JBHT Market-Perform, UPS Outperform, and FDX Outperform.

EUROPE

DSV (Outperform, TP DKK 2,100.00) DSV is our top pick in European Logistics. This is principally because **we see synergies as inadequately reflected in valuations**. DSV has a superb **track record of synergy realization** in M&A across five deals in the last twenty years, and we **expect it to repeat this success** in its latest, largest deal for DB Schenker. Following the integration, we see it as delivering post-synergy (2028) EPS of DKK 100+. Once leverage has returned to c. 2x, share buybacks should restart; we see the company capable of repurchasing DKK24bn of shares p.a. in steady state, vs a current market cap of DKK372,809m. Further deals also then become possible, and M&A ambitions remain at the company.

DHL (Market-Perform, TP €44.00) DHL is really five logistics companies under a single corporate umbrella. Its **earnings are levered to ecommerce and world trade**: c. 80% of EBIT to the former, 70% to the latter, and 60% to both. Around 50% of earnings comes from **Express: a healthy three-player oligopoly** with supportive pricing and GDP-plus structural growth (trade + ecommerce). The **asset-heavy nature of this division gives it meaningful operating leverage to volumes**, however there is more flex than may at first be obvious with **~25% of capacity on short-term lease**. The group is particularly **levered to an eventual B2B volume rebound**, and when that happens **asset utilization should rise**, boosting margins. We think this will require some improvement in challenged customer verticals, such as automotive, cap goods and tech. The **other potential upside opportunity is a break-up**: DHL has begun a simplification project of unpicking the domestic business from the holding company and eliminating cross-border legal entities. Both are necessary before any divisional separation can happen. The company trades at a SOTP discount, and a separation should help to close the gap. For the medium-long term, **GDP-plus growth** and a **well-covered, reliable dividend** hold appeal: DHL has maintained or grown its dividend every year since the sale of Postbank in 2009, and pays out 40-60% of net income. The dividend **currently yields 3.7%**.

Kuehne+Nagel (Market-Perform, TP CHF 190.00) Kuehne+Nagel is the other large listed pure-play freight forwarder, alongside DSV. It follows a different strategy, focused on organic growth and with high dividend payouts. However, **execution in 2024 has been found wanting**. Kuehne+Nagel has **underperformed peers DHL and DSV in volume growth**, and cost reduction has proved an insufficient offset. Another round of cost reductions was announced at Q3 2025 results to protect EBIT, but it is not clear how much this was reactive rather than proactively the right strategic decision. The stock has de-rated, but we **expect little investor appetite to increase an allocation to Kuehne+Nagel until execution improves**. As with DSV, as a freight forwarder it enjoys a flexible cost base and asset-light business model that protects it in a downturn.

AP Moller - Maersk (Underperform, TP DKK 10,700) We see **Maersk's core business of container shipping as challenged**. The Red Sea closure prevented a collapse in freight rates in 2024, and we are now lapping this. War in the Middle East likely leads companies to remain cautious on restoring transits, however any lasting peace deal should enable restoration of the Red Sea / Suez route between Asia and Europe would add further pressure on rates. Over the medium-term, the **high, and growing, industry-wide container ship orderbook** suggests an ongoing challenged rate environment in this commoditized, price-taking sector, at least until we get meaningful vessel scrapping. Finally, we **see the company's integrator strategy as flawed**, having failed to deliver promised revenue synergies for seven years.

NORTH AMERICA

Market conditions continue to tighten on the supply side and have tightened more due to higher oil prices, which raised the cost on inland transport for international shipping, but potential for further tightening from the oil component is in flux given Middle East peace talk developments. Elevated oil (may or may not hold, but elimination of financially struggling carriers = less fleeting positive impact) / capacity reads bullish for trucking / domestic intermodal. Recent signs of slight demand uplift could persist and provide some boost to the supply-side muscle, though we expect that this will remain a supply-driven story for some time, as more consumer-oriented demand components like housing still look quite weak (e.g. housing starts dipped -8.7% YoY in May to 1,177 and missed economists' estimates that had expected +10.9% YoY growth).

Spot TL rate ex. fuel YoY growth continues to surge mostly on supply-side tightness, some glimmers of hope on the demand side. Supply constraints are still driving up rates: spot TL rate ex. fuel is +48% YoY so far this month, well above the already high +34% YoY growth seen in May and the ~ +20-25% YoY over the prior 3 months. Enforcing existing regulations (language, domicile, operating domain, hours of service, training) and higher fuel are all factors at play. The recent SCOTUS ruling on broker liability should, over time, put further downward pressure on capacity but don't expect too much too fast. The impact will eventually be significant, but it may take time to work its way into rates. Issues are structural and bullish for U.S. surface transport rates. Should drive consolidation in brokerage, but a net negative on customer behavior and buy rates. While this has mostly been a supply story, there have been some more recent signs of demand uplift starting to unfold too, including multiple consecutive months of positive ISM manufacturing readings, better shipper sentiment around manufacturing activity (likely bolstered by industrial activity like data center builds), and YTD total domestic intermodal volume turning to positive YoY growth (YTD ~ +1% YoY in May) for the first time this year.

We rate **NSC Outperform, PT \$378.00; UNP Outperform, PT \$330.00, UPS Outperform, PT\$130.00; and FDX (Outperform, PT\$397.00).**

We rate **CP / CP.CN Market-Perform, PT C\$125.00 / US\$90.00; CNI / CNR.CN (Market-Perform, PT C\$163.00 / US\$117.36); CSX (Market-Perform, PT \$39.00); JBHT (Market-Perform, PT \$192.00); CHRW (Market-Perform, PT \$153.00).**

VALUATION COMPS TABLE

EXHIBIT 1: European logistics comps table

	DSV	Kuehne+Nagel	DHL Group	A.P. Møller – Maersk	SXTP Index
Bernstein Rating	Outperform	Market-Perform	Market-Perform	Underperform	
Consensus Rating	24xO 1xM 0xU	5xO 11xM 6xU	9xO 11xM 3xU	1xO 9xM 17xU	
Closing price	DKK 1,525	CHF 183	€51.98	DKK 15,400	€286.92
YoY change	0%	4%	29%	31%	15%
Target price	DKK 2100	CHF 190	€44.00	DKK 10,700	
Target price reporting ccy	2,100	190	44.00	10,700	
% upside / downside	38%	4%	(15%)	(31%)	
Market cap (€m)	49,040	23,817	59,294	30,409	
EV (€m)	60,115	27,514	82,714	31,499	
EBIT (Reporting currency,m)					
Last reported year	19,611	1,242	6,103	3,500	
CY	24,334	1,426	6,382	1,119	
FY+1	31,510	1,483	6,853	(54)	
FY+2	34,814	1,593	7,194	1,980	
Last reported-FY+2 CAGR	21.1%	8.7%	5.6%	(17.3%)	
CY vs. consensus	0.1%	4.0%	(1.2%)	(68.6%)	
FY+1 vs. consensus	4.6%	1.9%	(1.5%)	89.0%	
FY+2 vs. consensus	2.8%	2.3%	(3.2%)	1288.9%	
EPS (Reporting currency)					
Reported	54.6	8.6	2.9	151.6	
CY	68.8	8.4	3.2	(15.7)	
FY+1	90.8	9.1	3.5	(136.6)	
FY+2	106.5	9.8	3.7	(7.5)	
Last reported-FY+2 CAGR	25.0%	4.7%	8.0%	(136.7%)	
CY vs. consensus	9.4%	3.0%	(4.1%)	(144.2%)	
FY+1 vs. consensus	6.6%	4.0%	(5.4%)	83.8%	
FY+2 vs. consensus	5.3%	5.3%	(8.1%)	(83.0%)	
Implied P/E (Based on Bernstein forecast)					
CY	22.2x	21.8x	16.3x	(150.6x)	
FY+1	16.8x	20.1x	14.9x	(17.3x)	
FY+2	14.3x	18.6x	14.1x	(315.9x)	
Implied EV/EBIT (Based on Bernstein forecast)					
CY	18.5x	17.8x	13.0x	32.3x	
FY+1	14.3x	17.2x	12.1x	(664.3x)	
FY+2	12.9x	16.0x	11.5x	18.2x	

Pricing date: 18/06/2026

Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 2: Transport Comp Tables

As of 05/20/2026		Price / Earnings					Enterprise Value / EBITDA				
Company Name	Ticker	CY-2026	CY-2027	LTM	NTM	STM	CY-2026	CY-2027	LTM	NTM	STM
Railroads											
Csx Corp	CSX	24.2	21.4	26.7	23.0	20.5	14.7	13.7	15.6	14.3	13.4
Norfolk Southern Corp	NSC	26.3	23.7	25.8	25.2	22.8	15.5	14.5	15.4	15.1	14.1
Union Pacific Corp	UNP	21.8	19.7	22.3	20.9	19.0	14.5	13.5	15.0	14.1	13.2
Canadian National Railway Co	CNI	19.9	17.8	20.2	19.0	17.1	13.3	12.4	13.5	13.0	12.1
Canadian Pacific Kansas City	CP	23.2	20.2	24.7	22.0	19.1	15.6	14.3	16.3	15.1	13.8
Average		23.1	20.5	23.9	22.0	19.7	14.7	13.7	15.2	14.3	13.3
Median		23.2	20.2	24.7	22.0	19.1	14.7	13.7	15.4	14.3	13.4
Parcels											
United Parcel Service, Inc.	UPS	13.6	12.2	13.6	13.0	11.8	8.5	7.8	8.5	8.2	7.7
Fedex Corporation	FDX	17.7	15.5	19.0	16.7	14.5	10.5	9.6	11.0	10.0	9.2
Average		15.7	13.8	16.3	14.9	13.1	9.5	8.7	9.8	9.1	8.4
Logistics											
C.H. Robinson Worldwide, Inc.	CHRW	28.2	23.6	31.5	26.2	22.6	20.4	17.5	22.0	19.2	17.1
J.B. Hunt Transport Services, Inc.	JBHT	34.9	28.0	38.9	31.9	26.7	14.7	13.0	15.6	14.0	12.5
Average		31.5	25.8	35.2	29.0	24.7	17.6	15.2	18.8	16.6	14.8

		Price / Sales					Free Cash Flow Yield				
Company Name	Ticker	CY-2026	CY-2027	LTM	NTM	STM	CY-2026	CY-2027	LTM	NTM	STM
Railroads											
Csx Corp	CSX	5.8	5.4	6.0	5.6	5.2	3.7	3.9	2.7	3.8	4.1
Norfolk Southern Corp	NSC	5.6	5.4	5.8	5.6	5.3	2.5	3.0	2.8	2.7	3.2
Union Pacific Corp	UNP	6.2	5.9	6.4	6.1	5.8	2.2	2.5	1.7	2.3	2.6
Canadian National Railway Co	CNI	5.2	4.9	5.5	5.1	4.7	4.2	4.7	3.8	4.4	4.9
Canadian Pacific Kansas City	CP	6.5	6.0	6.9	6.3	5.7	3.2	3.8	2.5	3.4	4.0
Average		5.9	5.5	6.1	5.7	5.4	3.1	3.6	2.7	3.3	3.8
Median		5.8	5.4	6.0	5.6	5.3	3.2	3.8	2.7	3.4	4.0
Parcels											
United Parcel Service, Inc.	UPS	0.9	0.9	0.9	0.9	0.9	6.5	8.2	6.1	7.2	8.3
Fedex Corporation	FDX	0.9	0.9	1.0	0.9	0.9	5.0	6.3	4.7	5.3	7.1
Average		0.9	0.9	0.9	0.9	0.9	5.8	7.2	5.4	6.3	7.7
Logistics											
C.H. Robinson Worldwide, Inc.	CHRW	1.2	1.1	1.3	1.2	1.1	3.5	4.5	3.8	3.9	4.7
J.B. Hunt Transport Services, Inc.	JBHT	1.9	1.7	2.0	1.8	1.7	3.2	3.4	4.0	3.3	3.5
Average		1.6	1.4	1.6	1.5	1.4	3.4	3.9	3.9	3.6	4.1

Source: Visible Alpha, Bernstein Analysis

DETAILS

March saw continued trade volume growth, albeit at a more moderate pace. Export volumes rose 2.9% YoY in March, driven by strong growth in the US (+11%). Japan remained slightly positive (+1%), while emerging markets turned negative for the first time in some time (-1.3%), and Europe also declined (-1.0%), likely in part a reflection of positioning around potential new tariffs in April of last year. U.S. imports continued to decline YoY, down 15%. In May 2026, forward-looking indicators remained positive: the U.S. PMI rose to 54.0 (+1.3), China fell to 51.8 (-0.4), and Europe fell to 51.6 (-0.6).

Ocean volumes in April rose by 4% YoY, following Q1's +5% growth, and commentary is supportive for Q2. Among major trade routes, Transpacific volumes rose in April (+11% YoY), while Asia-Europe grew even faster (+12% YoY). Intra-Asia traffic also remains robust, up +10% YoY. Industry commentary has suggested volume trends even strengthening into the later part of Q2 as shippers look to get ahead of further rising surcharges set to take effect at the beginning of Q3. The disruptive impact of the closure of the Strait of Hormuz on global volumes remains small, as only around 2% of global traffic transits through this route. Maersk continues to expect market growth of 2-4% in 2026, and recent trends are thus far supportive of this expectation. As oil prices ease with progress towards a peace deal, risks of inflation-led demand destruction likely moderate.

Ocean rates rise on earlier peak season demand and capacity tightness. Rates remained supported, having spiked following the outbreak of war, drifting higher with additional surcharges, and now rising again on demand-led factors. The SCFI is now up 134% (vs +61% a month ago) and the WCI up 109% (vs +34% a month ago) vs pre-conflict levels. Longer term, ongoing fleet expansion and a gradual return to Red Sea/Suez transits (also becoming likelier with a path to peace) could require meaningful capacity cuts to prevent a sharp rate correction. Such discipline appears unlikely until balance sheets come under greater pressure, suggesting another phase of market share competition instead.

More orders, minimal scrappage = higher capacity. An expanding orderbook and ongoing low scrappage rates, due to the Red Sea disruption and supported by robust balance sheets across the industry, look set to underpin a steady flow of capacity supply growth in the near and medium-term. Scrappage has to date remained low, as shipping lines have been required to deploy every vessel in operations to ensure adequate levels of reliability across their networks. Even if rates decline significantly, we would expect shipping lines to return to a battle for market share until high cash reserves are exhausted. We expect industry supply growth to be +3% in 2026 and +7% in 2027, accelerating to +10% in 2028. By the end of this year, this results in the in-service fleet some 48% ahead of 2019, with 15-20% net fleet growth across 2027-28. This is well ahead of structural demand growth, and coming on top of an already record fleet expansion since pre-pandemic.

Restoration of Red Sea/Suez still on hold. Recent news around improving peace prospects could support a return to the Red Sea in H2 this year, although this remains largely hypothetical as discussions are still ongoing. Red Sea transit volumes are currently even below 2025 levels. Prior to Operation Epic Fury, the region had seen no major Houthi attacks since autumn 2025, with more than six months of relative stability.

Airfreight rates remain high. Recent geopolitical disruptions have lifted air cargo rates by roughly 40-50% versus pre-conflict levels, while stranded ocean freight and war-related surcharges continue to support near-term demand. The conflict has removed some available capacity, with Emirates, Qatar Airways and Etihad operating at around 80%, 70% and 70% of normal flying levels, respectively (together, c. 13% of global air traffic). This is tightening the market in the Middle East, but also on key Asia-Europe trades. Chargeable weight recovered from around -10% YoY in early March to between 0% and +5% YoY in May/June. Revenues improved markedly, shifting from an approximately 10% YoY decline in March to growth of between 35% and 45% in May/June. This recovery has been driven in part by higher yields, reflecting fuel, insurance and other surcharges. Meanwhile, Europe is set to begin phasing out its de minimis exemption in July 2026, with a three-year transition from a lower threshold (€150 versus US\$800 in the U.S.). IATA data show global air cargo demand rising 4% YoY in April, marking the fourteenth consecutive month of growth. Express carriers should benefit in two ways: improved pricing as alternative air cargo capacity becomes more expensive, and stronger fuel cost recovery as surcharges are passed through to customers.

Spot ex. fuel TL rates still hover around +20% YoY, contract +LSD, JBHT insinuates belief that the cycle has turned.

The story hasn't changed much in recent weeks, but confidence in the durability of rate inflection and the reality of an actual TL / intermodal cycle inflection has increased. Since Dec/Jan spot truckload rates (ex. fuel) being around +10% YoY, we've seen rates skyrocket to +24% YoY in Feb, +19% in March, and so far +25% this month. This surge reflects the positive impacts of (1) stricter government oversight of the trucking market — foreign CDLs, CDL schools, ELD compliance, English Language Proficiency, the Dahlia law, etc. — and (2) elevated fuel prices (due to Iran war) shaking out truckers that have already been struggling with prolonged profitability pressure. During the JBHT earnings call last week, management solidified confidence in the idea that this time around, these positive indicators seem real: "As we moved through the first quarter, the freight

environment felt meaningfully different than what we've operated in over the past several years," as "we experienced strong demand for our service offerings as a predominantly supply driven freight recovery continued to gain steam." All in, the move in oil and capacity continues to read bullish for trucking and domestic intermodal.

GLOBAL TRADE AND LEADING INDICATORS

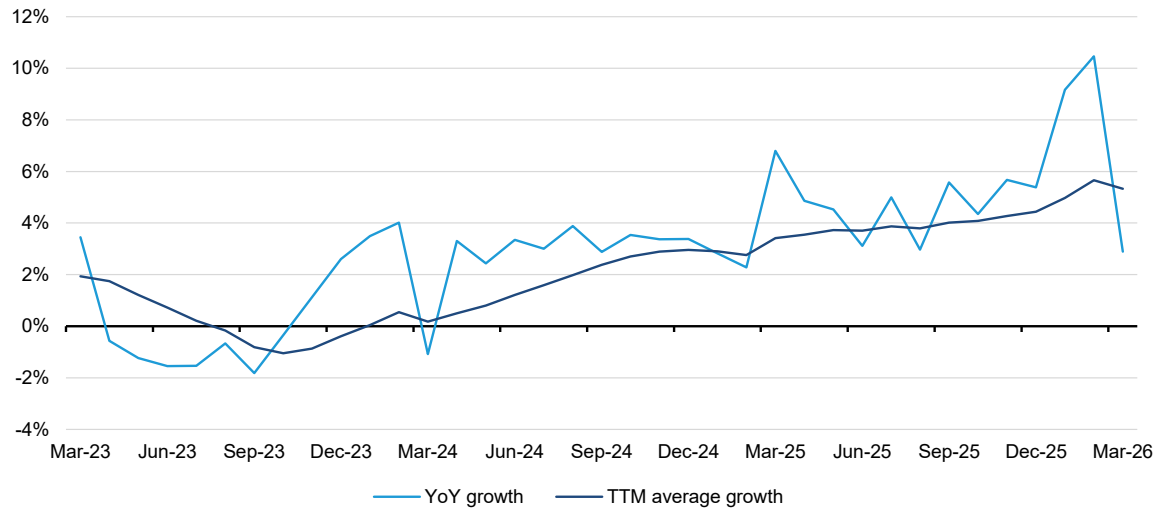
EXHIBIT 3: Global trade dashboard

	Q1 2022	Q2 2022	Q3 2022	Q4 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Jan 2026	Feb 2026	Mar 2026	Q1 2026	Apr 2026	May 2026
World																						
Total exports volume	3.0%	3.8%	4.9%	(0.5%)	(0.2%)	(1.1%)	(1.3%)	1.1%	2.1%	3.0%	3.3%	3.4%	4.0%	4.2%	4.5%	5.1%	9.2%	10.5%	2.9%	7.5%		
Average export price (\$)	14.4%	11.4%	7.0%	1.7%	(2.1%)	(6.4%)	(5.2%)	(2.9%)	(3.1%)	(1.0%)	(0.1%)	(0.6%)	0.2%	1.8%	2.5%	3.4%	5.3%	3.1%	6.5%	5.0%		
USA																						
Volumes																						
Imports	9.0%	7.9%	5.7%	0.3%	(2.8%)	(3.4%)	(1.7%)	0.2%	2.1%	4.5%	7.7%	7.4%	24.8%	0.8%	(2.6%)	(4.6%)	(15.9%)	(11.8%)	(14.7%)	(14.1%)		
Exports	1.7%	4.1%	10.4%	1.7%	7.0%	1.3%	0.2%	3.7%	1.9%	4.2%	3.6%	(0.2%)	1.1%	4.4%	0.8%	6.3%	10.2%	11.8%	10.5%	10.9%		
Unit price (\$)																						
Imports	11.7%	11.6%	7.5%	3.4%	(1.7%)	(5.6%)	(3.1%)	(1.9%)	(0.6%)	1.3%	0.8%	1.4%	1.4%	(0.3%)	(0.3%)	(0.1%)	0.2%	1.0%	2.3%	1.2%		
Exports	16.7%	18.5%	11.3%	6.0%	(1.3%)	(9.4%)	(6.1%)	(4.2%)	(2.0%)	0.3%	(0.4%)	1.0%	2.7%	2.1%	3.2%	3.2%	2.5%	3.8%	5.4%	3.9%		
Europe																						
Volumes																						
Imports	6.8%	6.6%	9.1%	0.5%	(2.9%)	(4.6%)	(7.7%)	(6.7%)	(5.4%)	(4.6%)	(2.1%)	(1.1%)	0.9%	0.9%	2.0%	1.5%	(1.7%)	(0.6%)	1.6%	(0.2%)		
Exports	2.2%	2.1%	4.3%	1.8%	(1.2%)	(2.7%)	(4.8%)	(4.2%)	(3.1%)	(2.5%)	(1.6%)	(2.5%)	(0.6%)	(1.2%)	(0.1%)	(0.1%)	(2.4%)	(2.3%)	(1.4%)	(2.0%)		
Unit price (\$)																						
Imports	16.1%	12.7%	8.5%	5.3%	1.7%	(1.5%)	(0.8%)	(0.3%)	(2.2%)	(0.6%)	2.5%	1.0%	1.5%	6.6%	6.7%	8.4%	12.5%	12.8%	6.9%	10.7%		
Exports	10.3%	7.5%	3.4%	3.2%	3.7%	2.7%	5.2%	3.4%	0.1%	0.5%	2.9%	2.0%	2.8%	7.9%	8.1%	10.4%	14.3%	12.2%	5.4%	10.7%		
Emerging economies																						
Volumes																						
Imports	1.3%	(1.0%)	2.2%	(1.0%)	2.0%	4.5%	3.4%	7.1%	7.3%	6.2%	5.7%	3.7%	1.1%	3.9%	5.6%	3.5%	11.5%	11.6%	9.2%	10.8%		
Exports	3.9%	4.4%	3.8%	(3.1%)	0.4%	0.6%	1.9%	4.8%	6.1%	7.0%	6.3%	8.8%	6.2%	5.7%	6.9%	6.4%	16.2%	18.8%	(1.3%)	11.2%		
Unit price (\$)																						
Imports	16.3%	15.3%	9.6%	2.1%	(3.8%)	(10.1%)	(9.4%)	(6.2%)	(5.3%)	(2.1%)	0.7%	0.8%	1.8%	1.6%	0.6%	3.7%	3.8%	3.6%	4.4%	3.9%		
Exports	18.6%	15.3%	10.6%	2.7%	(5.3%)	(11.9%)	(11.9%)	(8.0%)	(6.0%)	(2.4%)	(2.2%)	(2.2%)	(1.0%)	(1.3%)	(0.2%)	(0.7%)	0.1%	(3.3%)	5.2%	0.7%		
Japan																						
Volumes																						
Imports	5.7%	3.1%	6.5%	9.2%	(1.8%)	(3.6%)	(5.7%)	(5.0%)	(5.3%)	(0.7%)	3.3%	(0.8%)	8.3%	6.3%	1.4%	3.7%	(3.2%)	5.7%	0.0%	0.8%		
Exports	2.7%	(2.4%)	2.1%	2.6%	(3.9%)	(0.0%)	(1.0%)	(0.4%)	(0.8%)	(1.8%)	1.8%	0.5%	7.4%	6.5%	1.8%	3.0%	10.9%	(2.6%)	0.9%	3.1%		
Unit price (\$)																						
Imports	17.2%	15.5%	10.0%	1.1%	(2.7%)	(10.3%)	(12.9%)	(10.5%)	(10.0%)	(4.9%)	(1.6%)	(2.1%)	(4.1%)	(1.7%)	(2.5%)	(2.7%)	5.7%	1.7%	(0.2%)	2.4%		
Exports	2.3%	0.4%	(4.5%)	(6.8%)	(4.6%)	(3.8%)	(1.7%)	(0.1%)	(3.5%)	(2.0%)	(0.2%)	(0.5%)	(1.5%)	1.1%	(0.2%)	0.8%	4.6%	4.2%	3.5%	4.1%		
Leading indicators																						
US ISM PMI manufacturing	57.2	53.5	51.1	48.0	46.3	46.3	48.7	46.9	49.8	48.3	47.3	49.2	48.9	49.0	48.9	47.9	52.6	52.4	52.7	52.7	52.7	54.0
China ISM PMI manufacturing						50.5	50.6	50.8	51.1	51.8	49.3	50.5	51.2	50.4	51.2	50.1	50.3	52.1	50.8	50.8	52.2	51.8
Eurozone ISM PMI manufacturing						43.4	43.4	44.4	46.1	45.8	45.0	45.1	48.6	49.5	49.8	48.8	49.5	50.8	51.6	51.6	52.2	51.6
US inventory / sales	1.31	1.34	1.39	1.43	1.43	1.42	1.38	1.40	1.40	1.41	1.40	1.39	1.38	1.38	1.37	1.36	1.35	1.33	1.32	1.32	1.31	
US retail inventory / sales	1.21	1.22	1.25	1.28	1.28	1.27	1.26	1.28	1.29	1.32	1.33	1.30	1.29	1.29	1.28	1.28	1.28	1.27	1.26	1.26	1.26	
US retail inventory / sales ex-automotive	1.18	1.19	1.19	1.20	1.20	1.18	1.14	1.13	1.13	1.12	1.13	1.13	1.14	1.13	1.12	1.12	1.12	1.11	1.09	1.09	1.09	
China manufacturing new export orders	47.2	49.5	47.0	44.2	50.4	46.4	47.8	45.8	51.3	48.3	47.5	48.3	49.0	47.7	47.8	49.0	47.8	45.0	49.1	49.1	50.3	48.6

Source: CPB, ISM, National Census Bureau, National Logistics Federation, Bernstein analysis

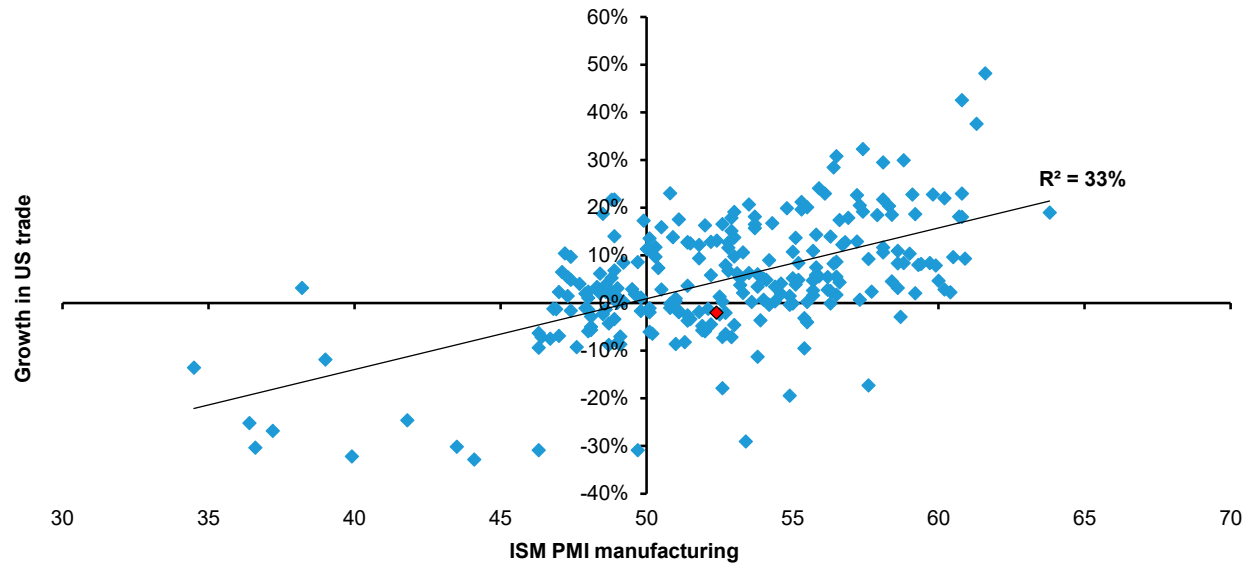
GLOBAL TRADE

EXHIBIT 4: World trade volume growth



Source: CPB, Bernstein analysis

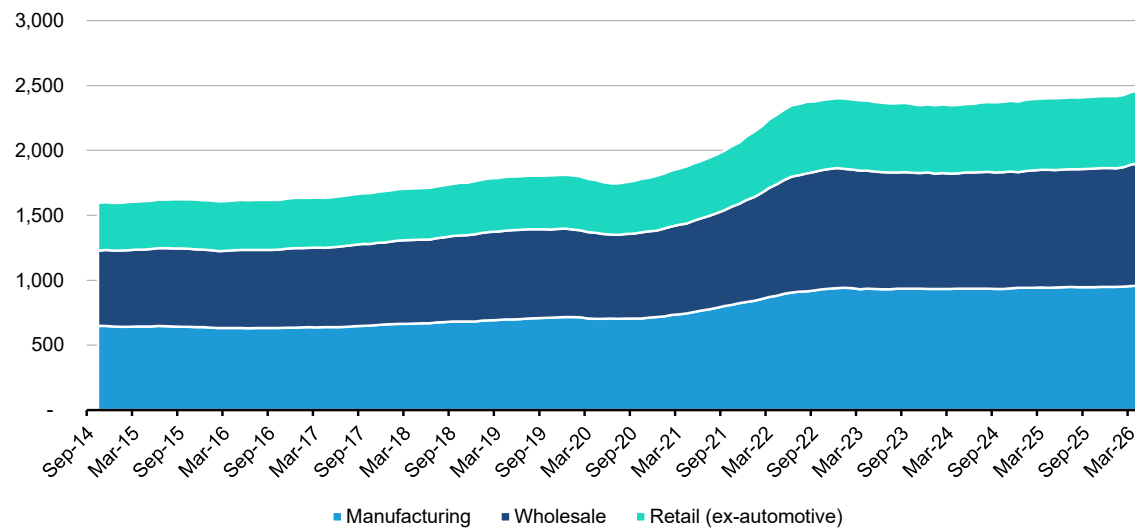
EXHIBIT 5: US PMI and trade growth



Source: ISM, US Census Bureau, Bernstein analysis

EXHIBIT 6: **Value of US inventories per sector (excl. automotive)**

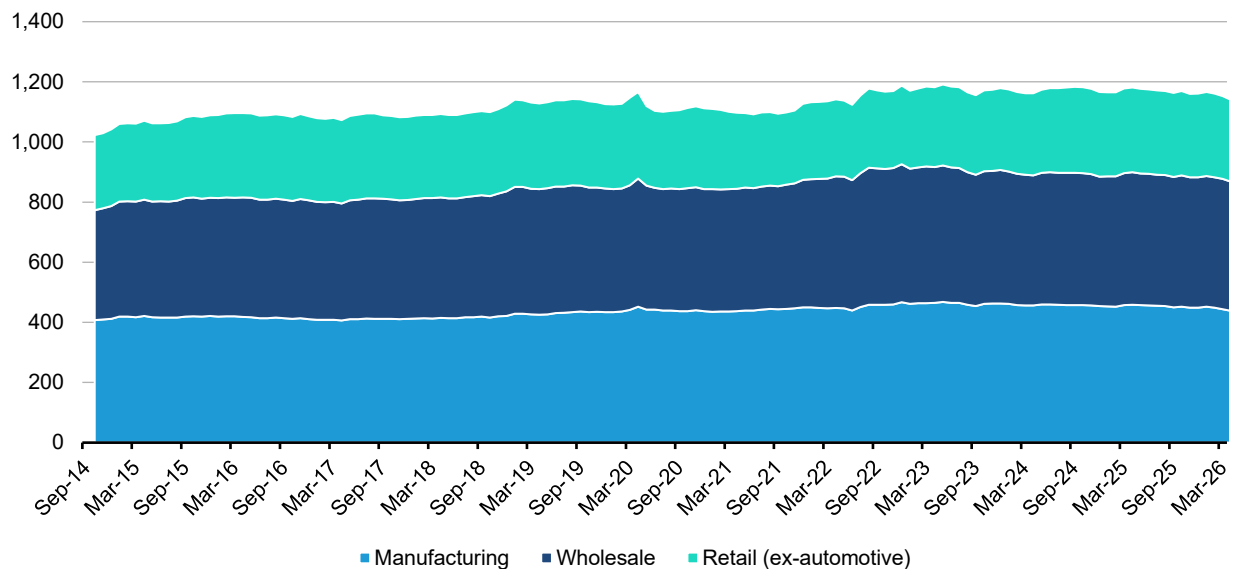
\$bn



Source: Bureau of Economic Analysis, Bernstein analysis

EXHIBIT 7: **Real value of US inventories per sector (excl. automotive), adjusted for US producer price inflation**

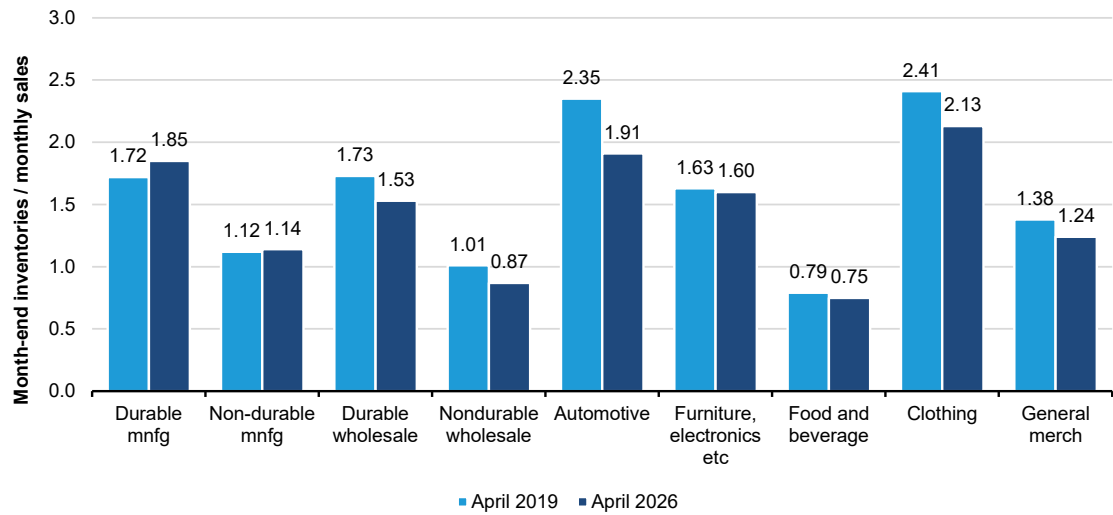
\$bn, 1980 price level



Values are inflation-adjusted until 1980.

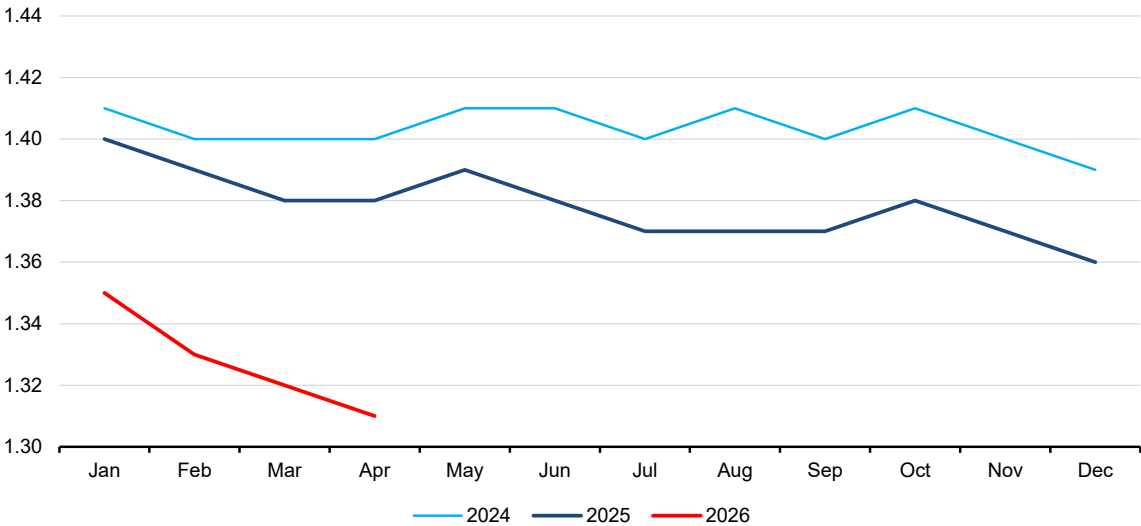
Source: Bureau of Economic Analysis, Bureau of Labor Statistics, Bernstein analysis

EXHIBIT 8: US monthly inventory / sales by sector



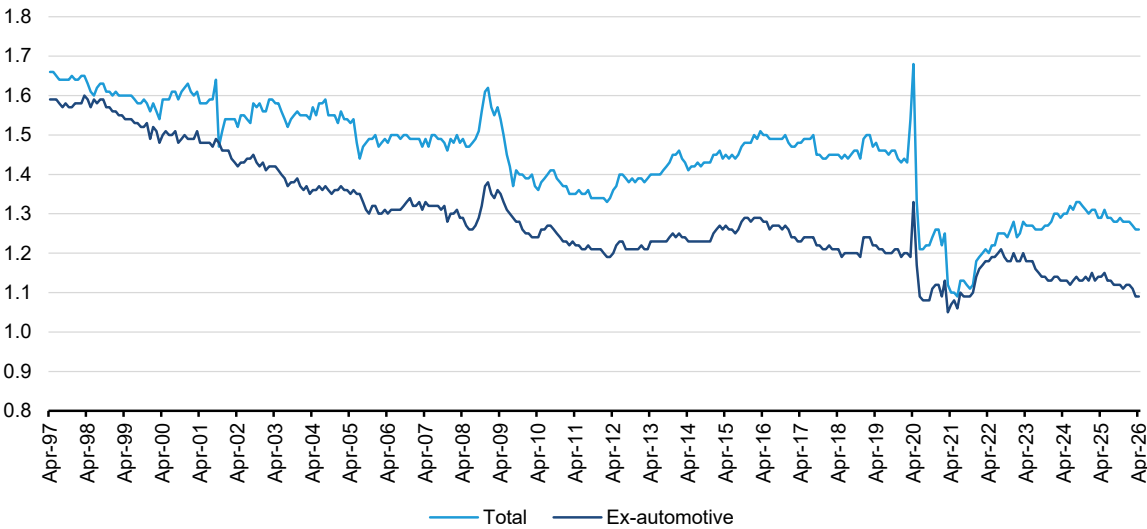
Source: Bureau of Economic Analysis, Bernstein analysis

EXHIBIT 9: US inventory / sales



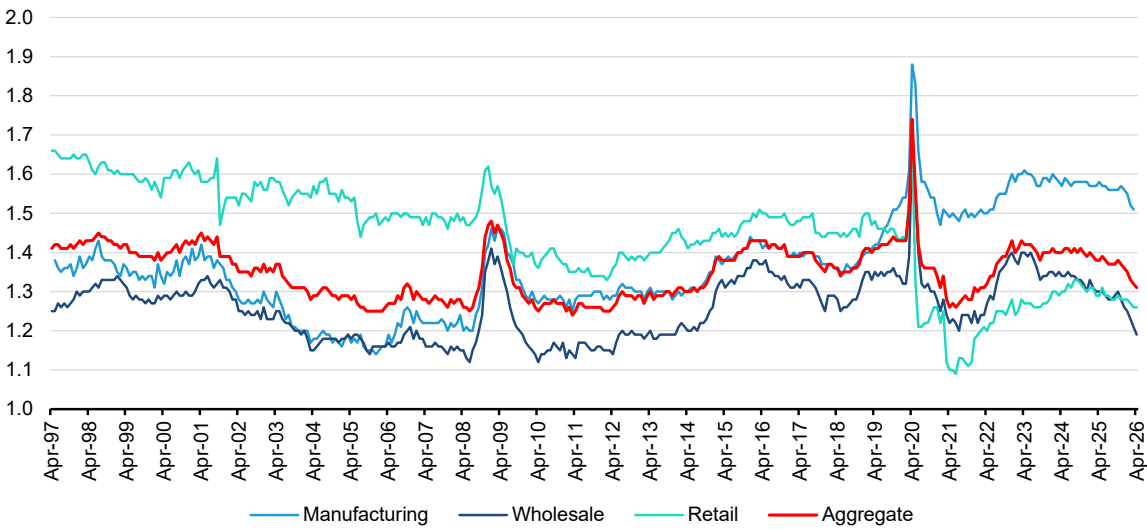
Source: US Census Bureau, Bernstein analysis

EXHIBIT 10: **US retail inventory / sales**



Source: Census Bureau, Bernstein analysis

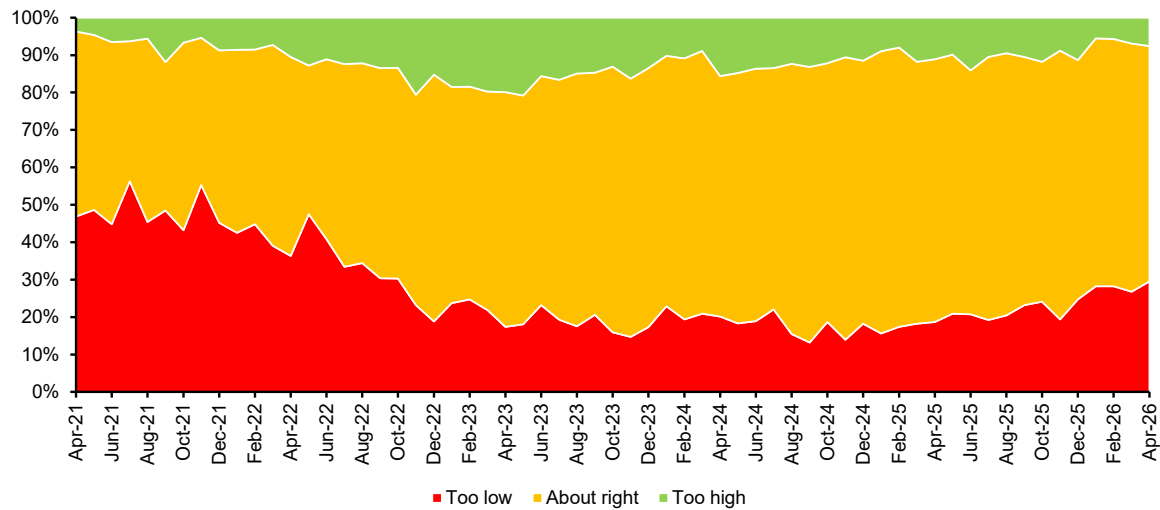
EXHIBIT 11: **US inventory / sales ratio**



Source: Bureau of Economic Analysis, Bernstein analysis

EXHIBIT 12: US ISM PMI: Customer inventories

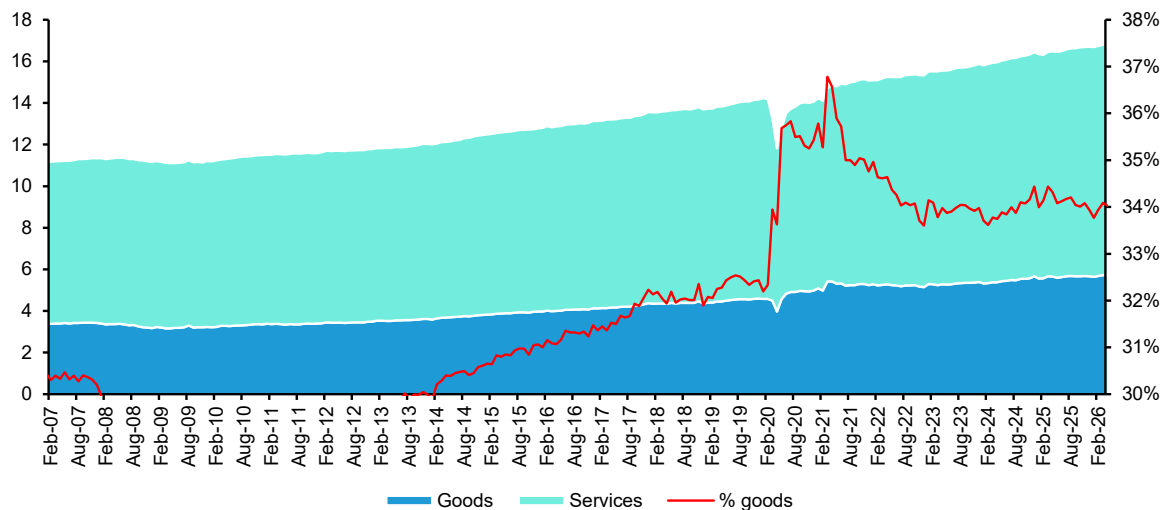
US ISM PMI: Customer inventories



Source: ISM, Bernstein analysis

EXHIBIT 13: US consumer spending on goods and services

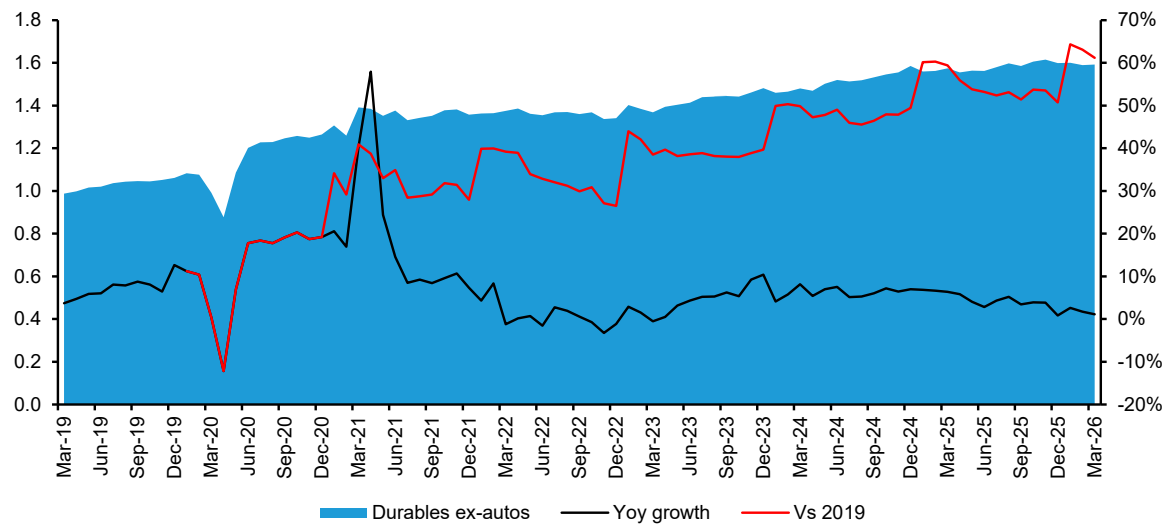
US real personal consumption expenditure (seasonally adj. annual rate) (\$tn)



Source: Bureau of Economic Analysis, Bernstein analysis

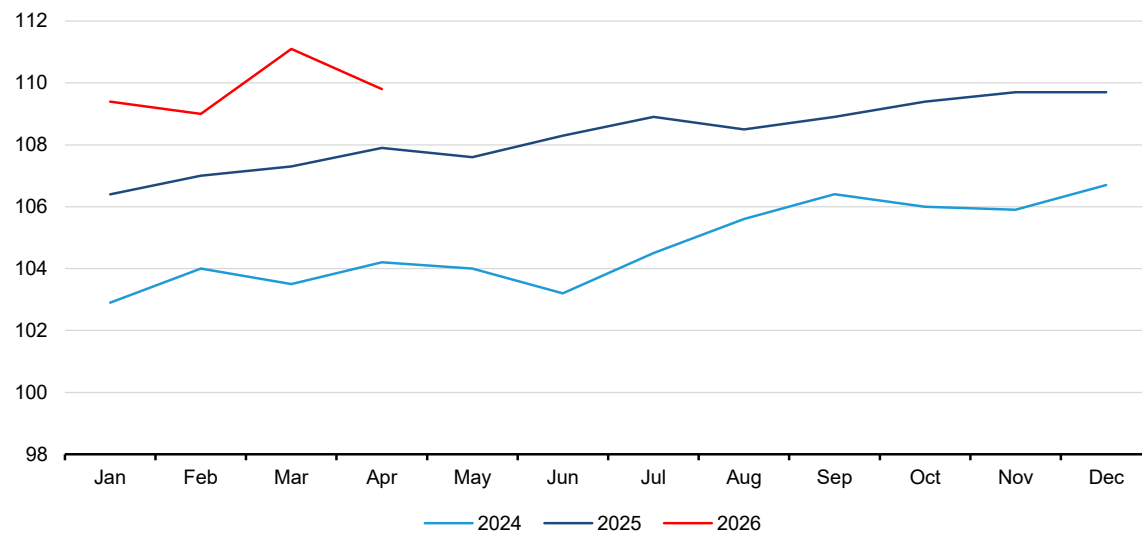
EXHIBIT 14: **US real personal expenditure on durable goods ex-automotive**

Seasonally adjusted annual rate, \$tn



Source: Bureau of Economic Analysis, Bernstein analysis

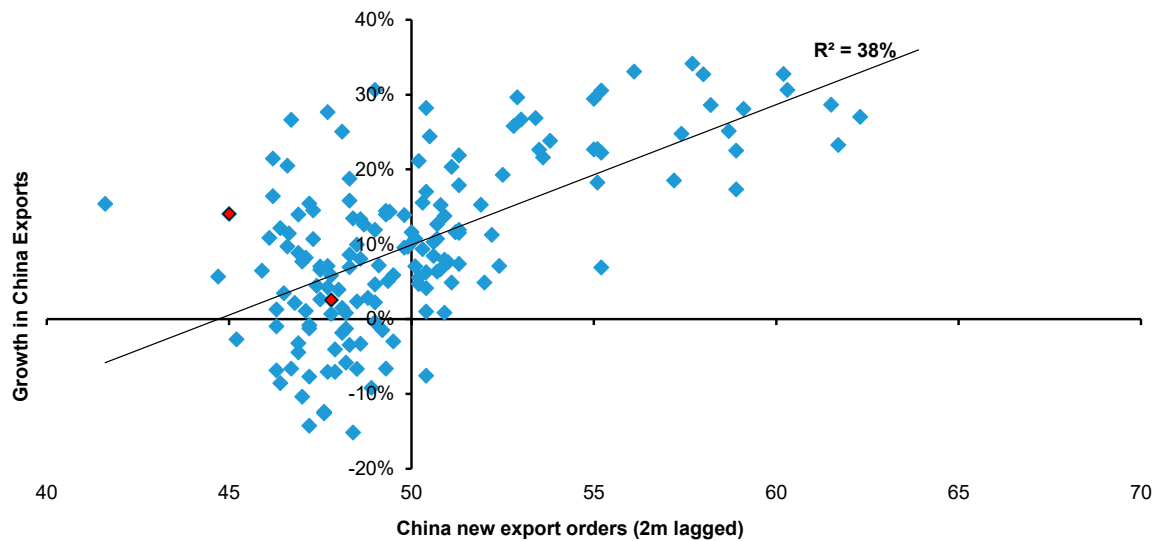
EXHIBIT 15: **EU-27 real retail sales ex-food, ex-fuel index**



Source: Eurostat, Bernstein analysis

EXHIBIT 16: **China new export orders vs China exports**

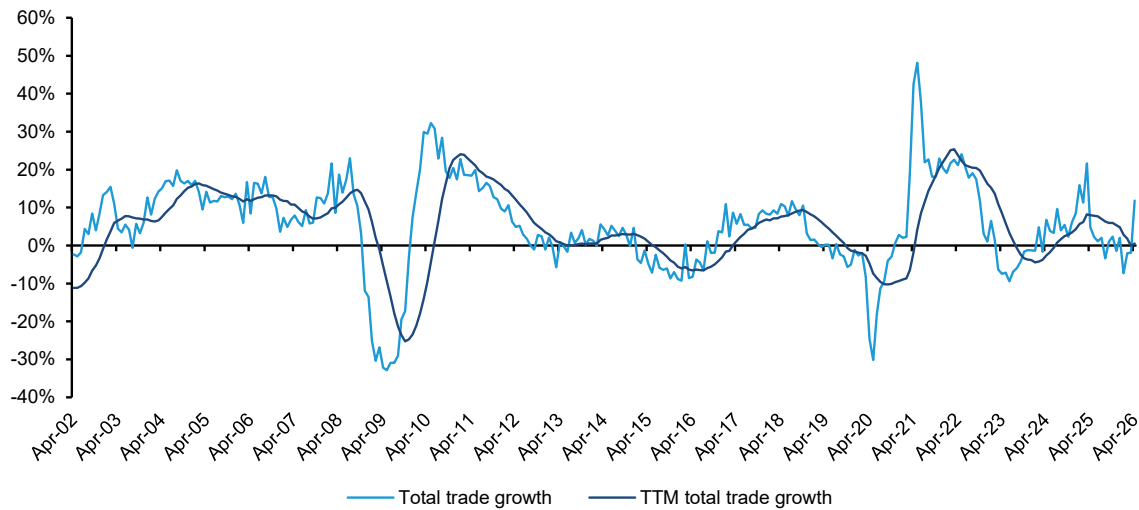
China new export orders vs China exports



Source: National Logistics Federation, Customs General Administration PRC, Bernstein analysis

EXHIBIT 17: **US total trade growth**

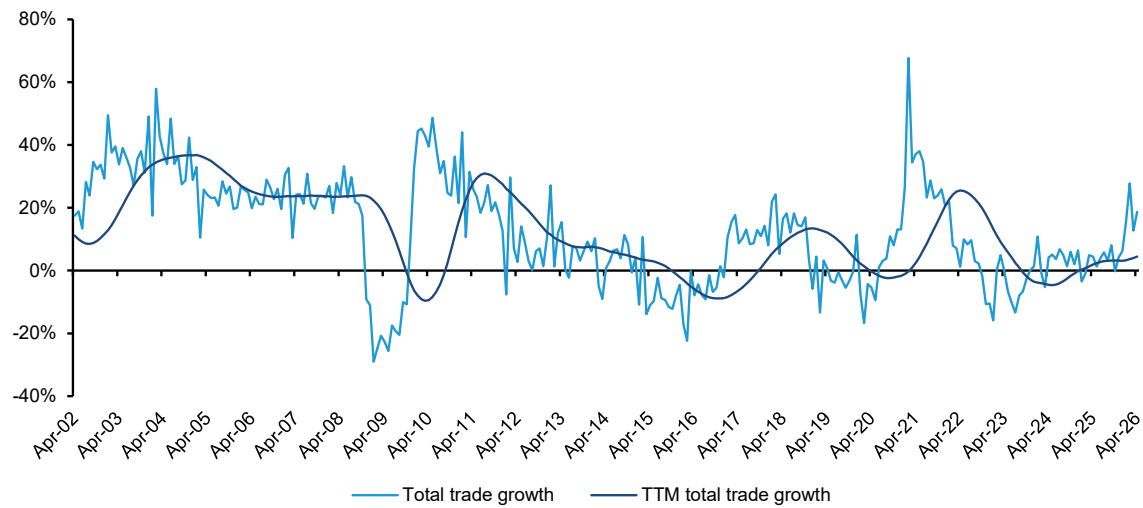
US total trade growth



Source: US Census Bureau, Bernstein analysis

EXHIBIT 18: **China total trade growth**

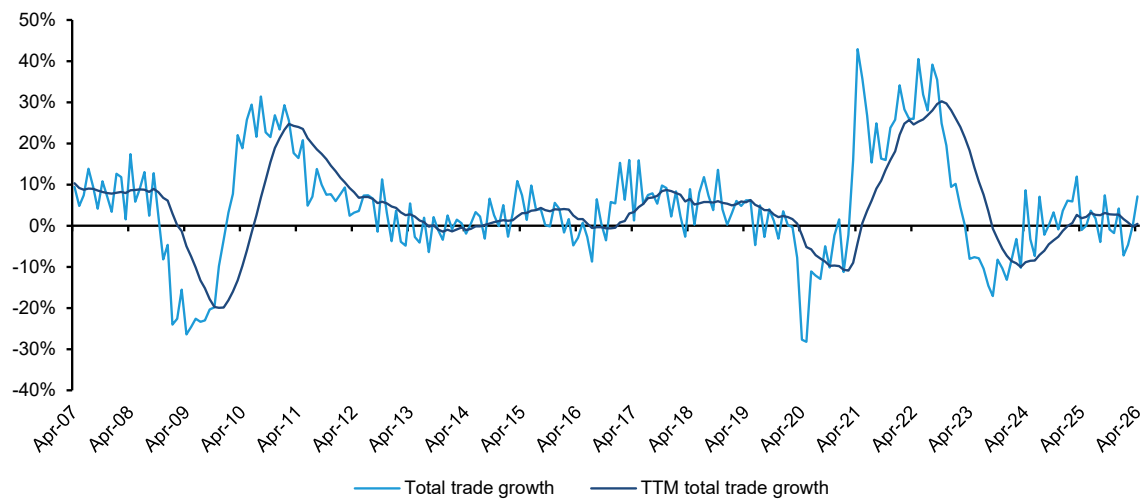
China total trade growth



Source: Customs General Administration PRC, Bernstein analysis

EXHIBIT 19: **Eurozone total trade growth**

Eurozone total trade growth



Source: Eurostat, Bernstein analysis

TRADE LANES

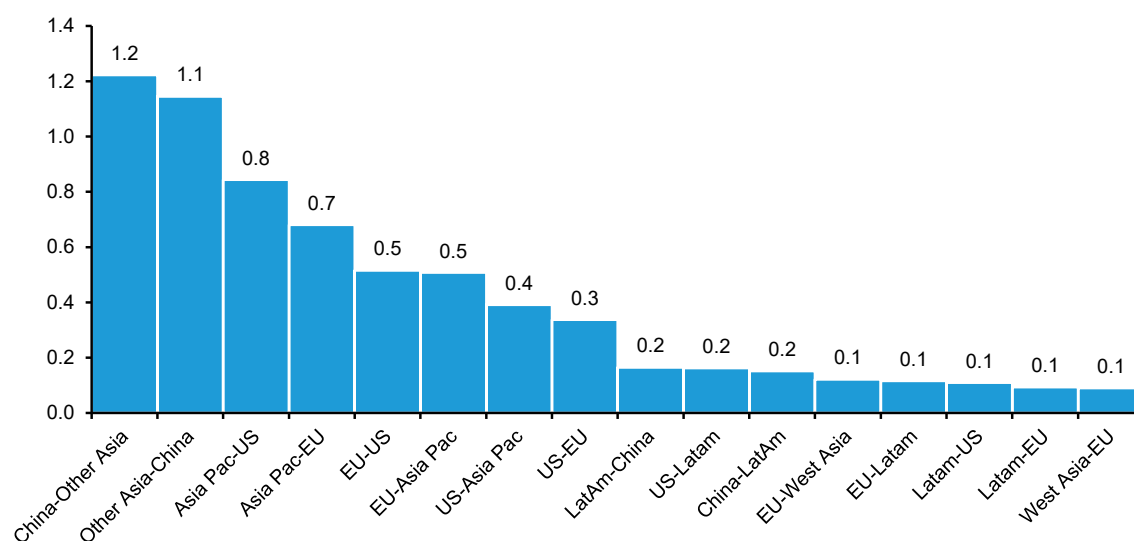
EXHIBIT 20: Monthly developments in trade value by lane

	Q1 2022	Q2 2022	Q3 2022	Q4 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Jan 2026	Feb 2026	Mar 2026	Q1 2026	Apr 2026
USA (\$m)																					
Total Pacific Rim	19%	11%	12%	(3%)	(11%)	(12%)	(10%)	(3%)	2%	7%	10%	5%	9%	(4%)	(9%)	(6%)	(11%)	1%	11%	0%	13%
Imports	23%	14%	10%	(5%)	(17%)	(14%)	(12%)	(4%)	3%	6%	11%	9%	15%	(6%)	(11%)	(7%)	(17%)	(3%)	3%	(7%)	11%
Exports	10%	5%	16%	2%	1%	(7%)	(8%)	(1%)	1%	9%	6%	(4%)	(3%)	(1%)	(5%)	(4%)	7%	11%	26%	15%	19%
Total Europe	19%	23%	16%	17%	14%	0%	5%	(0%)	(0%)	4%	6%	4%	23%	7%	2%	(2%)	(16%)	(11%)	(26%)	(19%)	0%
Imports	11%	17%	7%	16%	13%	0%	7%	(2%)	0%	6%	9%	6%	36%	2%	(7%)	(10%)	(30%)	(30%)	(42%)	(35%)	(10%)
Exports	32%	33%	33%	19%	14%	0%	2%	4%	(0%)	1%	1%	1%	3%	15%	17%	12%	8%	27%	11%	14%	16%
Total Latin America	36%	41%	25%	8%	2%	(15%)	(12%)	(4%)	0%	5%	7%	9%	8%	8%	0%	1%	0%	2%	5%	3%	10%
Imports	36%	31%	22%	9%	4%	(7%)	(7%)	(0%)	3%	9%	12%	14%	10%	10%	(4%)	(6%)	(2%)	6%	0%	1%	(4%)
Exports	36%	49%	28%	7%	(0%)	(21%)	(15%)	(6%)	(2%)	2%	3%	6%	6%	7%	3%	5%	2%	(0%)	9%	4%	22%
Europe (€m)																					
Total Asia Pacific	25%	28%	30%	16%	1%	(7%)	(14%)	(14%)	(9%)	(3%)	4%	4%	7%	0%	(2%)	2%	(2%)	(2%)	4%	0%	7%
Imports	9%	8%	13%	13%	7%	0%	(7%)	(10%)	(7%)	(3%)	(0%)	(2%)	(3%)	(6%)	(5%)	(1%)	(4%)	(8%)	(0%)	(4%)	2%
Exports	37%	43%	40%	17%	(2%)	(11%)	(18%)	(16%)	(11%)	(3%)	6%	8%	14%	4%	1%	3%	(1%)	2%	6%	3%	10%
Total US	33%	43%	42%	32%	10%	(6%)	(6%)	(3%)	(0%)	5%	4%	(0%)	24%	2%	2%	(9%)	(24%)	(19%)	(27%)	(23%)	(8%)
Imports	50%	59%	65%	45%	16%	(7%)	(12%)	(6%)	(6%)	(1%)	(3%)	(6%)	5%	5%	11%	3%	(15%)	(3%)	2%	(5%)	1%
Exports	24%	34%	28%	23%	7%	(5%)	(2%)	(0%)	4%	9%	8%	4%	37%	0%	(3%)	(16%)	(29%)	(28%)	(39%)	(33%)	(14%)
Total Latin America	27%	35%	33%	26%	18%	(7%)	(8%)	(7%)	(8%)	2%	2%	5%	6%	(0%)	2%	1%	(9%)	(2%)	5%	(2%)	9%
Imports	36%	36%	38%	31%	12%	(14%)	(20%)	(13%)	(11%)	2%	13%	13%	15%	6%	5%	(0%)	(9%)	(2%)	7%	(1%)	18%
Exports	19%	35%	29%	21%	24%	(0%)	4%	(2%)	(6%)	2%	(5%)	(2%)	(1%)	(5%)	(0%)	2%	(8%)	(2%)	3%	(2%)	(0%)
Total Western Asia	46%	57%	73%	38%	17%	(5%)	(24%)	(16%)	(14%)	(5%)	(4%)	1%	5%	(5%)	(0%)	(2%)	(11%)	(9%)	(15%)	(12%)	(8%)
Imports	21%	22%	27%	17%	11%	5%	(6%)	1%	1%	2%	7%	8%	9%	7%	10%	9%	(7%)	(1%)	(29%)	(13%)	(10%)
Exports	87%	107%	131%	64%	23%	(15%)	(37%)	(32%)	(29%)	(12%)	(15%)	(9%)	(0%)	(19%)	(13%)	(17%)	(16%)	(21%)	8%	(9%)	(4%)
China (\$m)																					
Total Other Asia	6%	7%	5%	(5%)	(3%)	(11%)	(11%)	(4%)	2%	7%	6%	6%	4%	8%	10%	7%	24%	26%	16%	21%	19%
Imports	7%	2%	(1%)	(8%)	(14%)	(14%)	(13%)	(3%)	1%	5%	6%	2%	2%	3%	5%	3%	29%	17%	26%	24%	26%
Exports	5%	12%	11%	(1%)	8%	(9%)	(10%)	(4%)	3%	9%	5%	9%	6%	12%	14%	9%	21%	34%	8%	19%	14%
Total North America	8%	8%	(1%)	(11%)	(9%)	(14%)	(14%)	(5%)	(2%)	3%	6%	8%	2%	(18%)	(22%)	(26%)	(20%)	(2%)	(19%)	(15%)	11%
Imports	(6%)	5%	10%	7%	14%	(2%)	(12%)	(12%)	(7%)	0%	10%	3%	(3%)	(12%)	(14%)	(25%)	(16%)	(30%)	(6%)	(17%)	11%
Exports	14%	9%	(4%)	(18%)	(16%)	(18%)	(15%)	(3%)	(0%)	4%	5%	10%	4%	(21%)	(25%)	(26%)	(21%)	13%	(25%)	(14%)	11%
Total Europe	5%	3%	8%	(8%)	7%	5%	(8%)	(2%)	(0%)	(0%)	3%	3%	(7%)	1%	6%	6%	18%	39%	20%	25%	22%
Imports	(0%)	(1%)	9%	(3%)	9%	7%	(4%)	2%	4%	(2%)	(3%)	(7%)	(20%)	(8%)	6%	4%	36%	18%	37%	30%	35%
Exports	9%	5%	8%	(12%)	5%	3%	(11%)	(4%)	(3%)	1%	8%	10%	3%	7%	7%	6%	10%	56%	10%	21%	15%
Total Latin America	11%	11%	11%	(4%)	7%	(5%)	(5%)	10%	9%	7%	7%	1%	(2%)	3%	8%	17%	15%	32%	10%	19%	19%
Imports	10%	9%	6%	5%	8%	(8%)	(1%)	19%	9%	1%	1%	(13%)	(14%)	1%	11%	26%	38%	22%	30%	30%	25%
Exports	11%	14%	16%	(11%)	7%	(2%)	(9%)	2%	9%	13%	13%	17%	10%	5%	6%	9%	(1%)	44%	(4%)	9%	14%

Source: US Census Bureau, Customs General Administration PRC, Eurostat, Bernstein analysis

EXHIBIT 21: Relative magnitude of trade lanes

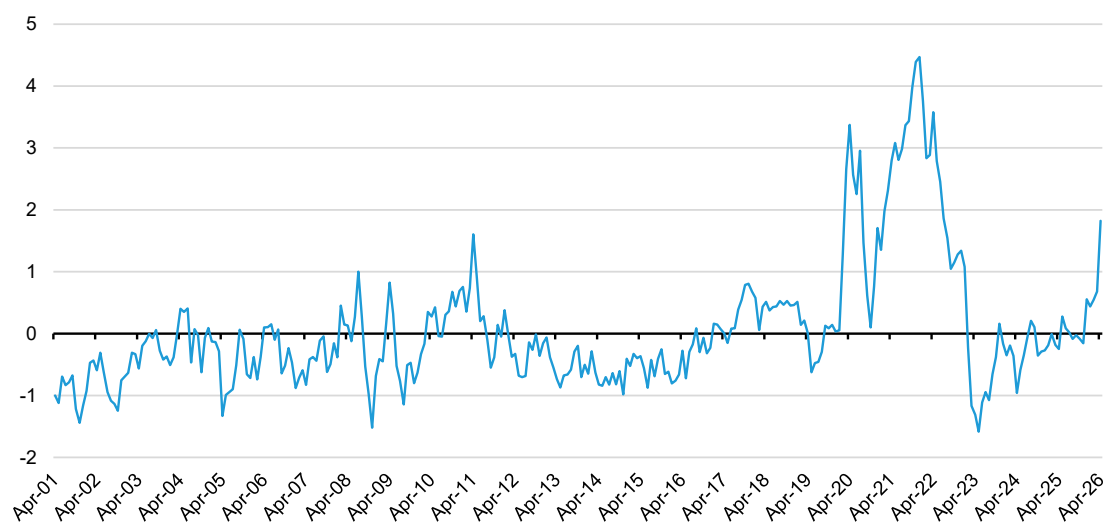
Selected intercontinental trade lanes by 2019 value (\$tn)



Source: US Census Bureau, Customs General Administration PRC, Eurostat, Bernstein analysis

EXHIBIT 22: NY Fed Supply Chain Pressure index

Global Supply Chain Pressure Index, standard deviations from the mean



Source: NY Fed, Bernstein analysis

SEAFREIGHT

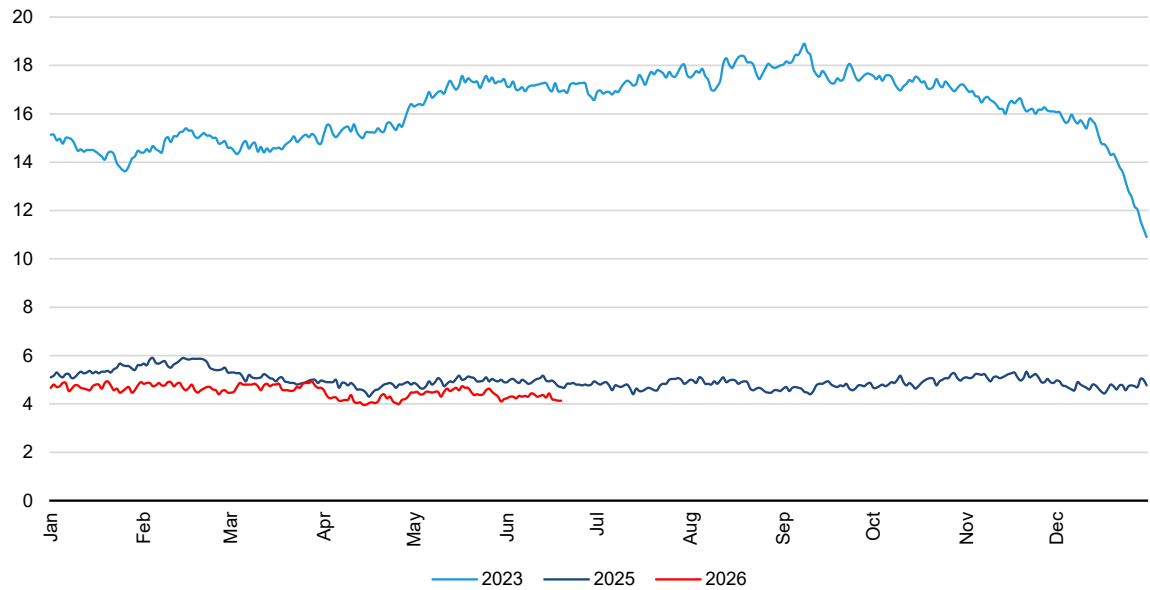
EXHIBIT 23: Ocean dashboard

	Q1 2022	Q2 2022	Q3 2022	Q4 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Jan 2026	Feb 2026	Mar 2026	Q1 2026	Apr 2026	May 2026
Aggregate																						
Seafreight TEUs (m)	43	45	43	42	40	44	45	45	43	46	47	48	45	48	49	50	16	15	16	48	16	
YoY change	(1.1%)	(1.5%)	(4.4%)	(9.1%)	(7.6%)	(4.4%)	3.2%	6.9%	9.0%	6.9%	5.2%	6.7%	4.8%	4.1%	4.7%	4.8%	5.1%	14.4%	(1.9%)	5.3%	4.3%	
WCI (\$000s / FEU)	9.2	7.7	6.0	2.8	2.0	1.7	1.6	1.4	3.4	3.8	5.2	3.4	3.0	2.6	2.3	1.9	2.3	1.9	2.1	2.1	2.3	2.6
YoY change	79%	29%	(37%)	(71%)	(79%)	(78%)	(73%)	(48%)	74%	123%	220%	137%	(12%)	(31%)	(56%)	(45%)	(37%)	(35%)	9%	(29%)	2%	16%
SCFI (\$000s / TEU)	4.9	4.2	3.3	1.4	1.0	1.0	1.0	1.1	2.0	2.6	3.1	2.2	1.8	1.7	1.5	1.4	1.5	1.3	1.7	1.5	1.9	2.2
YoY change	74%	28%	(24%)	(70%)	(80%)	(77%)	(70%)	(25%)	108%	167%	211%	111%	(14%)	(37%)	(52%)	(36%)	(33%)	(24%)	25%	(16%)	36%	38%
CCFI (\$000s / TEU)	3.5	3.2	3.0	1.7	1.1	0.9	0.9	0.8	1.3	1.4	2.0	1.4	1.4	1.2	1.2	1.1	1.2	1.1	1.1	1.1	1.2	1.3
YoY change	77%	45%	(1%)	(49%)	(68%)	(70%)	(70%)	(49%)	18%	53%	127%	70%	4%	(19%)	(39%)	(26%)	(22%)	(19%)	(6%)	(17%)	9%	17%
Volumes (m TEU)																						
Headhaul																						
Transpacific Eastbound	5.8	6.1	5.5	4.6	4.4	5.3	5.8	5.5	5.4	6.1	6.6	6.2	5.8	5.6	6.1	5.8	2.0	1.8	1.8	5.6	1.9	
YoY change	3%	2%	(11%)	(24%)	(24%)	(13%)	5%	21%	22%	17%	13%	11%	7%	(9%)	(8%)	(6%)	(8%)	12%	(11%)	(3%)	11%	
Asia-Europe	4.0	4.0	3.9	3.5	3.8	4.4	4.3	4.0	4.1	4.7	4.7	4.7	4.5	5.1	5.2	5.0	1.9	1.7	1.6	5.2	1.8	
YoY change	(1%)	(8%)	(9%)	(20%)	(5%)	10%	13%	15%	8%	7%	8%	16%	9%	8%	12%	7%	6%	49%	2%	15%	12%	
Europe-North America	1.3	1.5	1.4	1.3	1.2	1.2	1.2	1.3	1.3	1.3	1.3	1.3	1.3	1.4	1.3	1.3	0.3	0.4	0.5	1.2	0.4	
YoY change	0%	0%	(2%)	(6%)	(9%)	(17%)	(11%)	(5%)	7%	8%	6%	4%	1%	2%	(1%)	(1%)	(8%)	2%	(3%)	(3%)	(0%)	
Asia-Middle East / India	1.9	1.9	1.9	2.0	1.9	2.1	2.2	2.3	2.3	2.4	2.4	2.6	2.5	2.7	2.8	2.9	1.1	0.9	0.7	2.7	0.8	
YoY change	1%	0%	(3%)	(6%)	1%	9%	17%	15%	22%	13%	6%	13%	11%	15%	19%	13%	15%	32%	(20%)	7%	(17%)	
Backhaul																						
Transpacific Westbound	1.5	1.6	1.4	1.5	1.6	1.5	1.5	1.7	1.7	1.6	1.5	1.6	1.6	1.5	1.5	1.6	0.5	0.5	0.6	1.6	0.5	
YoY change	(13%)	(6%)	(3%)	2%	4%	(4%)	3%	10%	8%	9%	2%	(5%)	(8%)	(9%)	0%	4%	2%	5%	2%	3%	3%	
Europe-Asia	1.7	1.7	1.6	1.7	1.6	1.6	1.6	1.7	1.6	1.6	1.6	1.5	1.5	1.5	1.5	1.5	0.4	0.5	0.6	1.5	0.5	
YoY change	(13%)	(17%)	(14%)	(7%)	(10%)	(5%)	(3%)	1%	2%	1%	(2%)	(10%)	(5%)	(10%)	(6%)	(2%)	(8%)	(3%)	(0%)	(3%)	3%	
North America-Europe	0.6	0.7	0.6	0.7	0.7	0.7	0.6	0.6	0.7	0.7	0.6	0.6	0.7	0.8	0.7	0.7	0.2	0.2	0.3	0.7	0.2	
YoY change	(6%)	(5%)	(4%)	1%	6%	(3%)	(8%)	(4%)	4%	2%	8%	1%	0%	12%	5%	9%	1%	(4%)	4%	1%	(7%)	
Middle East / India - Asia	0.8	0.8	0.8	0.8	0.7	0.7	0.8	0.8	0.8	0.8	0.8	0.9	0.8	0.8	0.8	1.0	0.3	0.3	0.2	0.8	0.2	
YoY change	6%	4%	6%	13%	(6%)	(12%)	(3%)	(2%)	5%	7%	1%	6%	9%	4%	6%	10%	11%	13%	(21%)	(0%)	(10%)	
Intra-region																						
Intra-Asia	10.8	12.6	11.7	11.5	10.1	11.5	11.7	11.9	10.7	12.0	12.2	12.5	11.1	12.8	12.7	13.2	4.3	3.7	4.4	12.3	4.3	
YoY change	2%	2%	(1%)	(7%)	(6%)	(9%)	0%	3%	6%	5%	4%	6%	5%	6%	4%	5%	14%	11%	7%	11%	10%	
Intra-Europe	2.3	2.1	1.9	2.0	1.9	2.0	1.8	1.9	2.0	2.0	2.0	2.1	2.1	2.2	2.0	2.1	0.6	0.7	0.8	2.1	0.8	
YoY change	(0%)	(8%)	(13%)	(14%)	(16%)	(6%)	(5%)	(3%)	6%	4%	11%	11%	4%	6%	(1%)	0%	(7%)	5%	2%	0%	6%	
Rates (\$000s /FEU)																						
Headhaul																						
Shanghai-Los Angeles	10.6	8.6	6.1	2.3	2.0	1.8	2.1	2.0	4.0	4.8	6.5	4.5	4.0	3.6	2.6	2.3	2.8	2.2	2.5	2.5	2.8	3.3
YoY change	149%	55%	(44%)	(78%)	(81%)	(79%)	(66%)	(11%)	103%	169%	208%	120%	(1%)	(24%)	(60%)	(49%)	(45%)	(46%)	(9%)	(37%)	5%	8%
Shanghai - Rotterdam	13.2	10.0	8.1	3.0	1.7	1.5	1.4	1.2	4.1	4.6	7.0	4.1	3.1	2.5	2.8	2.1	2.6	2.1	2.4	2.4	2.3	2.6
YoY change	56%	7%	(40%)	(78%)	(87%)	(85%)	(83%)	(60%)	140%	205%	395%	235%	(23%)	(46%)	(60%)	(50%)	(35%)	(24%)	(5%)	(23%)	(3%)	22%
Rotterdam - New York	6.5	7.0	6.9	7.2	5.9	4.2	1.6	1.5	1.9	2.2	2.0	2.5	2.5	2.0	2.0	1.7	1.6	1.6	1.5	1.6	2.0	2.4
YoY change	179%	99%	15%	16%	(9%)	(41%)	(76%)	(79%)	(67%)	(48%)	22%	68%	29%	(7%)	(1%)	(34%)	(41%)	(34%)	(33%)	(36%)	(4%)	22%
Backhaul																						
Los Angeles-Shanghai	1.3	1.3	1.3	1.2	1.1	1.0	0.8	0.8	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.7	0.8	0.8
YoY change	134%	78%	(10%)	(9%)	(12%)	(19%)	(33%)	(34%)	(34%)	(32%)	(16%)	(8%)	(3%)	2%	1%	(1%)	(0%)	3%	3%	2%	9%	13%
Rotterdam-Shanghai	1.5	1.4	1.2	0.9	0.7	0.6	0.5	0.5	0.9	0.7	0.6	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.6	0.5	0.6	0.6
YoY change	3%	(7%)	(30%)	(46%)	(49%)	(58%)	(56%)	(46%)	15%	18%	20%	14%	(42%)	(32%)	(23%)	(13%)	(2%)	6%	13%	5%	26%	40%
New York - Rotterdam	1.2	1.2	1.3	1.3	1.2	0.9	0.8	0.6	0.6	0.6	0.7	0.8	0.8	0.8	0.9	0.9	1.0	1.0	1.0	1.0	1.0	1.0
YoY change	70%	30%	8%	11%	(2%)	(25%)	(41%)	(51%)	(47%)	(29%)	(4%)	23%	34%	31%	18%	14%	18%	15%	13%	15%	25%	22%

Source: World Liner Data, Drewry, Bernstein analysis

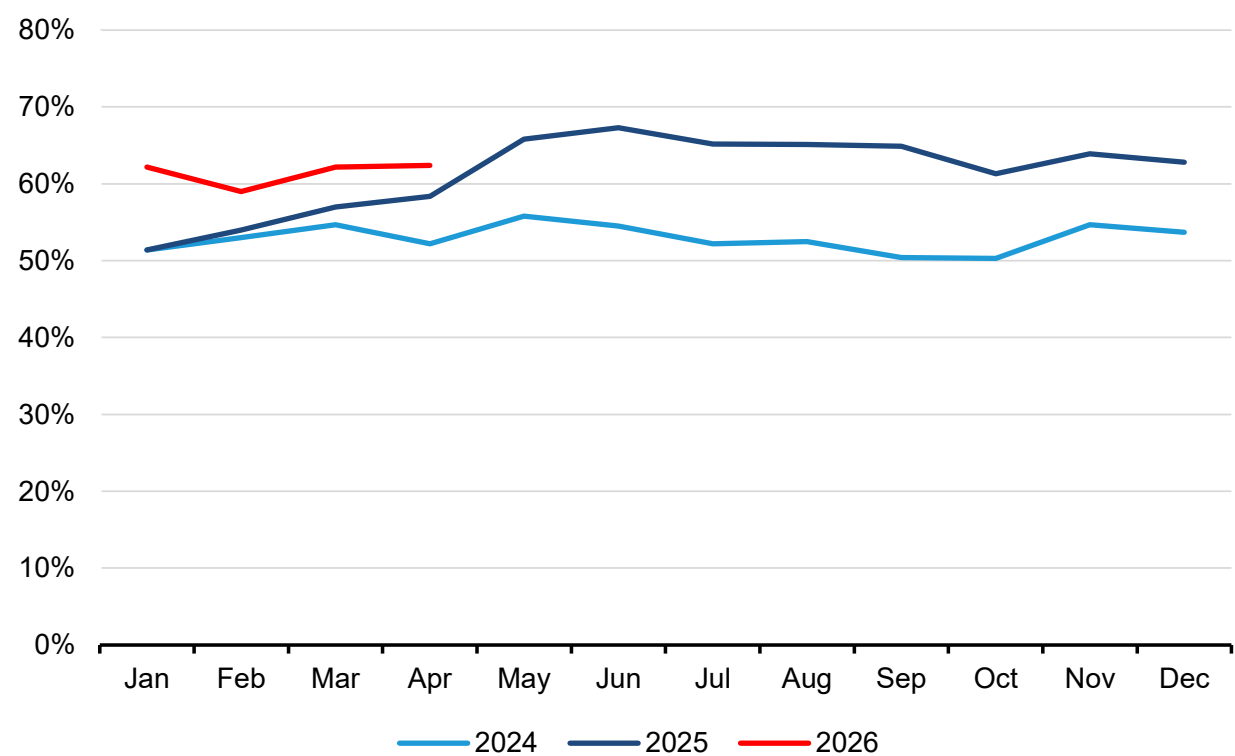
EXHIBIT 24: Suez Canal container vessel transits, both directions

30 day moving average



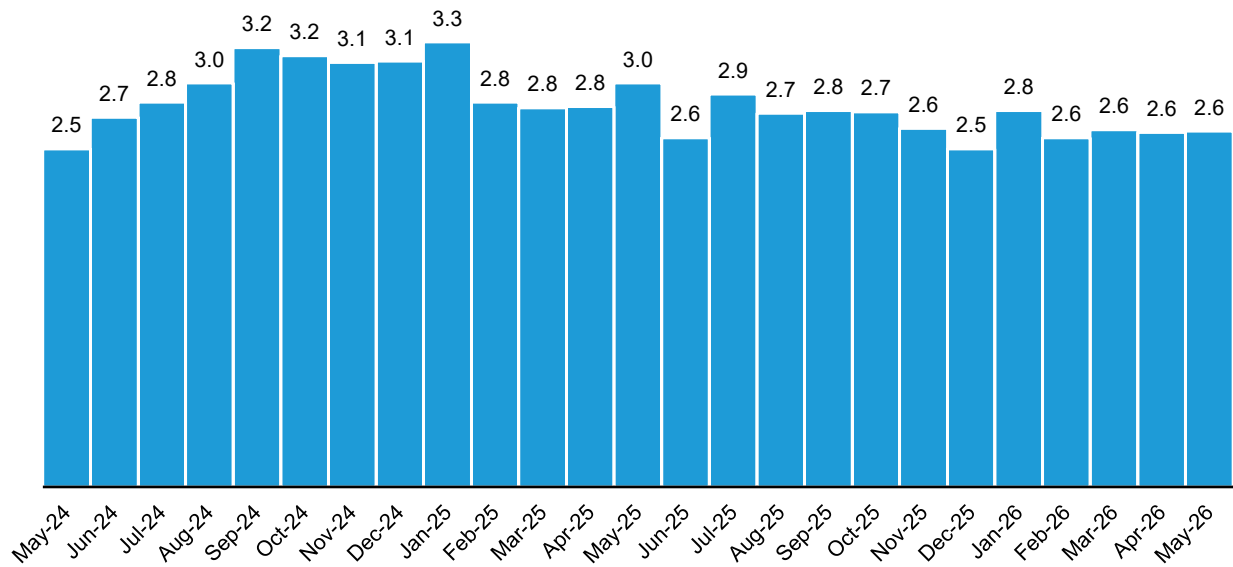
Source: Bloomberg, Bernstein analysis

EXHIBIT 25: Global schedule reliability for ocean shipping



Source: Sea-Intelligence.com, Bernstein analysis

EXHIBIT 26: **Weighted average dwell time of truck-bound containers at San Pedro Bay ports**

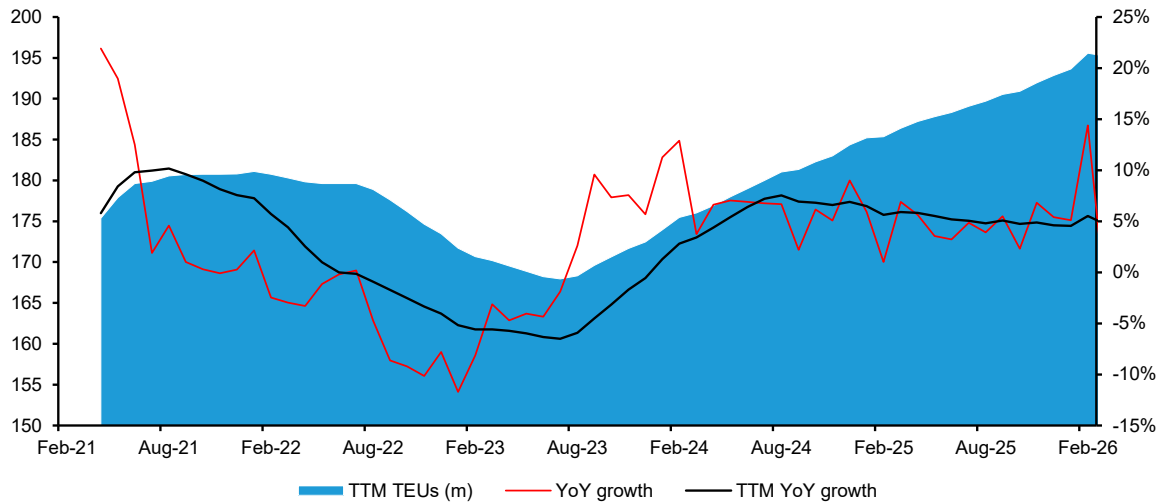


Source: PMSA, Bernstein analysis

VOLUMES

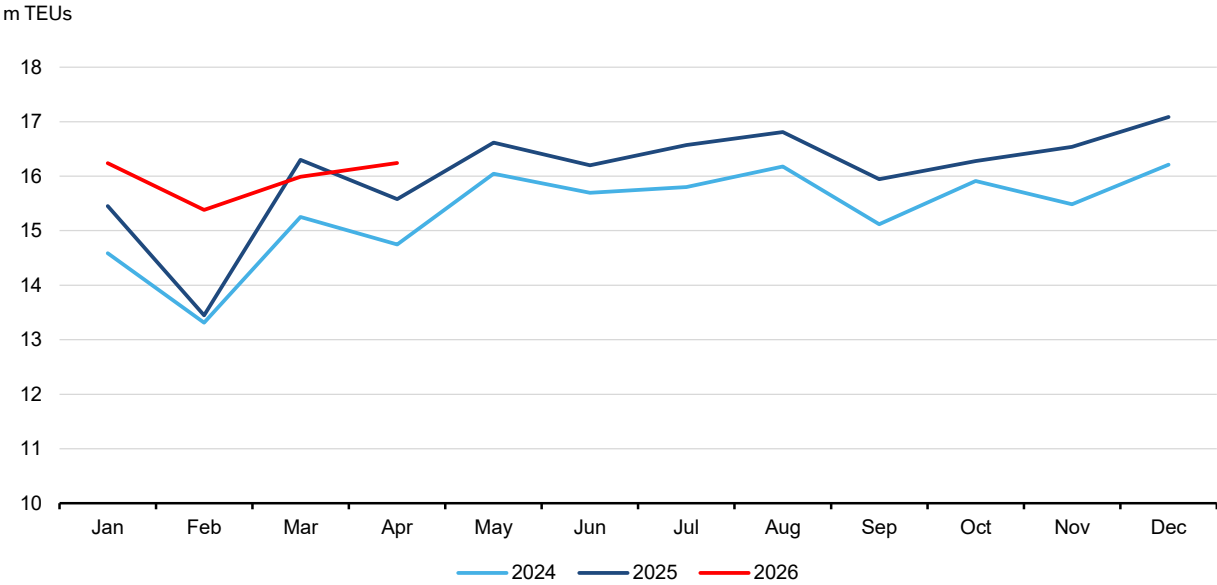
EXHIBIT 27: **Global Seafreight TEUs**

Global Seafreight TEUs



Source: World Liner Data, Bernstein analysis

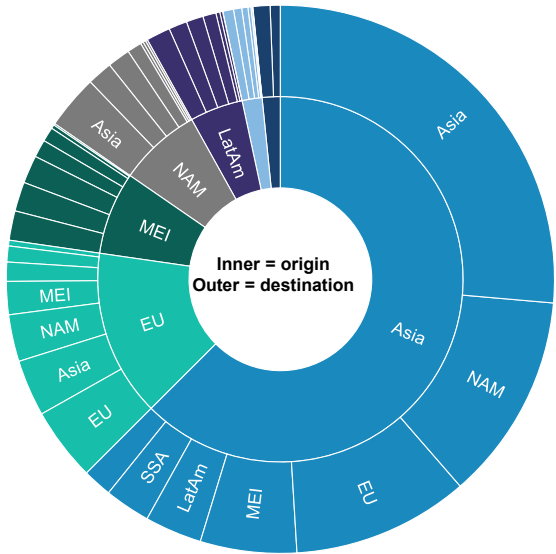
EXHIBIT 28: **Global Seafreight TEUs**



Source: World Liner Data, Bernstein analysis

EXHIBIT 29: **Breakdown of sea volumes by trade lane, last 12 months**

Trade lane volume share in world seaborne container trade

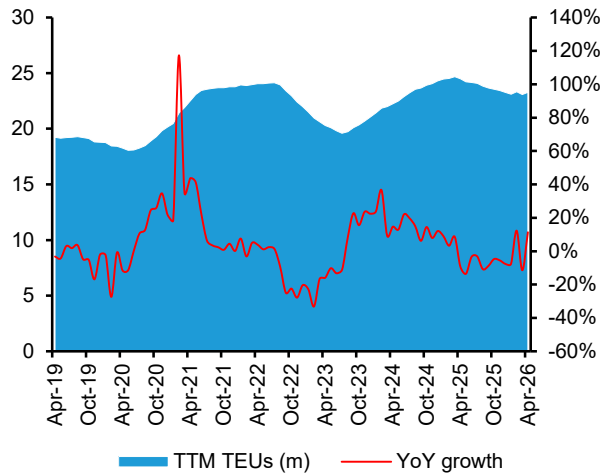


Source: World Liner Data, Bernstein analysis

Headhaul routes

EXHIBIT 30: Asia-North America TEUs

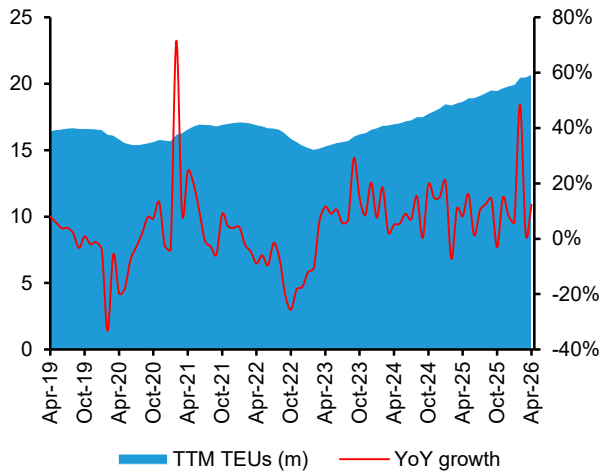
Asia-North America TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 31: Asia-Europe TEUs

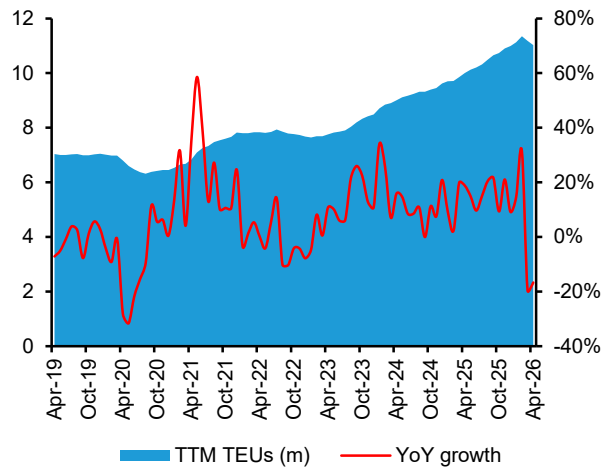
Asia-Europe TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 32: Asia-Indian subcontinent and Middle East TEUs

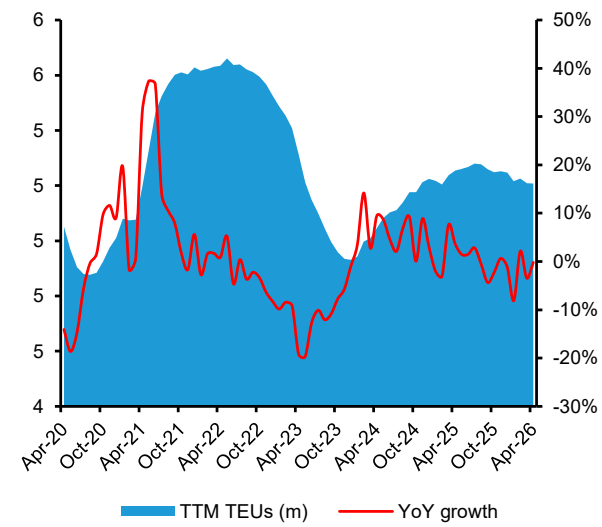
Asia-Indian subcontinent and Middle East TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 33: EU-North America TEUs

EU-North America TEUs

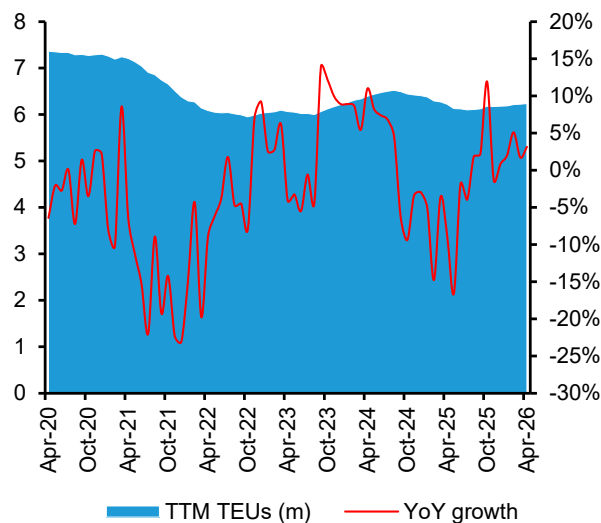


Source: World Liner Data, Bernstein analysis

Backhaul routes

EXHIBIT 34: **North America-Asia TEUs**

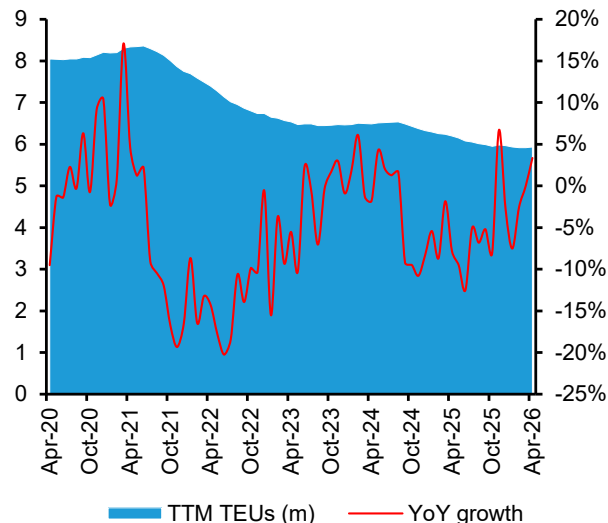
North America-Asia TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 35: **EU-Asia TEUs**

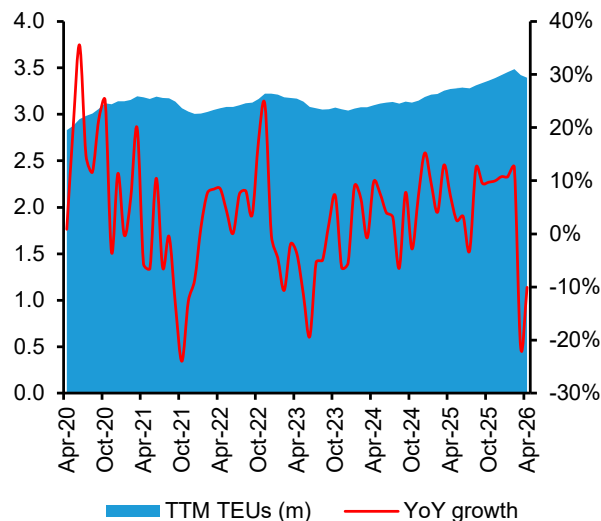
EU-Asia TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 36: **Indian subcontinent and Middle East-Asia TEUs**

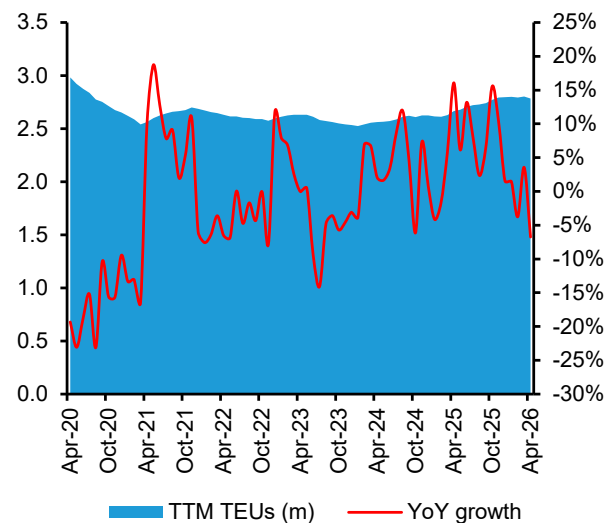
Indian subcontinent and Middle East-Asia TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 37: **North America-Europe TEUs**

North America-Europe TEUs

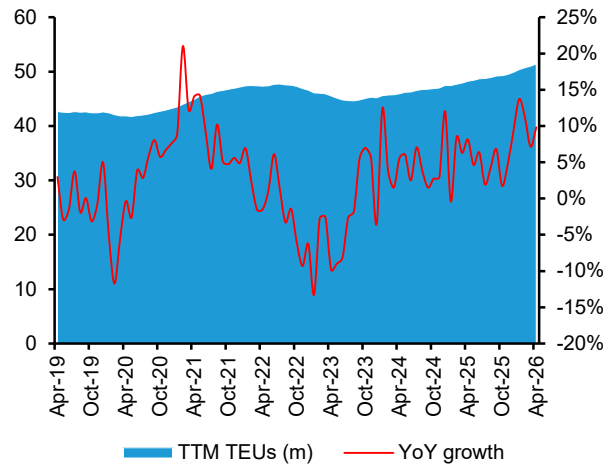


Source: World Liner Data, Bernstein analysis

Intra-regional routes

EXHIBIT 38: Asia-Asia seafreight TEUs

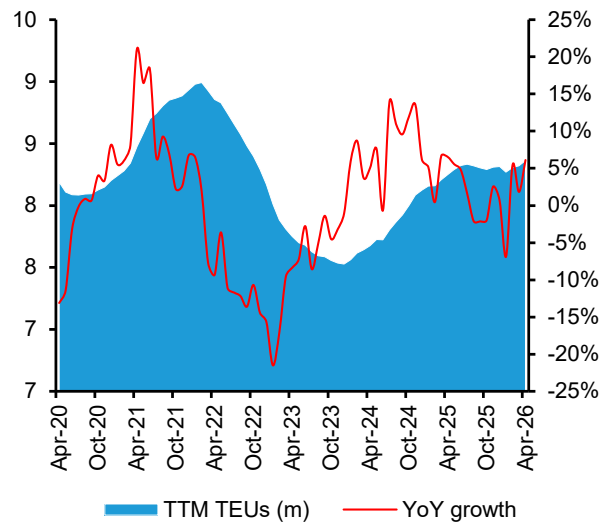
Asia-Asia seafreight TEUs



Source: World Liner Data, Bernstein analysis

EXHIBIT 39: EU-EU TEUs

EU-EU TEUs

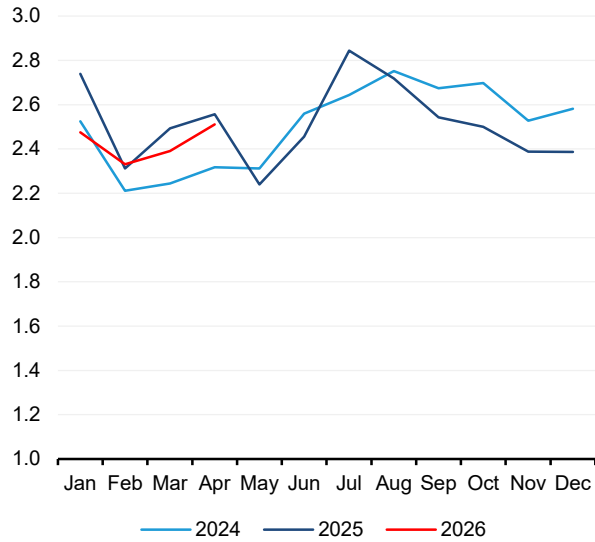


Source: World Liner Data, Bernstein analysis

Ports

EXHIBIT 40: US West Coast port volumes

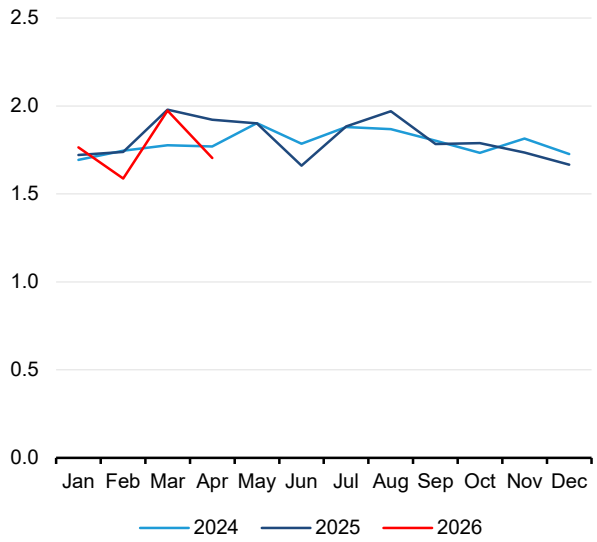
million TEUs



Source: Various US ports, Bernstein analysis

EXHIBIT 41: US East Coast port volumes

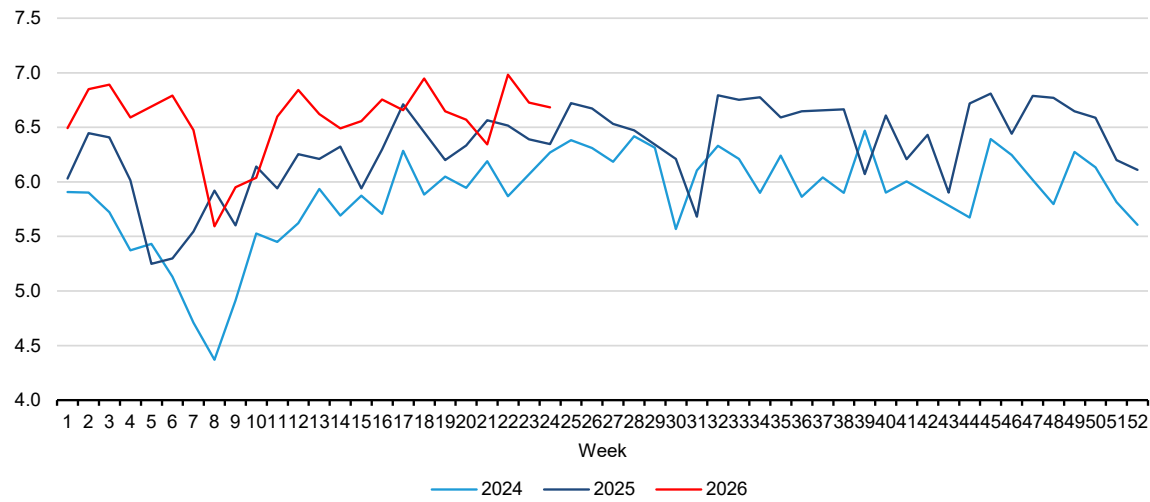
million TEUs



Source: Various US ports, Bernstein analysis

EXHIBIT 42: **China container port weekly throughput**

million TEU

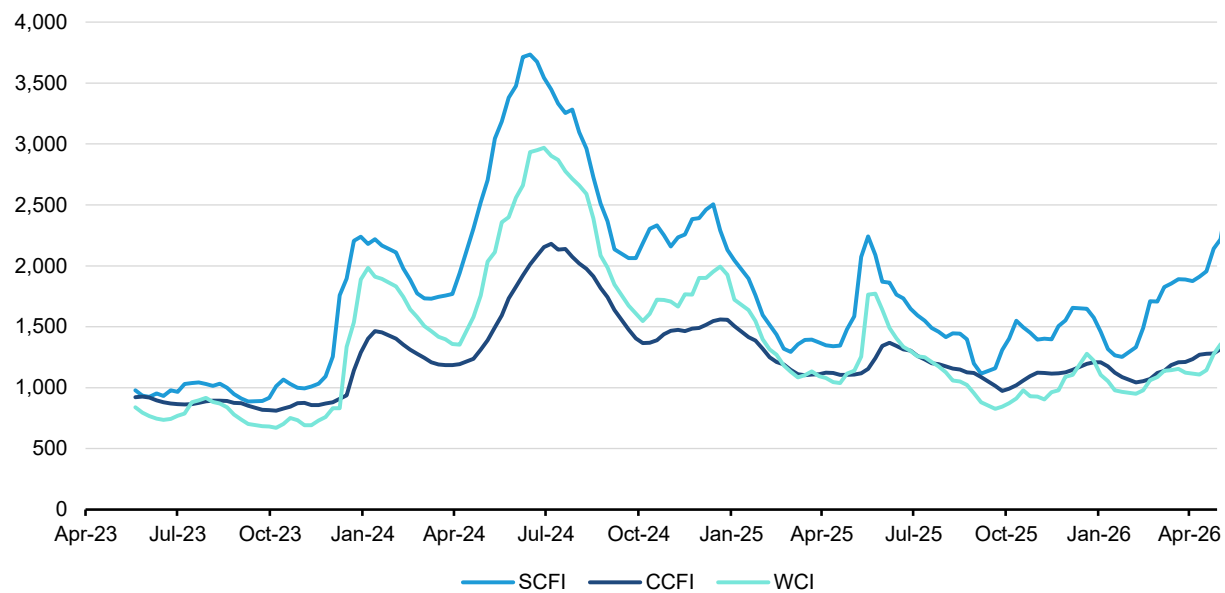


Source: Ministry of Transport, Bernstein analysis

FREIGHT RATES

EXHIBIT 43: Ocean rates: WCI, SCFI, CCFI

\$/TEU

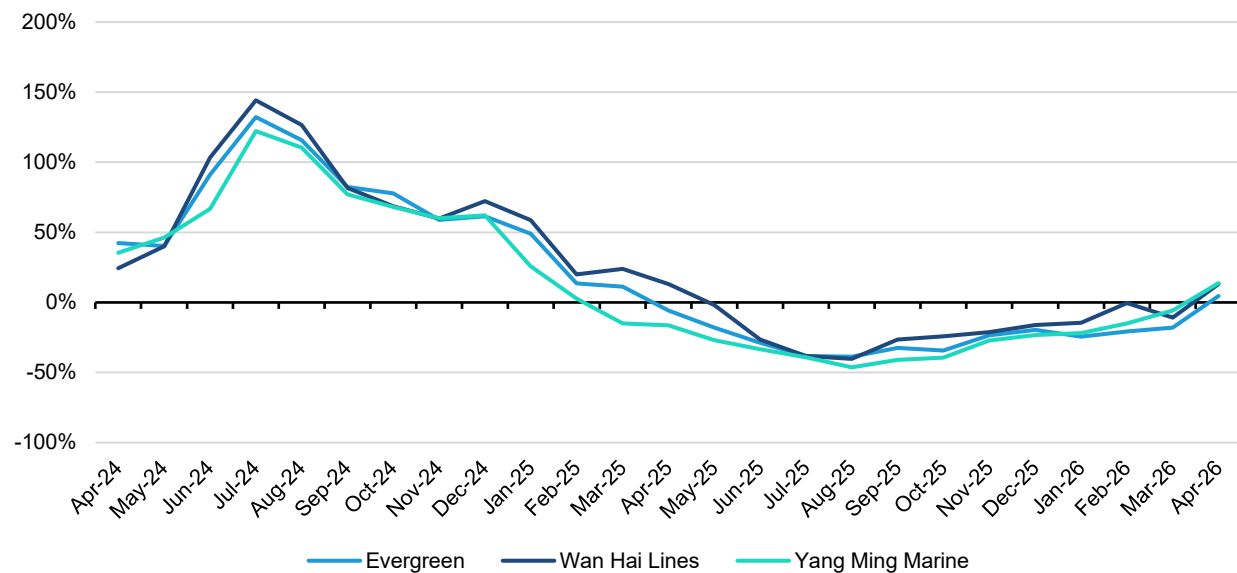


WCI: Global spot index (actual data) - reported in FEU, divided by two to approximate per TEU; SCFI: Global China export spot index (survey data); CCFI: Global China export spot and contract index (survey data)

Source: Drewry, Shanghai shipping exchange, Bernstein analysis

EXHIBIT 44: Taiwanese shipping lines revenue growth

YoY change

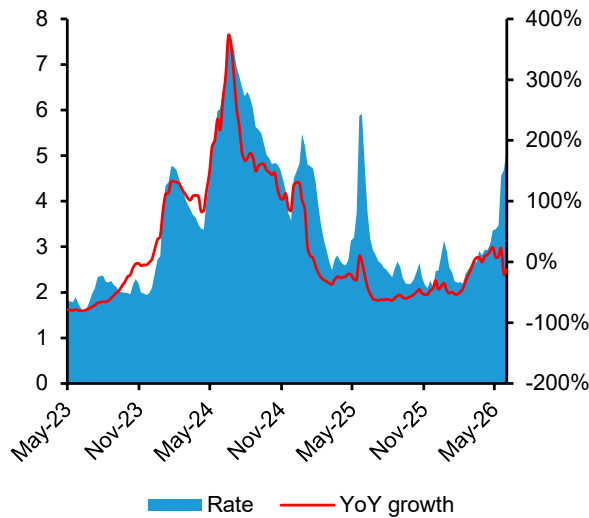


Source: Company reports, Bernstein analysis

Headhaul

EXHIBIT 45: Shanghai-LA freight rate (\$k/FEU)

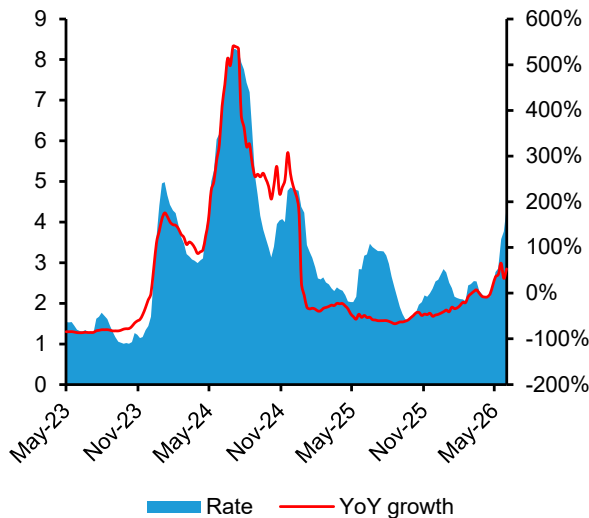
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 46: Shanghai-Rotterdam freight rate (\$k/FEU)

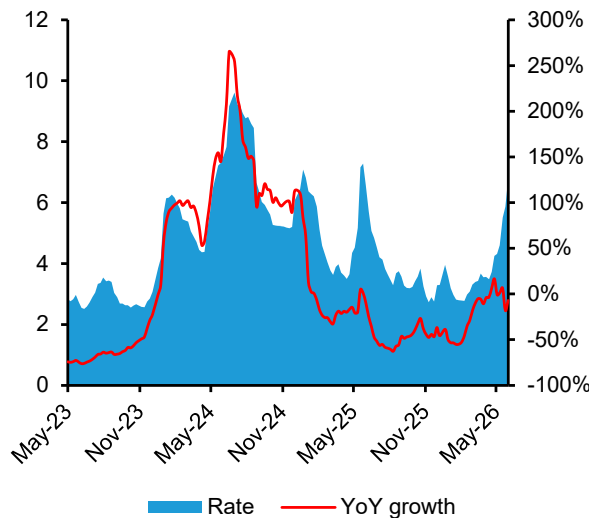
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 47: Shanghai-New York freight rate (\$k/FEU)

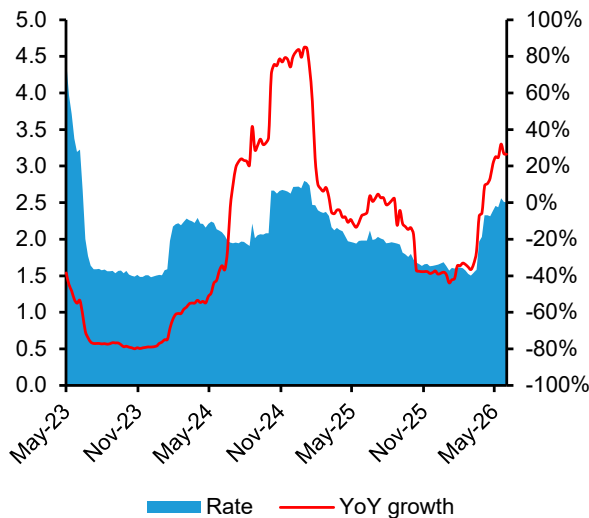
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 48: Rotterdam-New York

\$k / FEU

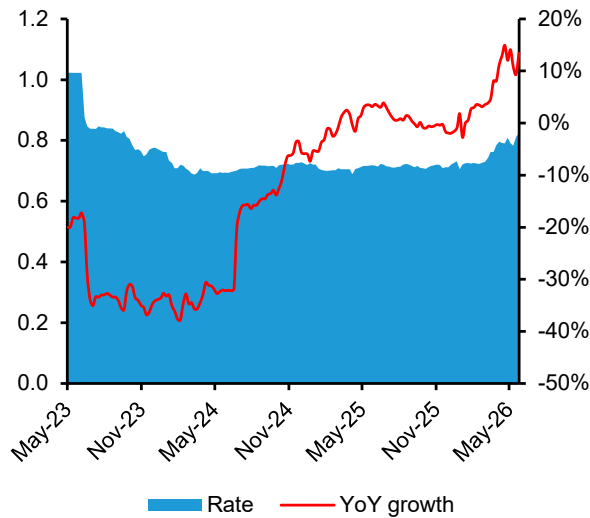


Source: Drewry, Bernstein analysis

Backhaul

EXHIBIT 49: Los Angeles - Shanghai

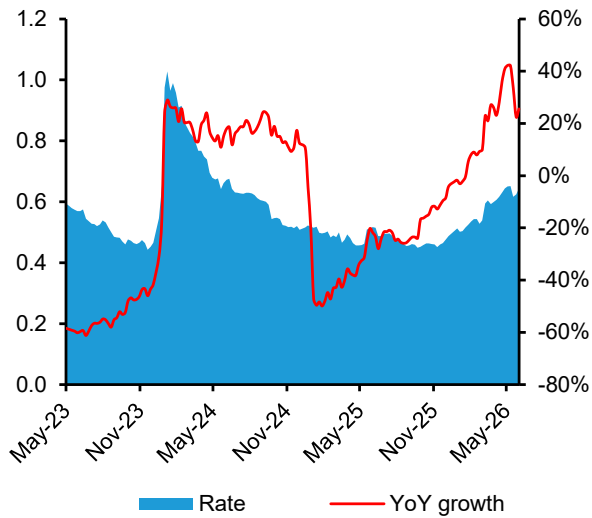
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 50: Rotterdam - Shanghai

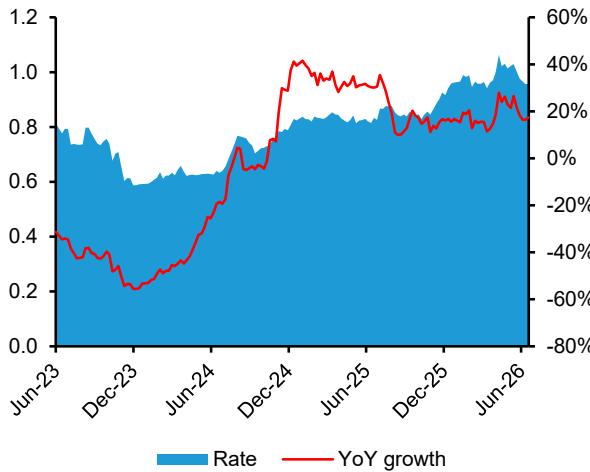
\$k / FEU



Source: Drewry, Bernstein analysis

EXHIBIT 51: New York-Rotterdam

\$k / FEU

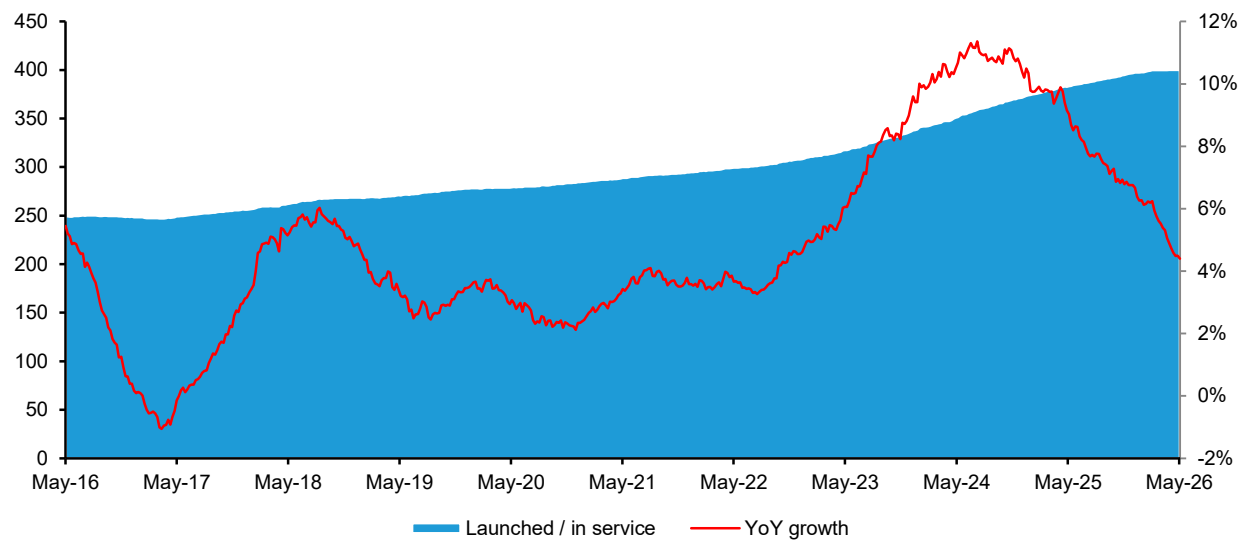


Source: Drewry, Bernstein analysis

FLEET

EXHIBIT 52: Container shipping DWT

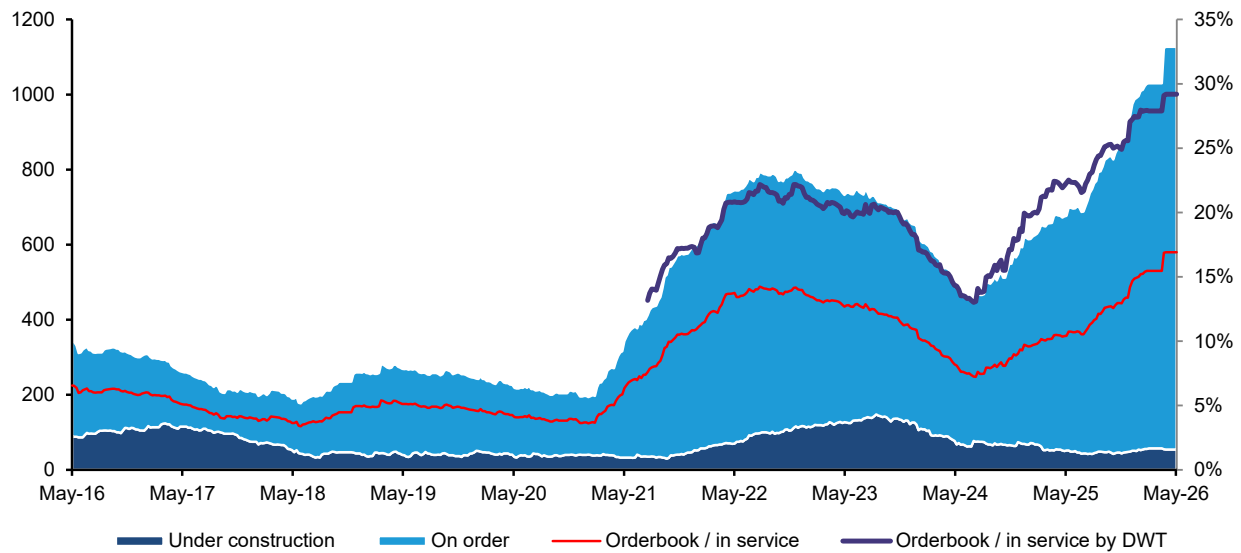
Container shipping DWT (M)



Source: IHS Global, Bernstein analysis

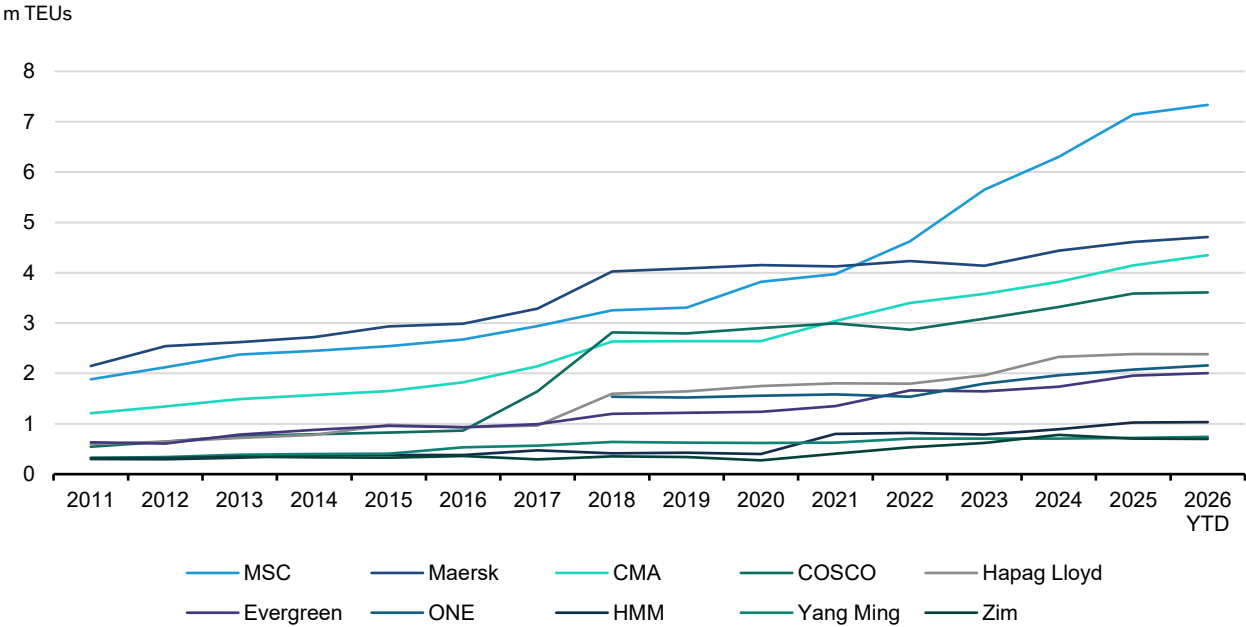
EXHIBIT 53: Containership orders and orders / in service ratio

Containership order books



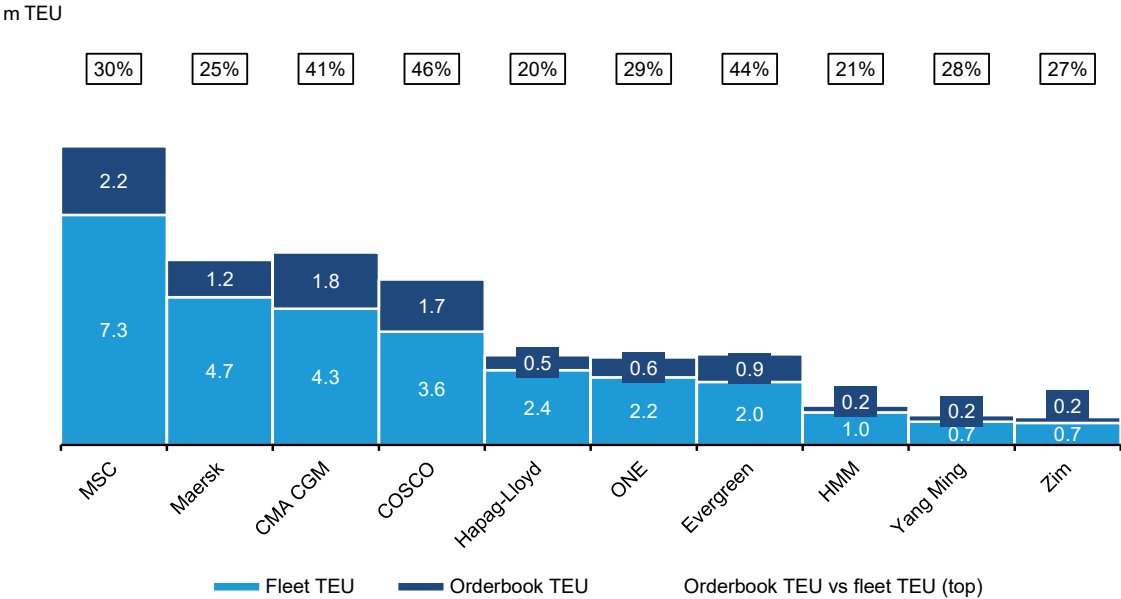
Source: IHS Global, Bernstein analysis

EXHIBIT 54: Largest shipping lines capacity evolution



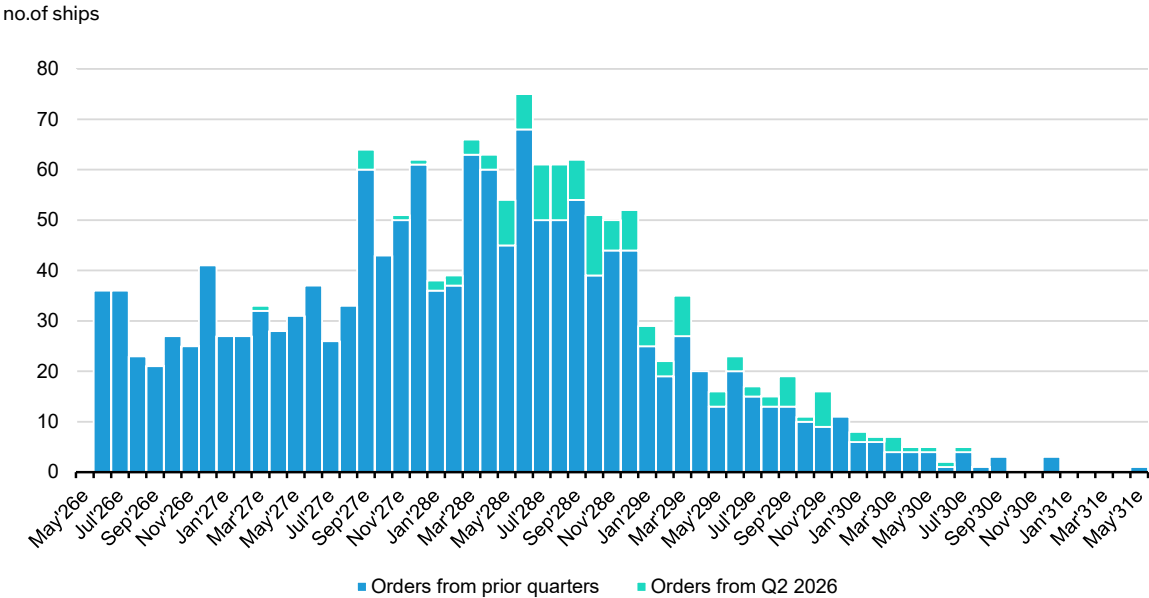
Source: Alphaliner, Bernstein analysis

EXHIBIT 55: Top 10 shipping lines: current fleet and orders



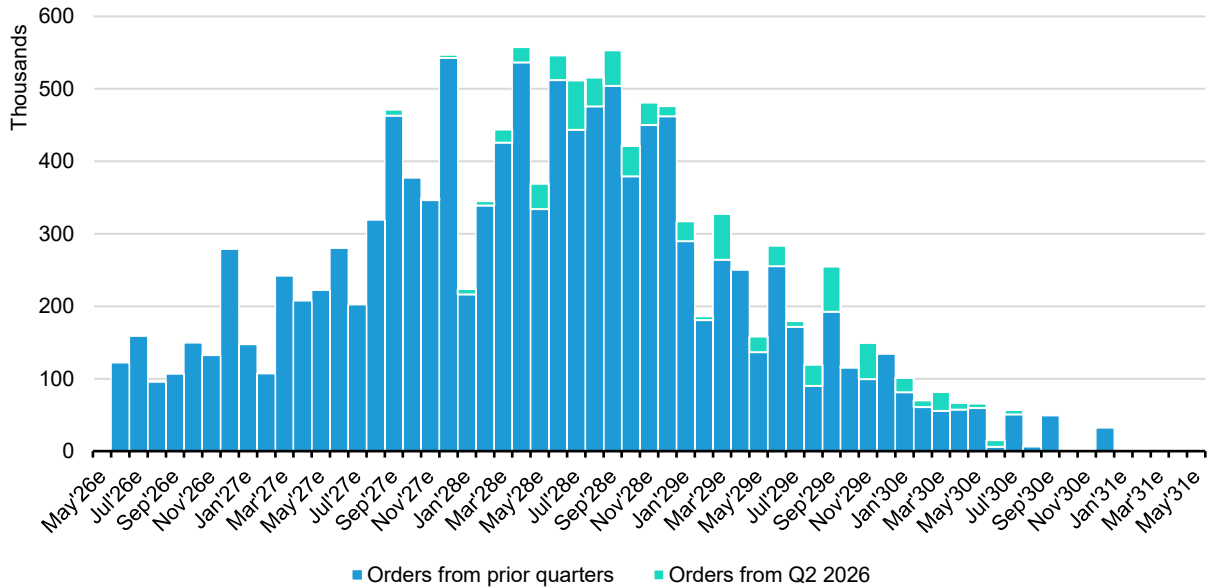
Source: Alphaliner, Bernstein analysis

EXHIBIT 56: **Delivery schedule of ships**



Source: Alphaliner, Bernstein analysis

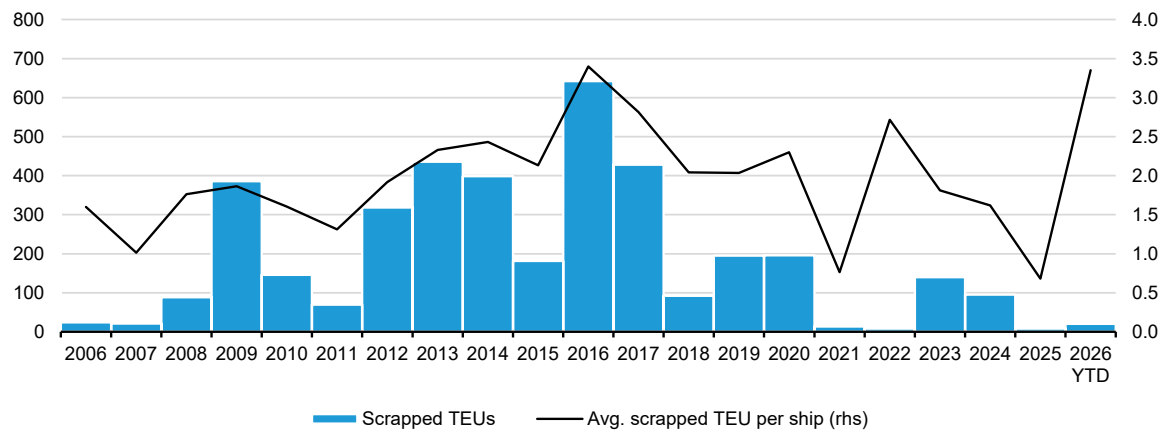
EXHIBIT 57: **Delivery schedule (TEUs)**



Source: Alphaliner, Bernstein analysis

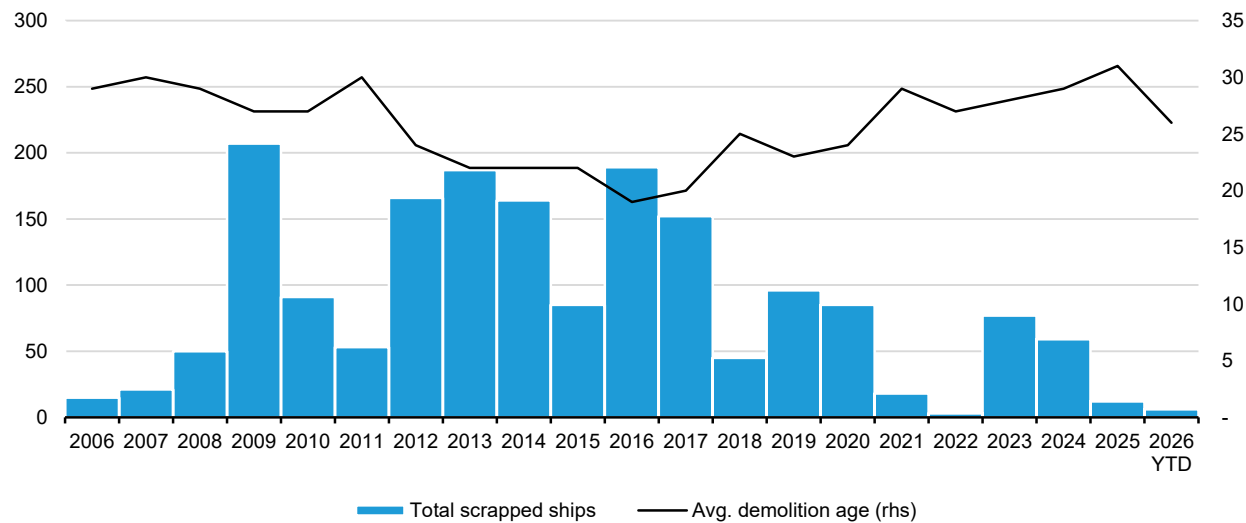
EXHIBIT 58: **Scrapped ships (TEUs)**

in 000TEUs



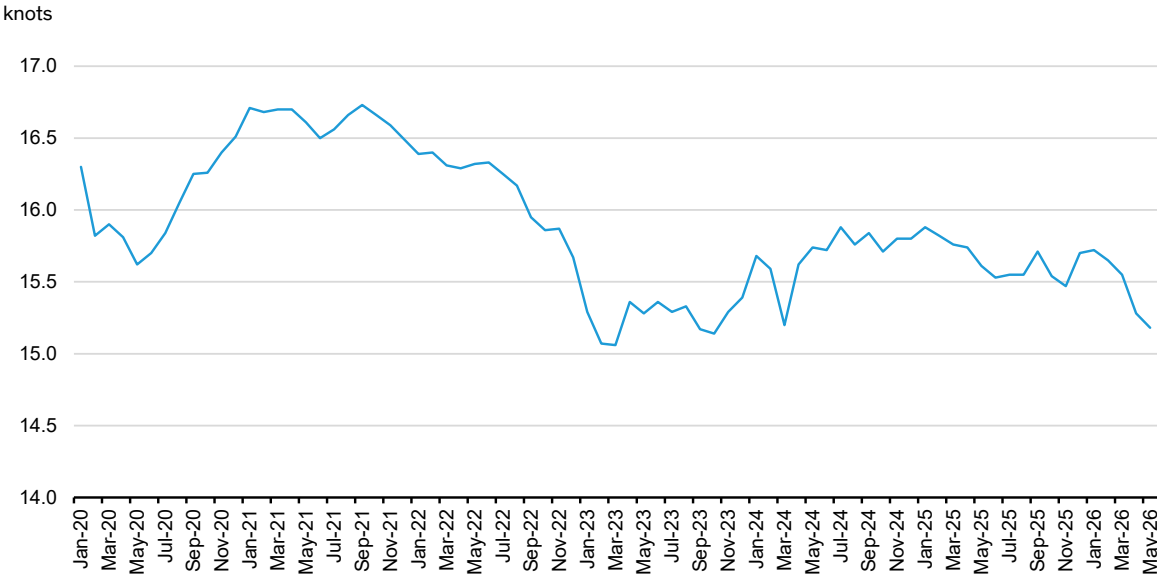
Source: Alphaliner, Bernstein analysis

EXHIBIT 59: **Scrapped ships and avg.age**



Source: Alphaliner, Bernstein analysis

EXHIBIT 60: **Average global containership speed**



Source: Alphaliner, Bernstein analysis

AIRFREIGHT

EXHIBIT 61: Air dashboard

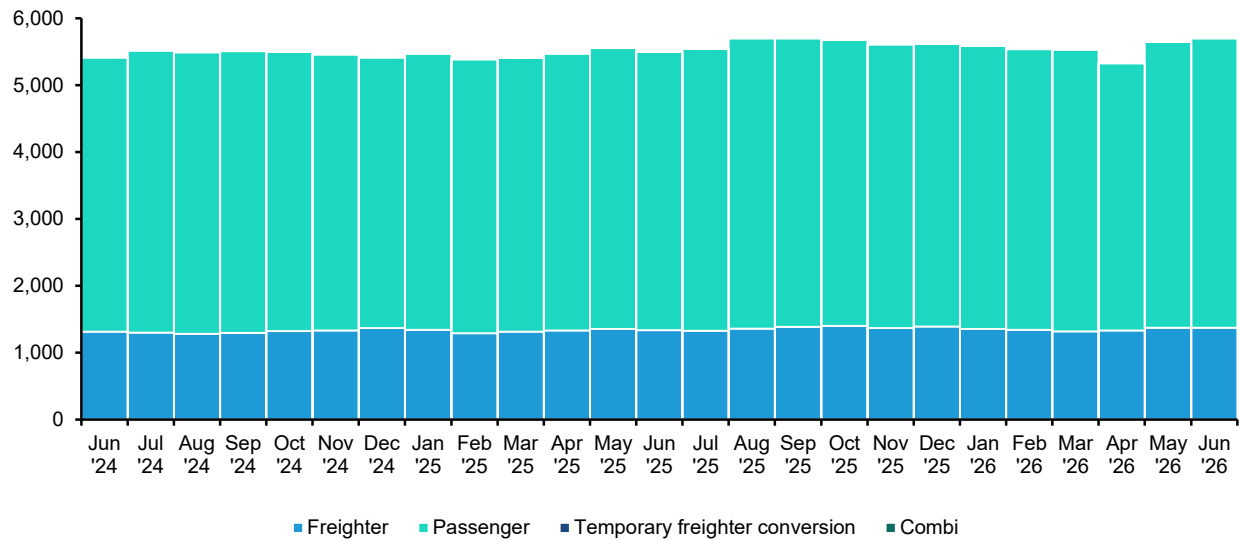
	Q2 2021	Q3 2021	Q4 2021	Q1 2022	Q2 2022	Q3 2022	Q4 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Jan 2026	Feb 2026	Mar 2026	Q1 2026	Apr 2026	May 2026
Aggregate																									
International Tons (000s)	18.5	18.7	19.9	17.6	17.8	17.3	17.3	15.9	16.7	16.7	18.4	17.6	18.8	18.9	20.3	18.5	19.7	20.2	21.6	6.3	6.0	6.4	18.7		
YoY change	36%	22%	13%	2%	(4%)	(7%)	(13%)	(9%)	(6%)	(3%)	7%	11%	13%	13%	10%	5%	5%	7%	6%	5.9%	7.0%	(7.4%)	1%		
Composite rate (\$/kg)	5.3	5.4	6.7	5.9	5.8	5.1	4.4	3.8	3.7	3.5	4.1	3.4	3.6	3.5	4.2	3.1	3.1	3.2	3.6	3.3	3.3	3.4	3.3	3.8	4.0
YoY change	(9%)	2%	36%	31%	9%	(6%)	(35%)	(36%)	(36%)	(32%)	(5%)	(11%)	(2%)	1%	0%	(7%)	(14%)	(11%)	(14%)	2%	8%	10%	7%	22%	27%
Regional volumes (000s tons)																									
Asia Pacific	9.3	9.5	9.8	8.6	8.4	8.4	8.2	7.7	8.3	8.6	9.2	8.8	9.2	9.5	10.2	9.3	10.0	10.2	10.8	3.2	2.9	3.5	9.6		
YoY change	31%	17%	7%	(1%)	(9%)	(12%)	(17%)	(11%)	(1%)	3%	12%	15%	11%	11%	11%	6%	9%	7%	7%	5.7%	8.1%	(1.5%)	4%		
North America	8.8	8.8	9.5	8.2	8.4	8.4	8.7	7.4	7.8	7.9	8.5	7.5	8.1	8.1	8.5	7.6	7.9	7.9	8.6	2.4	2.4	2.7	7.5		
YoY change	17%	9%	8%	2%	(4%)	(4%)	(9%)	(10%)	(7%)	(7%)	(3%)	2%	4%	4%	0%	1%	(3%)	(2%)	1%	(3.3%)	2.2%	(3.6%)	(2%)		
Europe	5.3	5.2	5.8	5.1	5.1	5.1	5.0	4.7	4.8	4.8	5.3	5.0	5.4	5.4	5.7	5.2	5.6	5.6	5.9	1.7	1.8	1.9	5.4		
YoY change	39%	22%	13%	4%	(5%)	(3%)	(13%)	(8%)	(5%)	(4%)	4%	8%	12%	12%	8%	3%	3%	4%	4%	6%	9%	(1%)	4%		
Middle East	1.8	1.8	1.8	1.6	1.7	1.7	1.6	1.6	1.7	1.7	1.9	1.8	1.9	1.8	2.1	2.0	2.0	2.1	2.3	0.7	0.7	0.3	1.6		
YoY change	57%	31%	7%	(8%)	(6%)	(10%)	(13%)	2%	1%	4%	20%	14%	13%	5%	8%	9%	3%	18%	9%	12%	9%	(64%)	(17%)		
Latin America	1.2	1.3	1.3	1.2	1.2	1.2	1.3	1.3	1.2	0.9	1.3	1.3	1.4	1.3	1.5	1.4	1.4	1.4	1.6	0.4	0.4	0.5	1.3		
YoY change	51%	37%	13%	6%	3%	(1%)	(0%)	4%	(1%)	(26%)	(4%)	5%	14%	46%	15%	3%	6%	7%	7%	(3%)	(16%)	(2%)	(6%)		
Africa	0.4	0.4	0.5	0.4	0.5	0.4	0.5	0.5	0.5	0.4	0.5	0.5	0.5	0.4	0.5	0.5	0.5	0.4	0.6	0.2	0.1	0.2	0.5		
YoY change	28%	14%	3%	7%	14%	(1%)	9%	8%	4%	(2%)	(0%)	5%	3%	(4%)	(8%)	(10%)	(9%)	8%	25%	6%	10%	22%	12%		
	Q2 2021	Q3 2021	Q4 2021	Q1 2022	Q2 2022	Q3 2022	Q4 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Jan 2026	Feb 2026	Mar 2026	Q1 2026	Apr 2026	May 2026
Regional rates (\$/kg)																									
Hong Kong to USA	7.0	7.7	9.8	7.6	8.3	7.1	6.3	4.7	4.8	4.7	5.7	4.7	5.3	5.6	5.8	5.0	4.9	5.0	5.7	5.2	5.0	5.2	5.1		
YoY change				47%	19%	(7%)	(36%)	(38%)	(43%)	(34%)	(8%)	0%	12%	18%	1%	7%	(8%)	(11%)	(2%)	(3%)	4%	3%	1%		
Shanghai to Germany	4.8	5.1	8.1	6.3	6.7	6.2	5.4	4.1	3.3	3.1	4.1	3.6	4.0	3.8	4.7	3.8	4.0	4.0	4.7	4.0	4.0	4.5	4.2		
YoY change				39%	39%	23%	(33%)	(35%)	(50%)	(49%)	(25%)	(12%)	21%	19%	17%	5%	(2%)	6%	(1%)	4%	13%	10%	9%		
Amsterdam to USA	4.0	3.7	4.5	4.1	3.5	2.8	2.9	2.9	2.4	1.7	2.0	2.0	1.9	1.7	2.4	2.2	2.0	1.9	2.6	2.7	2.9	2.8	2.8		
YoY change				6%	(11%)	(26%)	(36%)	(30%)	(33%)	(40%)	(30%)	(29%)	(21%)	0%	17%	9%	9%	16%	9%	17%	34%	21%	24%		
Frankfurt to China	1.5	1.9	2.5	2.6	3.2	2.6	2.2	2.0	1.6	1.1	1.0	1.1	1.0	1.0	0.8	0.8	0.7	0.7	0.7	0.7	0.7	0.7	0.7		
YoY change				70%	110%	37%	(15%)	(23%)	(52%)	(56%)	(53%)	(46%)	(35%)	(14%)	(19%)	(29%)	(31%)	(24%)	(19%)	(12%)	(13%)	(4%)	(10%)		
Mumbai to UK	3.0	3.1	3.3	3.3	3.1	2.7	2.2	1.8	1.5	1.5	1.6	2.8	2.8	2.7	2.6	2.4	2.4	2.3	2.2	2.1	2.1	3.4	2.6		
YoY change				10%	5%	(11%)	(33%)	(45%)	(51%)	(44%)	(28%)	57%	80%	73%	59%	(16%)	(15%)	(14%)	(15%)	(11%)	(11%)	46%	8%		

Source: Airports Council International, TAC Index, Bernstein analysis

FLEET

EXHIBIT 62: Active global widebody planes

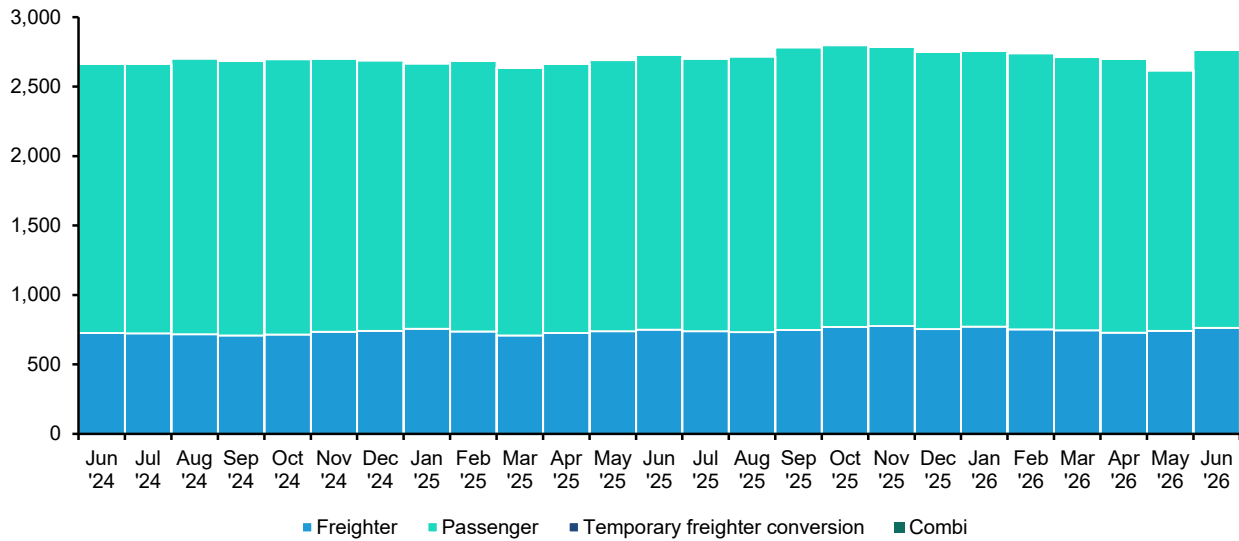
no. of planes



Source: IBA insight, Bernstein analysis

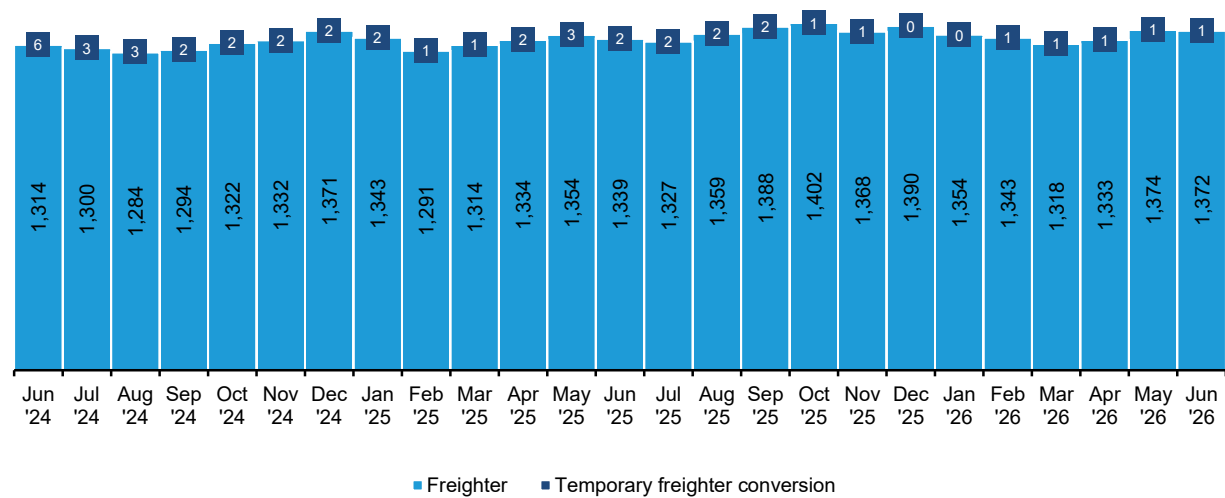
EXHIBIT 63: Active global widebodies maximum takeoff weight

MTOW (m)



Source: IBA insight, Bernstein analysis

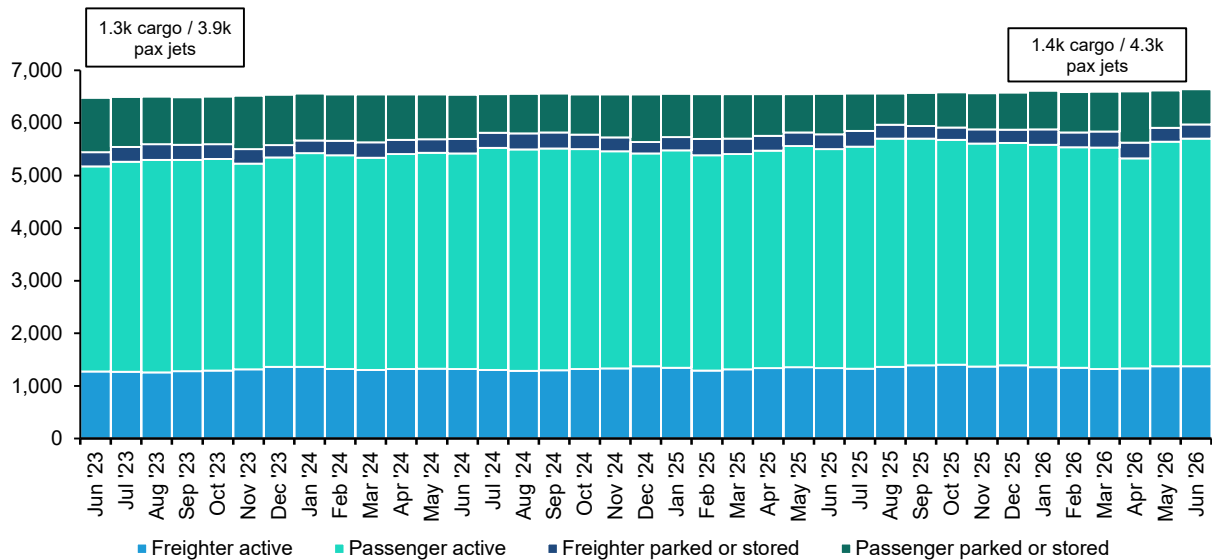
EXHIBIT 64: Global widebody jets in service, primary use as cargo



Source: IBA Insight, Bernstein analysis

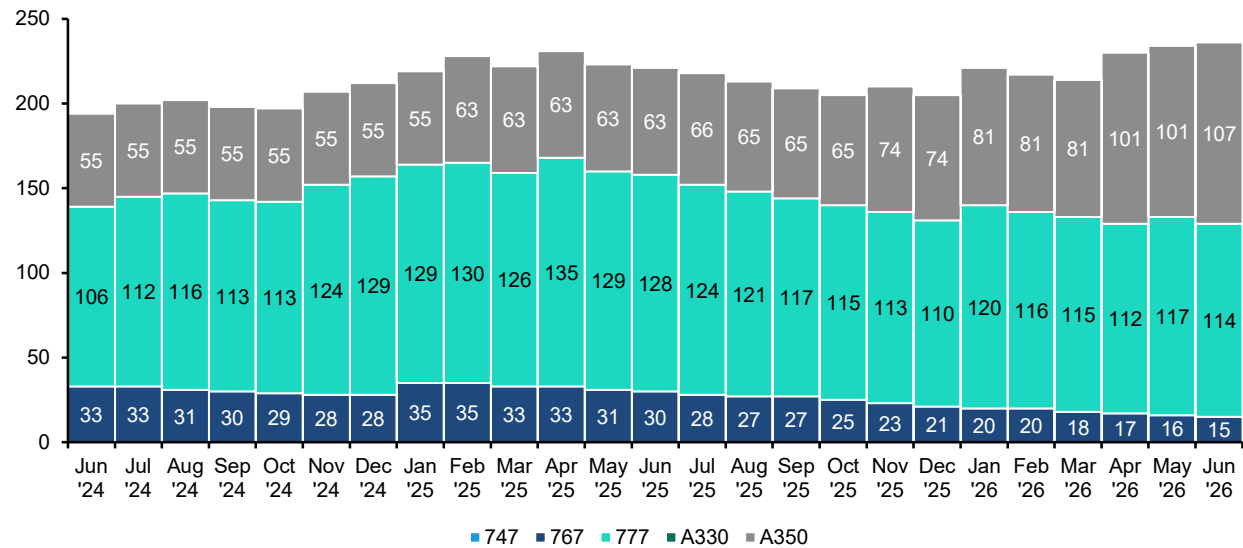
EXHIBIT 65: Widebody jets in service / storage

Widebody jets in service / storage



Source: IBA InsightIQ, Bernstein analysis

EXHIBIT 66: **Freighter orderbook**

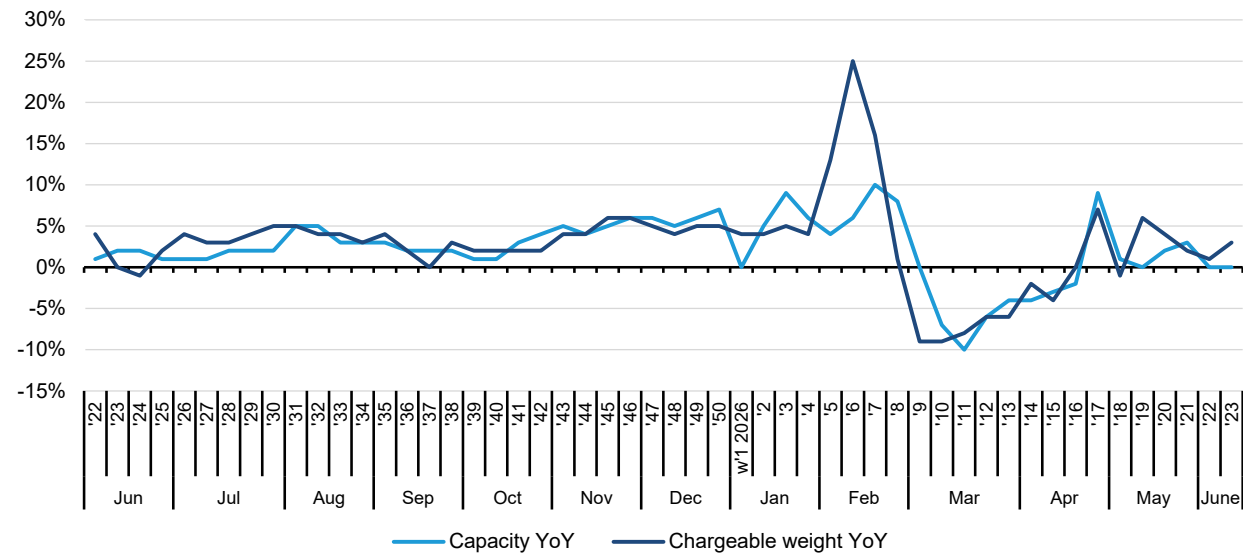


Source: IBA Insight, Bernstein analysis

CAPACITY BALANCE AND LOAD FACTOR

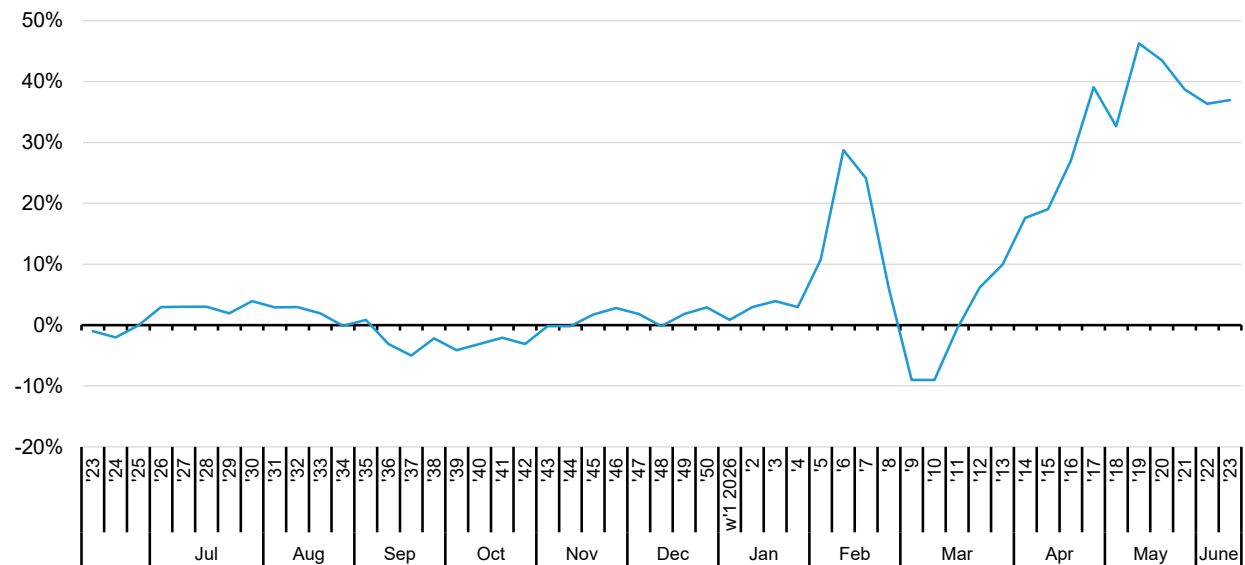
EXHIBIT 67: **Air cargo capacity and chargeable weight YoY**

YoY change



Source: WorldACD, Bernstein analysis

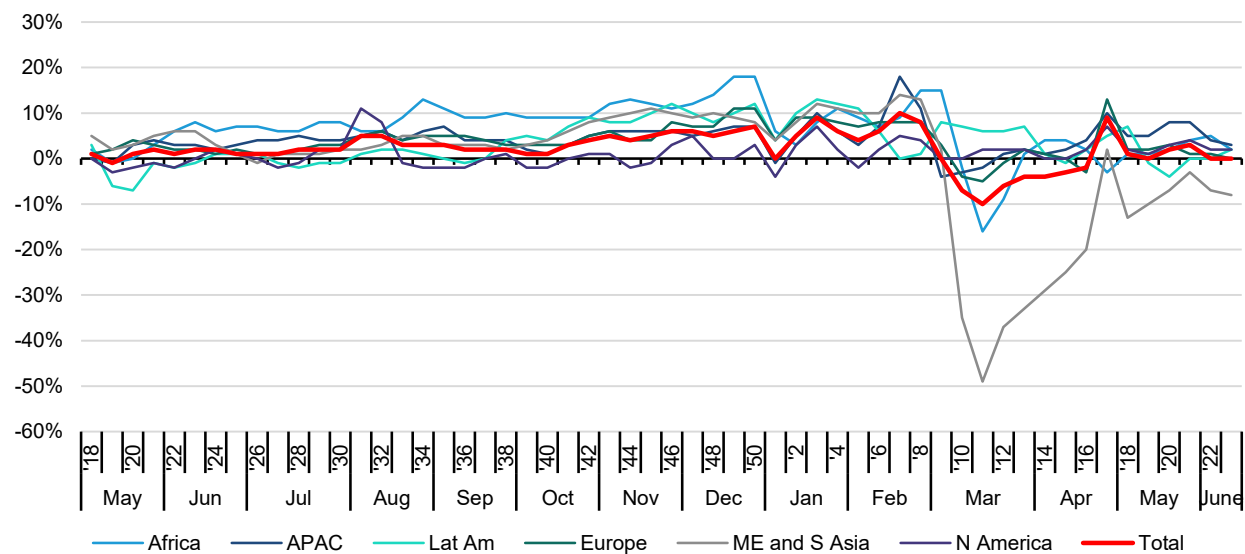
EXHIBIT 68: **Total air cargo revenue growth YoY**



Source: WorldACD, Bernstein analysis

EXHIBIT 69: **Air cargo capacity growth YoY**

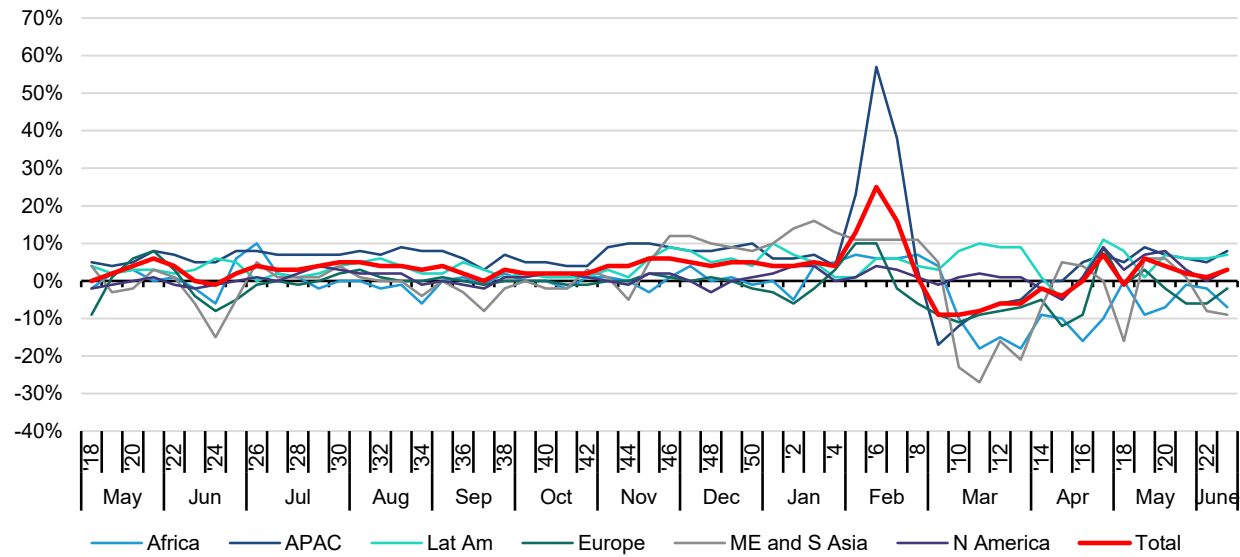
YoY change



Source: WorldACD, Bernstein analysis

EXHIBIT 70: Chargeable weight growth YoY

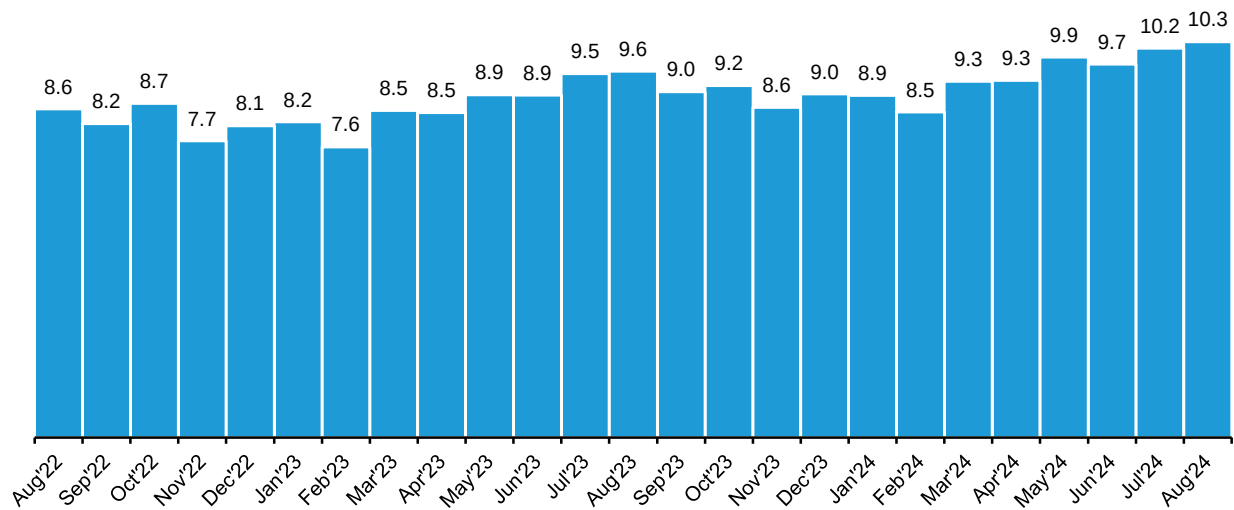
YoY change by origin region



Source: WorldACD, Bernstein analysis

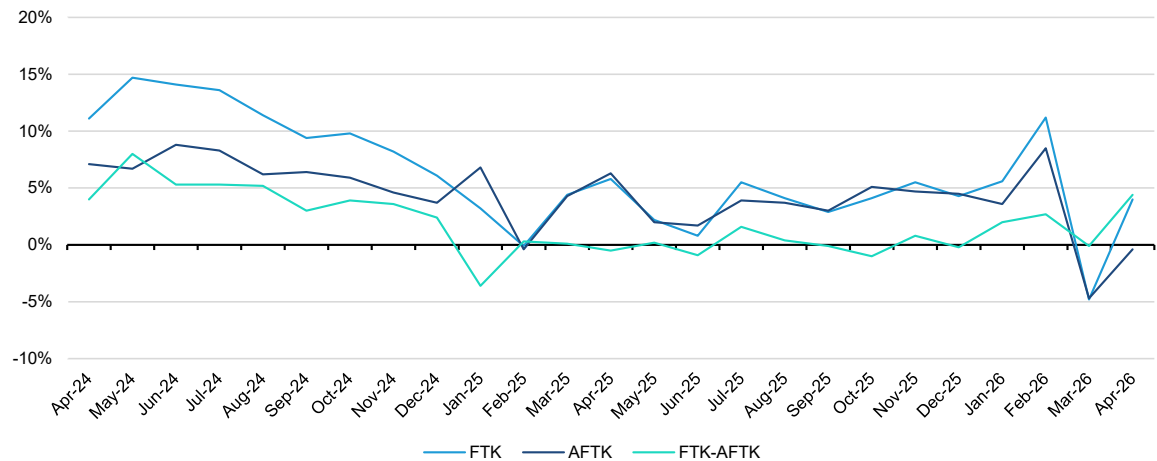
EXHIBIT 71: Global Capacity Development

m tons



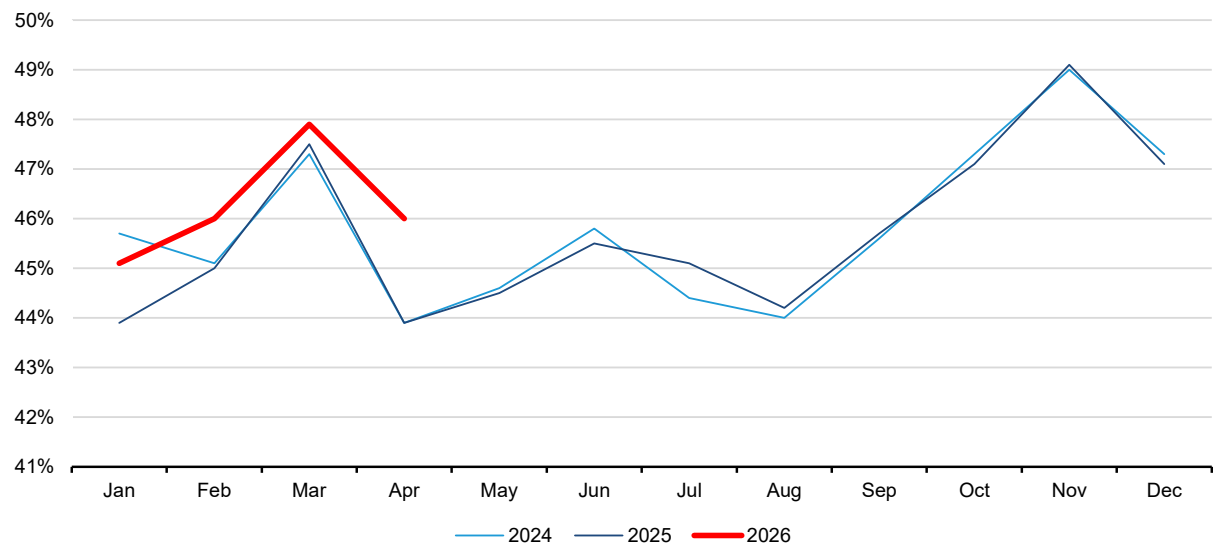
Source: Seabury, Bernstein analysis

EXHIBIT 72: **Total airfreight volumes and capacity (YoY)**



FTK: Freight Ton Km; AFTK: Available Freight Ton Km
Source: IATA, Bernstein analysis

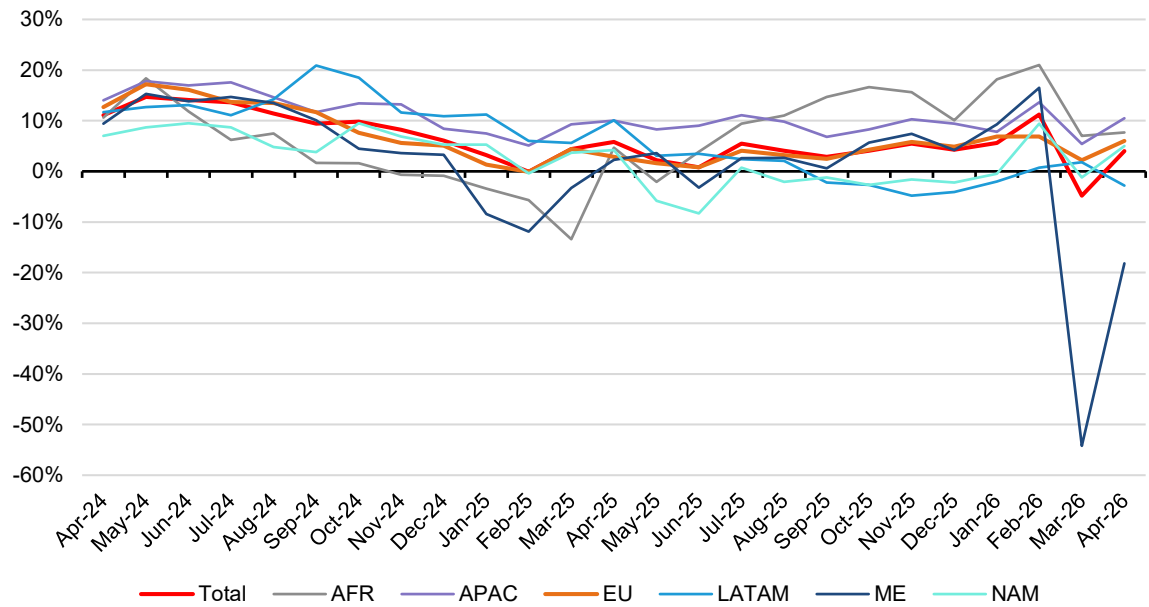
EXHIBIT 73: **Total airfreight load factor**



Source: IATA, Bernstein analysis

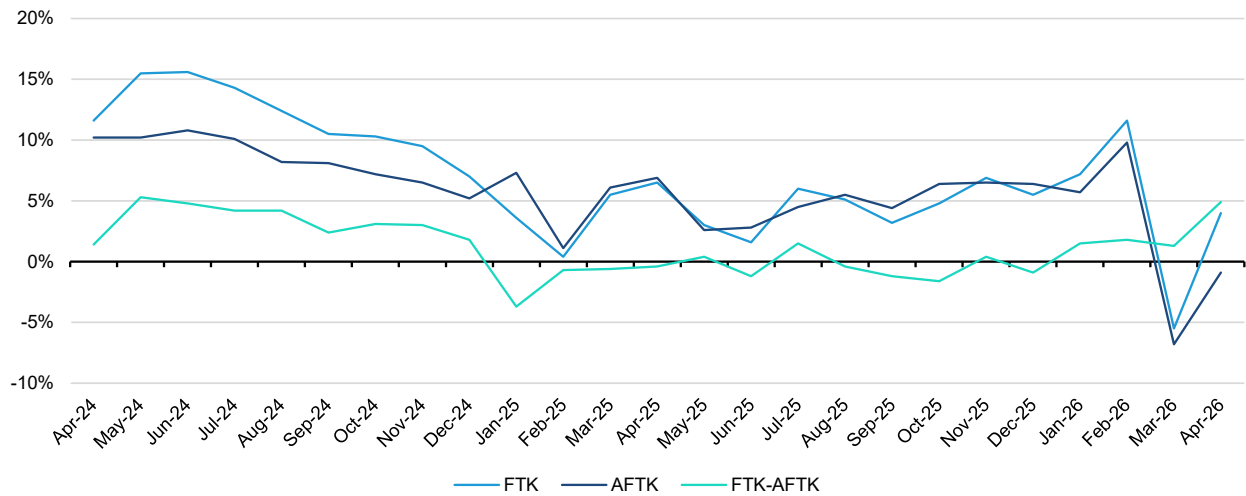
EXHIBIT 74: **Total freight ton kms (YoY)**

Global freight ton kms



Source: IATA, Bernstein analysis

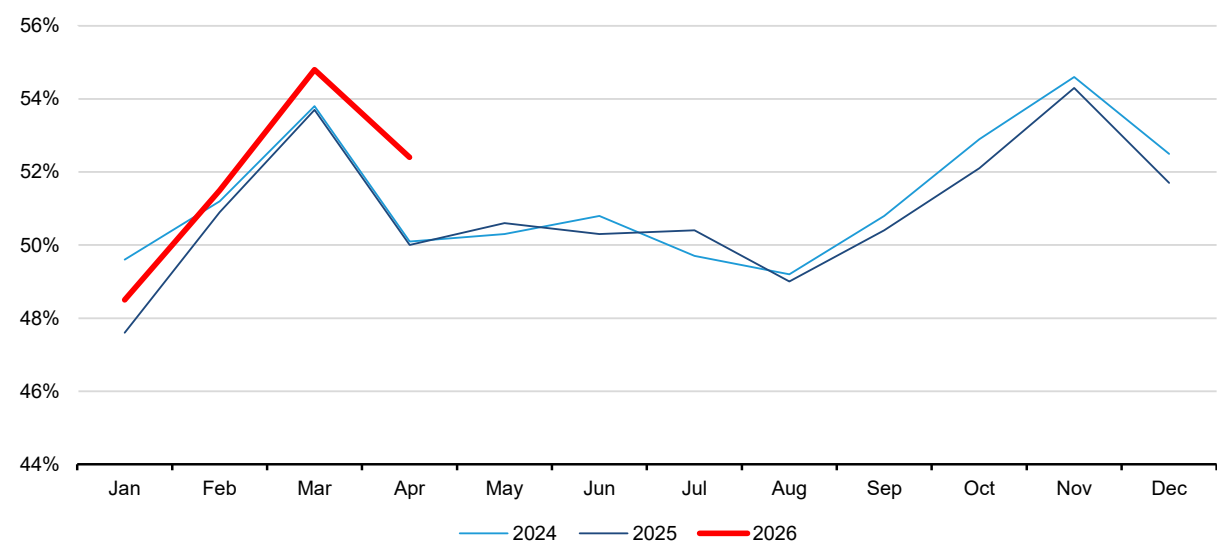
EXHIBIT 75: **International airfreight volumes and capacity (YoY)**



FTK: Freight Ton Km; AFTK: Available Freight Ton Km

Source: IATA, Bernstein analysis

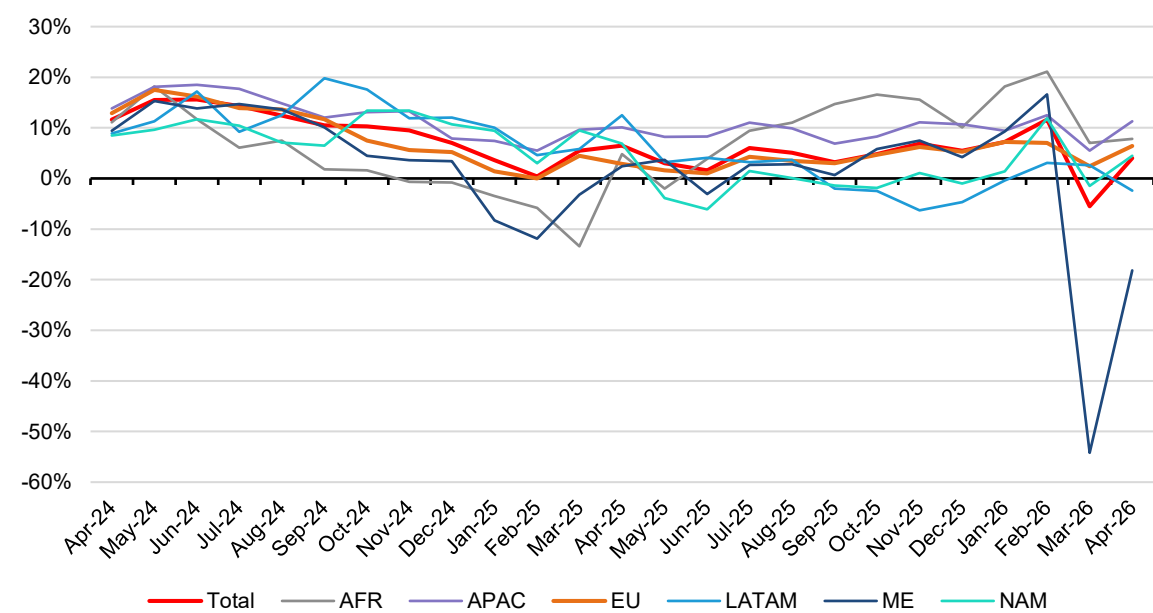
EXHIBIT 76: International airfreight load factor



Source: IATA, Bernstein analysis

EXHIBIT 77: International FTKs (YoY)

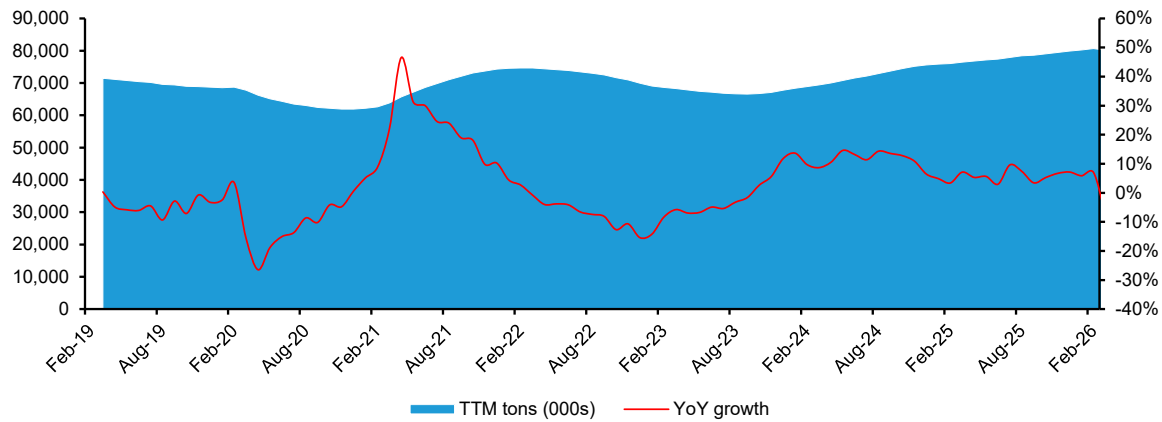
International freight ton kms YoY



Source: IATA, Bernstein analysis

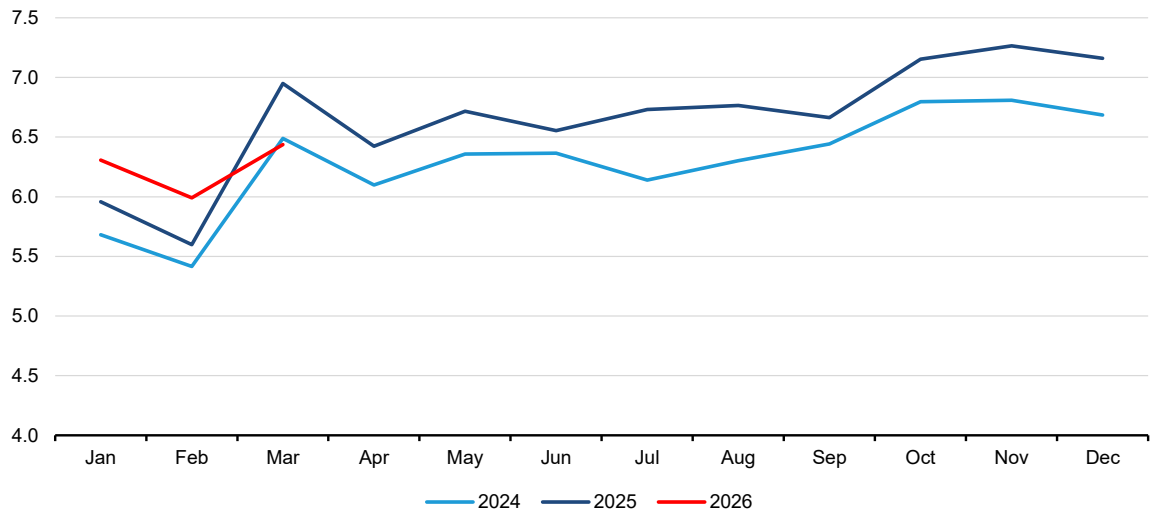
VOLUMES

EXHIBIT 78: International airfreight tons
m



Source: Airports Council International, Bernstein analysis

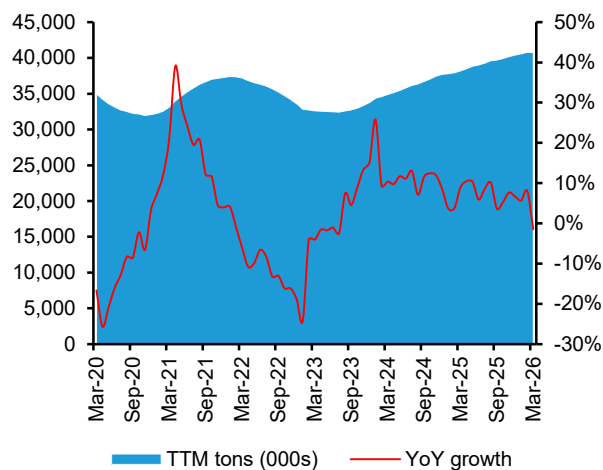
EXHIBIT 79: International airfreight tons
m



Source: Airports Council International, Bernstein analysis

EXHIBIT 80: Asia-Pacific airfreight

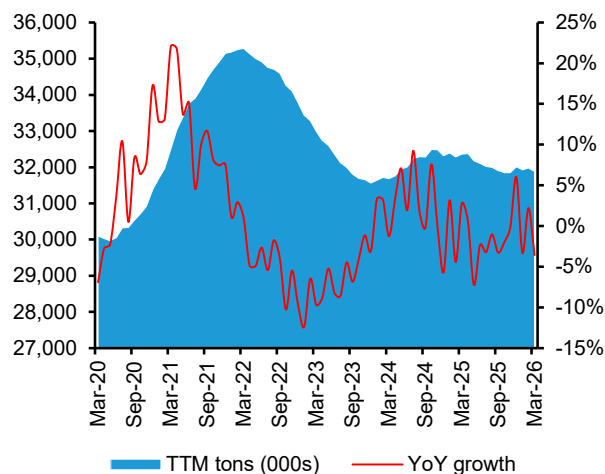
Asia Pacific airfreight tons



Source: Airports Council International, Bernstein analysis

EXHIBIT 81: North America airfreight

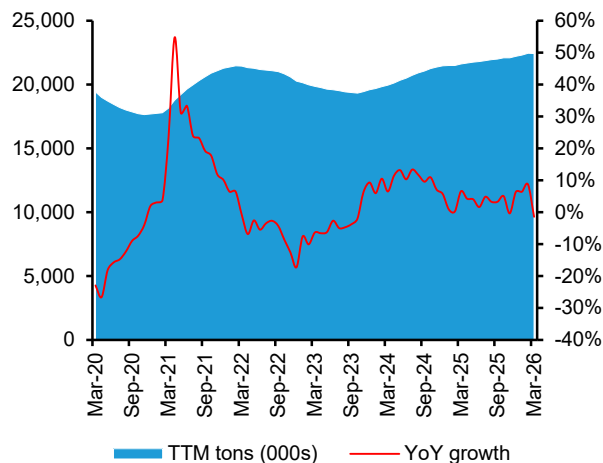
North America airfreight tons



Source: Airports Council International, Bernstein analysis

EXHIBIT 82: Europe airfreight

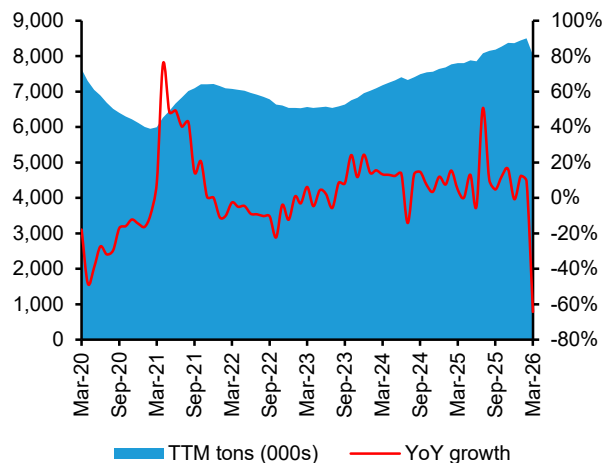
Europe airfreight tons



Source: Airports Council International, Bernstein analysis

EXHIBIT 83: Middle East airfreight

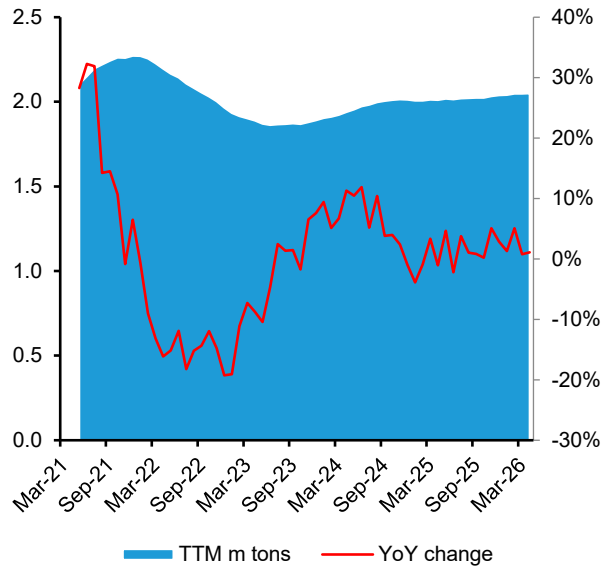
Middle East airfreight tons



Source: Airports Council International, Bernstein analysis

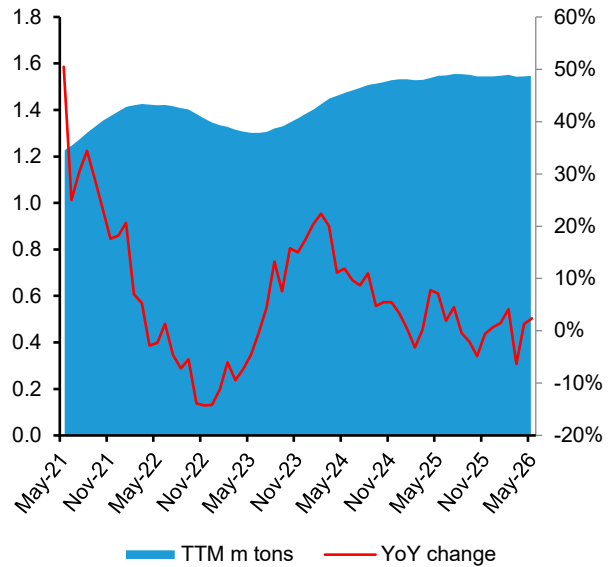
AIRPORT GATEWAYS

EXHIBIT 84: **Frankfurt**



Source: Fraport, Bernstein analysis

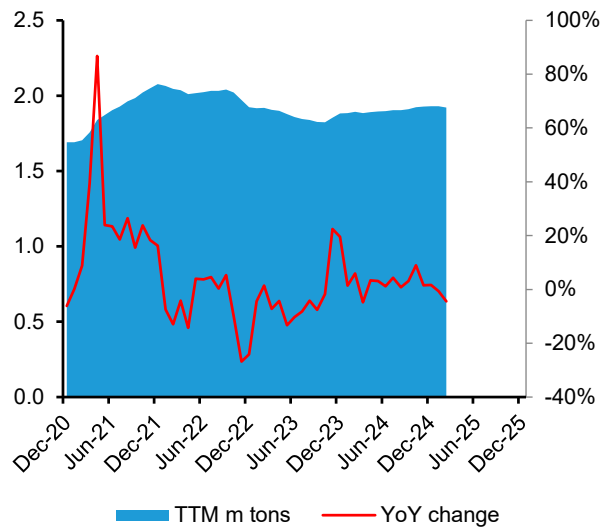
EXHIBIT 85: **Heathrow**



Source: Heathrow, Bernstein analysis

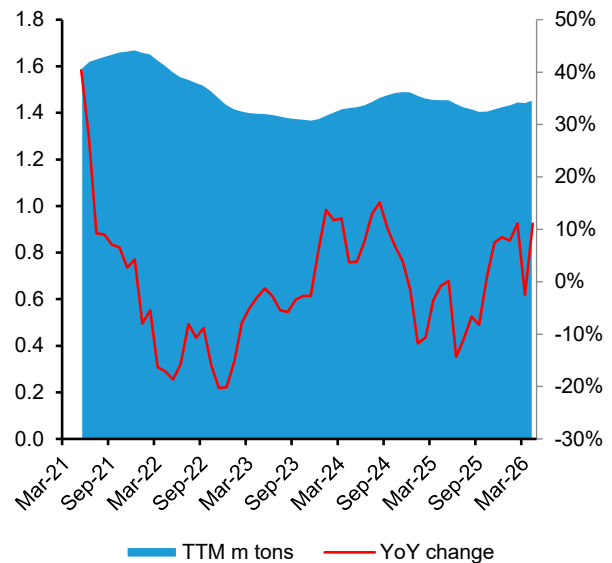
EXHIBIT 86: **Paris**

Paris cargo volumes



Source: Paris Airport, Bernstein analysis

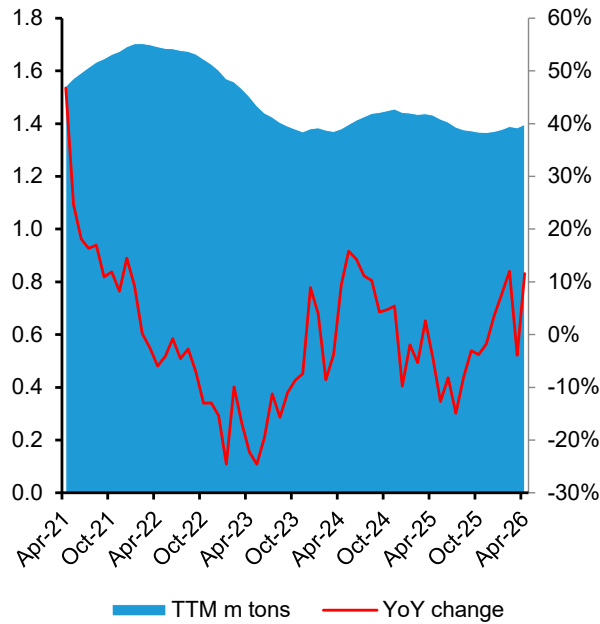
EXHIBIT 87: **Amsterdam Schipol**



Source: Amsterdam Schipol, Bernstein analysis

EXHIBIT 88: Los Angeles

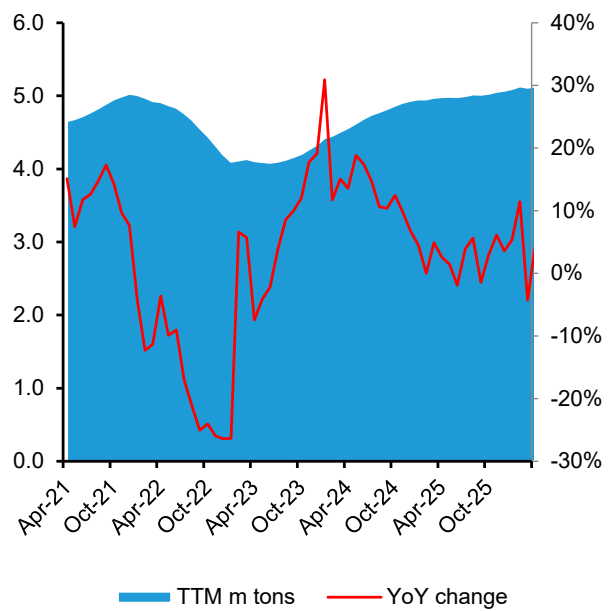
LAX international cargo volumes



Source: Los Angeles World Airport, Bernstein analysis

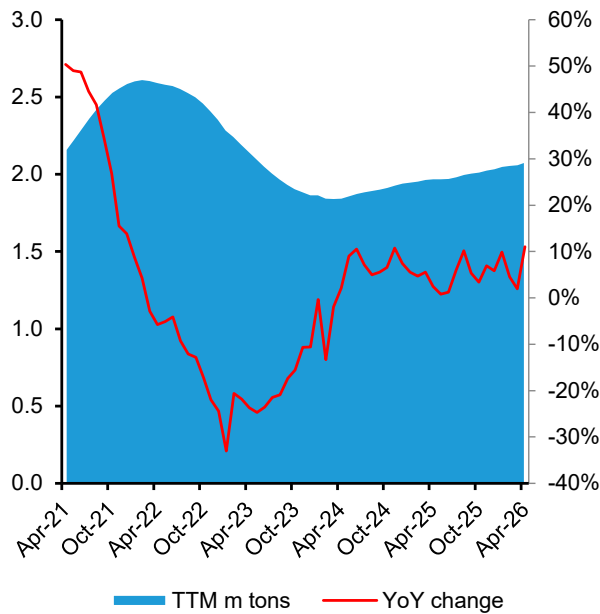
EXHIBIT 89: Hong Kong

Hong Kong cargo volumes



Source: Airport Authority Hong Kong, Bernstein analysis

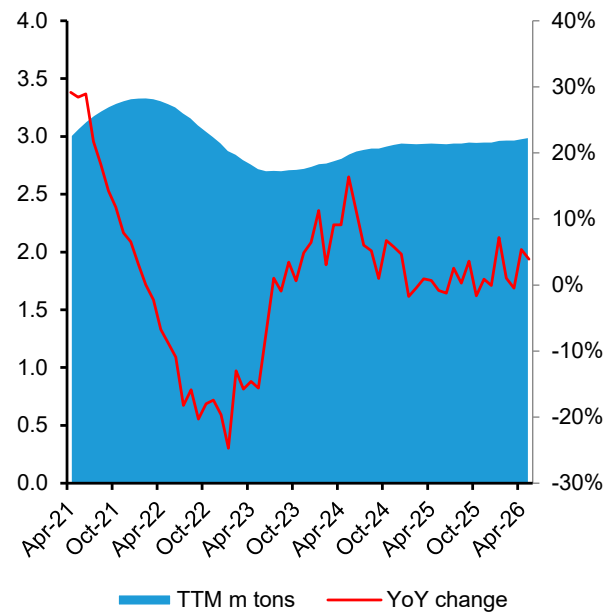
EXHIBIT 90: Narita cargo volumes



Source: New Tokyo Airport, Bernstein analysis

EXHIBIT 91: Seoul Incheon

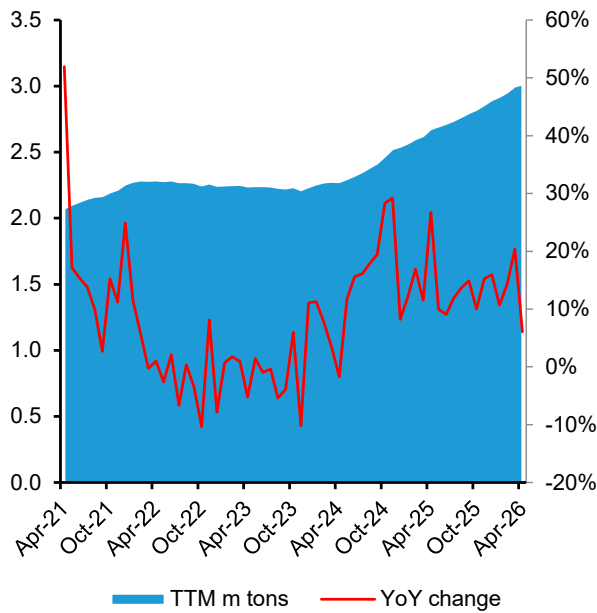
Korea cargo volumes



Source: Incheon International Airport, Bernstein analysis

EXHIBIT 92: **Miami-Dade**

Miami international cargo volumes

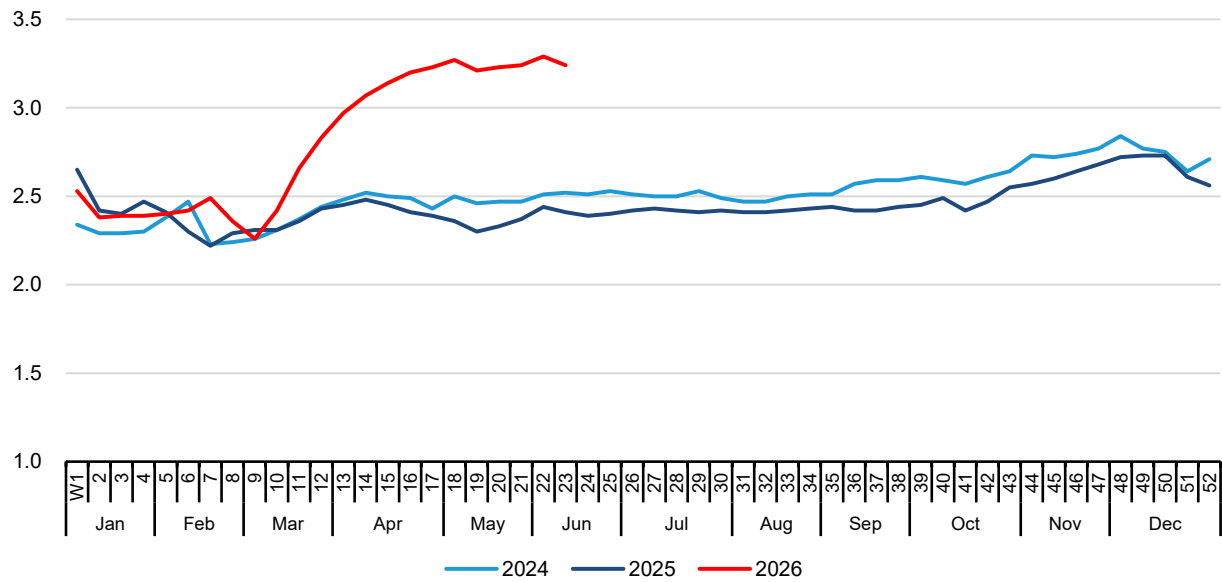


Source: Miami-Dade Aviation Department, Bernstein analysis

RATES

EXHIBIT 93: **Aggregate airfreight rate**

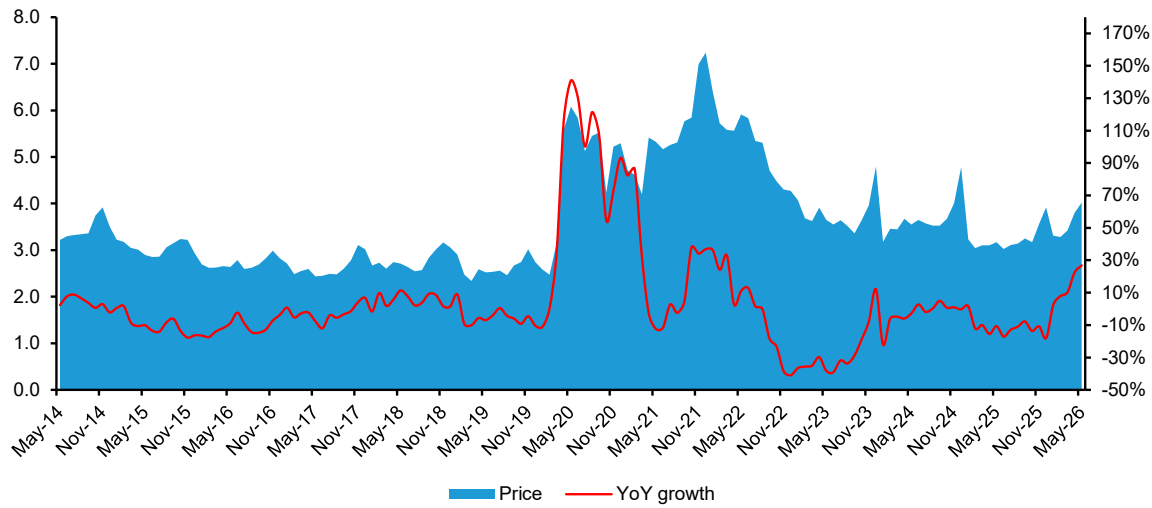
\$/kg



Source: WorldACD, Bernstein analysis

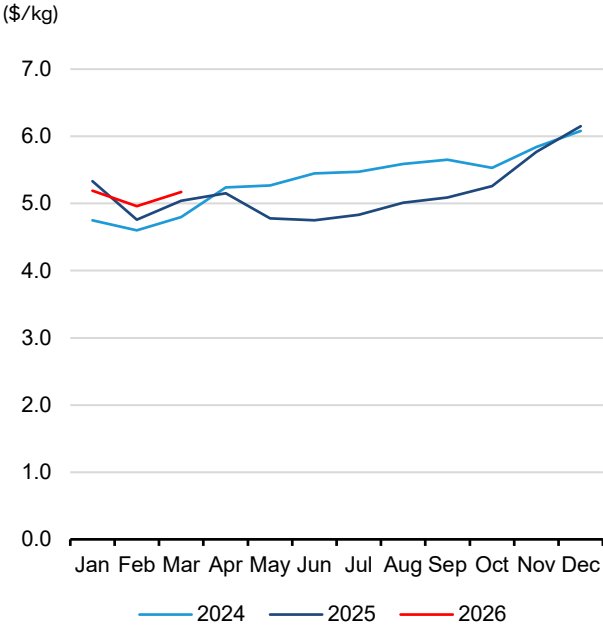
EXHIBIT 94: **Global composite airfreight rate**

Global composite airfreight rate (\$/kg)



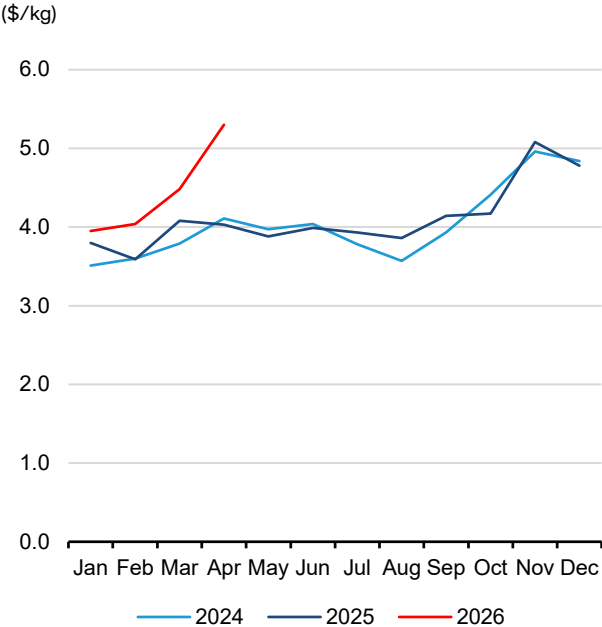
Source: TAC Index, Bernstein analysis

EXHIBIT 95: **Hongkong to USA yields**



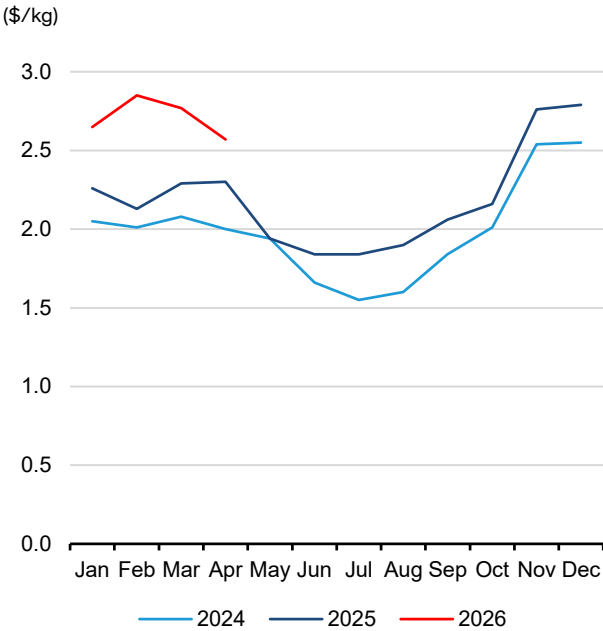
Source: World ACD, Bernstein analysis

EXHIBIT 96: **Shanghai to Germany yields**



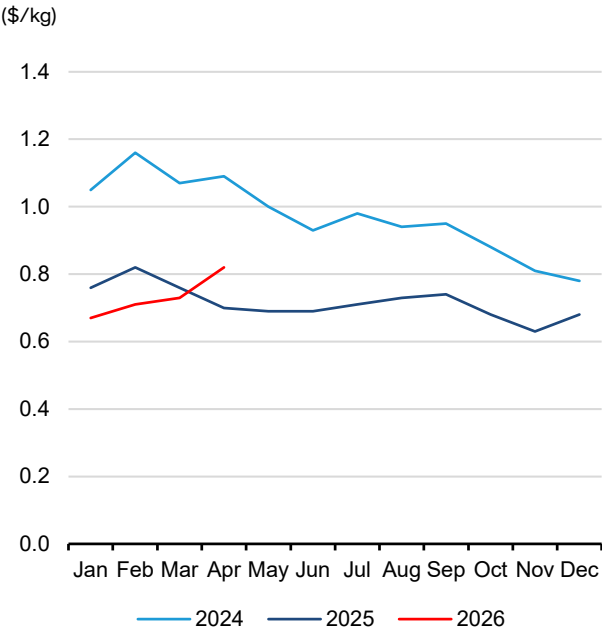
Source: World ACD, Bernstein analysis

EXHIBIT 97: **Amsterdam to USA yields**



Source: World ACD, Bernstein analysis

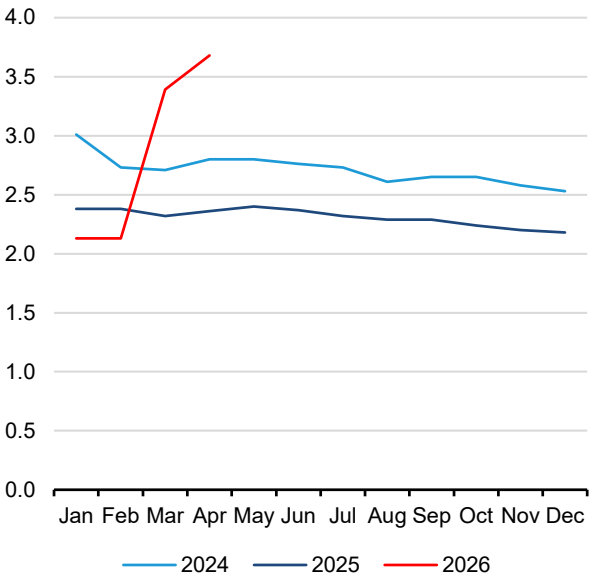
EXHIBIT 98: **Frankfurt to China yields**



Source: World ACD, Bernstein analysis

EXHIBIT 99: **Mumbai to UK yields**

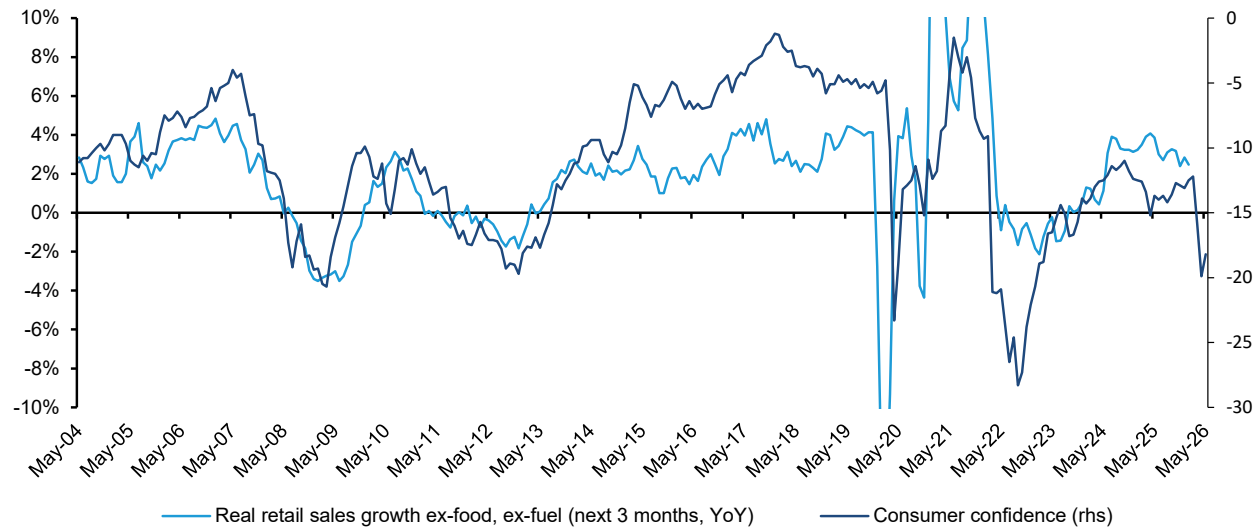
(\$/kg)



Source: World ACD, Bernstein analysis

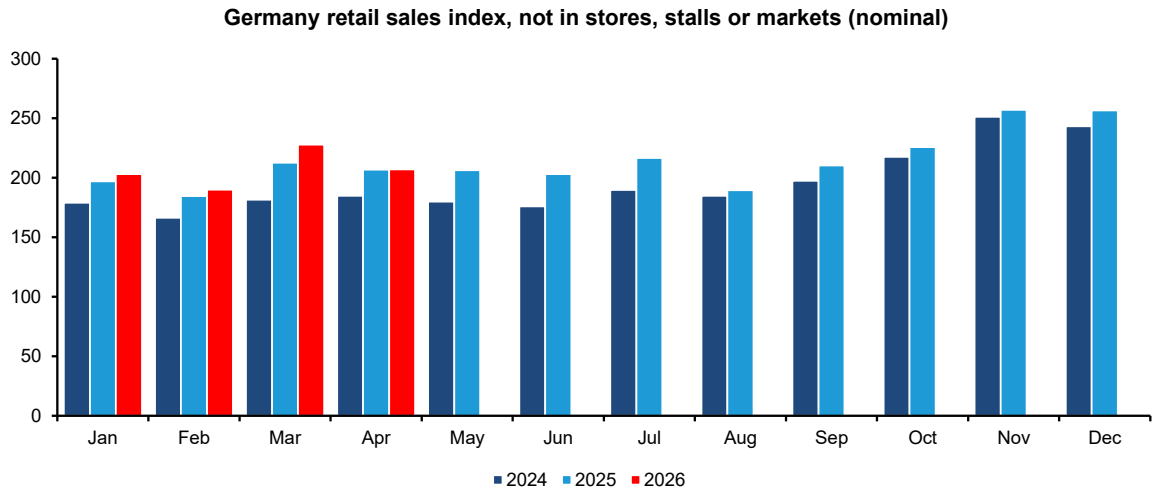
PARCEL
GERMANY

EXHIBIT 100: EU consumer confidence and real retail sales growth



Source: Eurostat, Bernstein analysis

EXHIBIT 101: Germany retail sales index, not in stores, stalls or markets



Source: Federal Statistical Office of Germany, Bloomberg, Bernstein analysis

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

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Please visit: <https://bernstein-autonomous.bluematrix.com/sellside/Disclosures.action>.

Or, you can also write to the Director of Compliance, Bernstein Institutional Services LLC, 245 Park Avenue, New York, NY 10167.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

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